OECD ECONOMIC SURVEYS

FRANCE

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ORGANISATION FOR ECONOMIC CO-OPERATION AND DEVELOPMENT

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BASIC STATISTICS OF FRANCE

THE LAND

Area (1 000 km^2), 1994	549.1
Agricultural area (1 000 km^2), 1994	301.2

Major cities (thousand inhabitants), 1990:	
Paris	2 152
Marseille	801
Lyon	415

THE PEOPLE (1995)

Population, 1st January (thousands)	58 020
Number of inhabitants per km^2	106
Total increase in population (thousands)	245

Total labour force (thousands)	25 371

PRODUCTION (1995)

Gross domestic product at market prices (billion FF)	7 681.0
Gross domestic product per head (US$)	26 526
Gross fixed investment:	
Per cent of GDP	17.9
Per head (US$)	4 754

Origin of the gross domestic product, at market prices (per cent):	
Agriculture	2.6
Industry	23.8
Construction	4.8
Services	68.8
Total	100.0

GENERAL GOVERNMENT (1995)

ESNA concept, as a per cent of GDP:	
Current expenditure	50.5
Current revenue	48.8
Current fixed investment	3.1

FOREIGN TRADE (1994)

Exports of goods and services (% of GDP)	22.8
Main exports as a percentage of total exports (SITC):	
Food, beverages and tobacco (0 + 1)	14.4
Machinery and transport equipment (7)	39.5
Iron and steel products (67 + 68)	5.2
Chemical products (5)	14.5
Textiles (65)	2.7

Imports of goods and services (% of GDP)	20.6
Main imports as a percentage of total imports (SITC):	
Food, beverages and tobacco (0 + 1)	10.6
Machinery and transport equipment (7)	35.4
Iron and steel products (67 + 68)	5.2
Chemical products (5)	12.0
Mineral fuels, lubricants and related materials (3)	7.7

THE CURRENCY

Monetary unit: the franc

Currency units per US$, average of daily figures:	
Year 1995	4.99
November 1996	5.12

Note: An international comparison of certain basic statistics is given in an Annex table.

This Survey is based on the Secretariat's study prepared for the annual review of France by the Economic and Development Review Committee on 18th November 1996.

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After revisions in the light of discussions during the review, final approval of the Survey for publication was given by the Committee on 13th December 1996.

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The previous Survey of of France was issued in September 1995.

Assessment and recommendations

Growth has slowed significantly since early 1995

After the brief and vigorous recovery between late 1993 and early 1995, which had been projected to continue in the previous *Survey*, growth has faltered to a rate of close to 1 per cent in 1996. The slowdown is largely due to the considerable weakening in export demand, while the lagged effects of the world-wide rise in long-term interest rates in 1994, coupled with the pressures on foreign exchange markets, may also have played their part, though to a lesser degree. Household spending was sustained and even accelerated in the first half of 1996, in part due to a rebound in activity after the strikes in late 1995 and government incentives to buy cars and build homes. As a result, the household saving ratio declined considerably from the high level reached in 1995. It is not impossible, however, that the tightening of fiscal consolidation as of the second half of 1995 restricted the strength of the upturn in consumption in early 1996. Also, weakening demand prospects and falling capacity utilisation rates dragged down business investment, and inventories contracted sharply in the first half of 1996. After falling for three quarters in a row, export growth resumed again in 1996, while import growth has been subdued since early 1995 in line with slow growth in final demand. As a consequence, the current account surplus has risen.

Unemployment is preoccupying

After a brisk rise during the recovery, private sector employment has been flat since mid-1995. It would appear

that, in recent years, the combination of wage moderation, government measures to reduce labour costs and incentives to increase part-time work has stimulated labour demand for given output. Despite this, with activity slowing, the unemployment rate started to rise again, reaching 12.6 per cent in September 1996.

Inflation recedes further

Wage inflation has remained low, with real wages flat. Consumer prices were pushed up by the VAT rate increase in August 1995. However, underlying inflation is decelerating slowly and is now close to 1 per cent, reflecting low labour cost pressure and sizeable slack in the economy.

Prospects for stronger growth are improving

While growth could remain sluggish for the remainder of 1996, the sharp easing in monetary conditions and the improvement in the international environment should set the stage for a stronger growth performance in the next two years. Private residential construction is already showing signs of a revival due to lower mortgage rates, and business sector investment is likely to rebound owing to a better demand outlook. An improving labour market situation should bolster consumer spending, even though continuing high unemployment – the unemployment rate may still be around 12 per cent in 1998 – may keep precautionary savings high. In addition, a pronounced inventory cycle should boost activity after the recent sharp destocking. There is uncertainty about the short and medium-term responsiveness of the French economy to changes in interest rates. Historically, it appears to have been rather low. It is likely to have risen considerably since financial market liberalisation in the mid-1980s, though it remains difficult to assess with any precision the medium-term growth effects of the recent substantial monetary easing. In addition, monetary easing has come later than in many other European countries, but has been more marked since

late 1995. This could imply a softer recovery compared to France's main trading partners, but perhaps also stronger growth later on.

Monetary conditions have eased substantially

The franc remained under considerable pressure throughout much of 1995 and, under these circumstances, the Banque de France had on two occasions temporarily to raise its repurchase rate. The intervention rate, which is the banks' main method of refinancing, remained unchanged. Three-month rates, which were at 5.9 per cent in early 1995, rose to 8 per cent in March before falling back to 5.9 per cent again in August. After climbing to 6.9 per cent in October, they settled at 5.5 per cent in December. Pressures on the franc have eased since late 1995 following the authorities' reiteration that budget consolidation would be given top priority. Central bank rates have been lowered in several steps and the three-month money market rate has fallen to 3½ per cent – its lowest level since the 1960s. Long-term interest rates have also come down and the differential against German rates has disappeared since May 1996. These positive developments have much to do with the increased credibility of macroeconomic policy and with market operators' confidence that the third phase of Monetary Union will be successfully implemented.

The tight monetary conditions of the early 1990s have been relaxed appreciably, despite short-term interest rates having had to be raised temporarily in order to cope with pressures on the foreign exchange market. With the fall in interest rates since late 1995, real interest rates are now low in international comparison and the effective exchange rate has not appreciated further. A monetary conditions index (which takes account of both interest rate and exchange rate movements) suggests that the current stance of monetary policy is far easier than that observed in any single year since the mid-1980s.

Part of the banking sector remains in trouble

Since the mid-1980s the French banking sector has been subject to several shocks and has not adapted well. As a result, profitability is rather low. Co-operatives and savings banks have adjusted better than commercial banks, in part because regulations give them a competitive advantage *vis-à-vis* the commercial banks. Furthermore, adjustment by commercial banks has also been severely hampered by a very restrictive collective agreement. The State has rescued several banks so far, the most important cases being the bailouts of the state-owned Crédit lyonnais and the semi-public Crédit foncier de France. Following the previous sizeable financial packages for Crédit lyonnais, additional financial support is to be provided, with the aim of privatising the bank quickly. A package of reforms, including the levelling of the competitive playing field, better internal and external prudential controls and the withdrawal of the State, needs to be implemented more quickly in order to improve the performance of the banking system.

The Maastricht deficit limit is within reach

Since 1993, public expenditure growth has been better controlled due to social security reforms and tighter budgeting by the State. Fiscal consolidation has progressed in line with medium-term objectives, with the general government deficit falling to around 4 per cent of GDP in 1996. To provide room for tax cuts, the State's budget for 1997 freezes nominal spending, which implies a considerable fall in outlays in real terms. This is a tougher spending objective than foreseen in the five-year fiscal plan for 1994 to 1998. The resulting lower State deficit, together with a smaller deficit of the social security system and a sizeable payment by France Télécom, should reduce the overall deficit to around 3 per cent in 1997. Even if, as foreseen by the OECD's projection, there is some deficit slippage, there should be room to take the measures needed to bring it back on track. In the absence of additional measures, further progress in fiscal consolidation will be slow and the

overall deficit could remain close to 3 per cent in 1998. But government debt in relation to GDP is in any case likely to remain below the 60 per cent Maastricht ceiling.

Direct taxes are set to fall

Household direct taxes will be reduced over the next five years, with the top marginal tax rate falling gradually from 56.8 per cent to 47.0 per cent in 2001. Even though the tax base will be broadened at the same time, net revenue shortfalls may amount to FF 75 billion in 2001 (nearly 1 per cent of GDP). A reform of direct household taxation was overdue as the tax schedule is among the steepest in the OECD and the tax base very slim. However, even after this reform, many loopholes will remain; the authorities do not envisage integrating the other direct household taxes, and even fewer households than today (currently some 50 per cent) will pay income tax in 2001. A significant reduction in tax and social insurance contributions may be difficult to obtain, given the rigidities on the spending side and the fact that a number of different authorities levy taxes (the State, local authorities, social security administrations). Despite these difficulties, the reforms introduced should allow a reduction in income tax and social insurance contributions as of 1997.

Social security reform tackles the chronic deficit problem

In late 1995, the government announced a wide-ranging social security reform containing two types of provision. In the first place, there were corrective measures aimed at restoring the situation of the general scheme within the space of two years. These measures included the creation of a new direct tax to fund an institution which will repay the accumulated debt (FF 250 billion) of the social security system, a freeze on family allowances in 1996, the raising of the contributions of pensioners and the unemployed to the health care scheme, which will nonetheless remain below average, and the application of means testing to another family allowance. In the second place, the plan

included structural measures mainly targeting health care spending, which in particular involved introducing Parliamentary control over social security spending, the establishment of various mechanisms designed to ensure compliance with the spending targets set by Parliament and the creation of regional hospitalisation agencies with extended powers in the area of hospital planning and funding. Mechanisms for enforcing spending objectives are planned, applying to both health professionals and hospitals. Controls will be reinforced by the use of medical guidelines and the accelerated introduction of personal medical files.

When announced, the reform was projected to turn the social security deficit into a surplus in 1997. However, revenue shortfalls and the slow pace of introduction of the health care reform measures is likely to keep the deficit at a high level in 1996. Further revenue and expenditure measures were announced in September 1996 which aim at reducing the social security deficit to FF 30 billion in 1997. While health care reforms since 1992 had considerable success in curbing spending, the pick-up in health spending since 1995 has shown the limits of the earlier reforms. The latest health reform package is a welcome break with past practice as it puts in place the necessary tools for expenditure control. The success of the reform will largely depend on the effective restructuring of the hospital sector which is likely to take time, and it will require political determination to enforce clawbacks in the case of overspending.

Beyond Maastricht: further reforms are needed

The government has outlined a five-year fiscal plan for 1997 to 2001 showing the State deficit falling to 2 per cent of GDP by the year 2001 on the assumption of GDP growth of 2.5 per cent per year. The pace at which fiscal consolidation is scheduled to proceed reflects the direct tax reductions planned over the next five years. In view of demographic changes, which would suggest that spending

pressures are likely to build up after the year 2000, further public spending cuts will probably prove necessary. The general scheme for private sector employees was reformed in 1993, the new arrangements providing for a gradual increase in the length of contributions conferring entitlement to the full rate of pension. Its financial position is likely to remain sound until about 2010, but the increase in expenditure thereafter could imply the need for a further reform of the system. The special pension schemes (covering mainly public sector employees) have not yet been reformed and pension payments are already rapidly increasing. Without reform, central and especially local government retirement outlays are set to rise considerably, while transfer payments to the railway's and farmers' schemes will have to remain substantial. Social spending by the State (on the minimum income, for example), could also be better controlled. In recent years, initial credits have often not been respected, which is to a large extent due to the sluggishness of activity. Savings could be achieved by making these systems more efficient and, in particular, by better monitoring the eligibility of those claiming entitlement. It is also important to ensure that such schemes result in reintegration of workers in the labour market.

Public sector management reforms could lead to a better use of resources. The remuneration system generates considerable wage drift due to promotions and advancement based on length of service. This poses considerable difficulties in times of low inflation as there is little room left to negotiate wage increases. Many other OECD countries have more flexible public sector management. In contrast with central wage fixing in France, wages are often not set in a uniform way. Where government entities manage expenditure envelopes, flexibility in setting remuneration often goes hand in hand with considerable leeway on staffing. However, the *de facto* job security enjoyed by French

civil servants is not incompatible with rigorous staff management, as there is considerable scope for adjustment given the numbers retiring every year. Flexibility in managing resources is one reason why some OECD Member countries have had considerable success in pruning expenditure since the early 1990s. In France, too, cutting the high tax burden, while reducing the deficit substantially, will be facilitated by the implementation of the Reform of the State which will give management better tools and incentives to improve the effectiveness of government action.

Large scope for improving labour market performance

Labour market performance deteriorated sharply between the mid-1970s and mid-1980s. The unemployment rate is currently 12½ per cent, and comprises a noticeable cyclical component. The structural component, which is put at between 9 and 10½ per cent, has not increased significantly since the mid-1980s. This high level reflects the substantial structural impediments in the functioning of labour markets. These are illustrated by the trend decline in the business sector employment ratio, which is now among the lowest in the OECD area. In response to rising unemployment, labour market policy initiatives since the late 1980s have mainly focused on reducing the cost of the least skilled workers, encouraging the employment of those in the greatest difficulty (young people, the long-term unemployed) and providing incentives to increase part-time work. The government has also taken steps to make the labour market more flexible. In connection with a considerable degree of wage moderation, these policies have increased the demand for labour at given output and cushioned the impact of slow growth on unemployment developments in recent years. On the other hand, policies aimed at a reduction in labour supply have remained prominent. Overall, unemployment should fall over the medium-term due to the reduction in cyclical unemployment, while the measures taken in recent years, in particular the reduction

in the cost of unskilled labour, should reduce structural unemployment. That said, the structural component is likely to remain sizeable.

Wage flexibility should be raised

Aggregate real wage adjustment to external and internal shocks was slow until the early 1980s, but real wage increases have tended to be lower than trend productivity growth since the mid-1980s, largely reflecting the sizeable amount of labour market slack. A number of factors can influence wage flexibility, in particular the wage negotiation system and the degree of competition on the product market. Labour legislation provides for a piling-up of advantages from the provisions of the labour code down to the individual contract. The wage negotiation process can take place at various levels: local or national, enterprise or industry. Agreements reached at the industry level are often extended to all firms in the industry, usually at the request of the social partners. The OECD's 1994 *Jobs Study* generally recommends the decentralisation of wage negotiations, which would have a positive impact insofar as wages would more accurately reflect differences in conditions at the local and enterprise level and the jobless would find it easier to return to employment. The study therefore recommends the phasing out of administrative extensions. In the case of France existing studies suggest, however, that such extensions do not hinder the decentralisation of the wage-setting process to any significant degree. While it is not impossible that extensions may in some cases be imposed on unwilling firms, maintaining them is also justified in the opinion of the French authorities because of the weakness of union representation and the concern to adjust the conditions in which compensation is negotiated.

Labour costs for the low-skilled are still too high

Unemployment among the least skilled has risen considerably and is very high. At the same time, labour cost increases for the least skilled were above average until the

early 1990s. The two main reasons for this were the successive increases in social security contribution rates and the rapid rise in the minimum wage, which was especially steep between the late 1960s and early 1980s. In order to guarantee a minimum income from work, while at the same time ensuring that the cost of labour does not prevent the hiring of unskilled workers, the French authorities adopted, as of 1993, a policy of appreciably lowering employers' social security contributions for low-wage earners. The *Jobs Study* for its part recommends that the role of the minimum wage as a distributive instrument be reassessed with the objective of increasing employment opportunities, and it also advocates that the minimum wage be differentiated by age and region. The OECD study also suggests that if the distributive consequences of this measure were judged unsatisfactory, they could be partially offset by introducing some form of employment-conditional benefit for the lowest paid. It would, however, be very difficult to achieve the same distributive objectives with this type of measure as with a minimum wage system. The French authorities are of the opinion that the objective of their action, which is to reduce the cost of unskilled labour without lowering the purchasing power of the wage-earners concerned, would not be properly understood if the guarantee of a minimum income from work, as represented by the SMIC, were to be weakened. The budgetary cost of both systems (that advocated by the OECD and that advocated by the French authorities) is considerable. So far, the reductions in social security payments in France have had to be financed by raising other taxes, which dilutes the positive employment effects of lower labour costs. Therefore, in a period of fiscal consolidation this strategy will not be fully successful unless it is associated with a very tight control of public expenditures.

Taxation and redistribution systems may see to it that some workers remain non-active and in a state of poverty

Thanks to its welfare system, France has managed to keep poverty rates low. However, taxation and redistribution systems are such that those who do find work again may see their incomes rising very little or even declining. Some people may therefore remain non-active or stay in poorly paid jobs. These mechanisms derive from various means-tested benefits, the high social insurance costs weighing on the lowest pay, the taxation of low incomes and high replacement rates to compensate for unemployment. Given the complexity of the current set-up, the pervasiveness of these effects is difficult to assess. Despite the 1993 reform of the unemployment insurance system, replacement rates calculated on the basis of the OECD's composite indicator (see note 36) have remained relatively high for low income earners. It should, however, be noted that this calculation makes no allowance for the tightening of eligibility criteria and the shorter duration of payments, which are part and parcel of the reform. Replacement rates are also high for recipients of the minimum income. The problems of the unemployment and poverty traps can be eased in various ways, one of them being to make benefit systems less generous. This is not the policy adopted by the French Government. With the objective of ensuring that the return to work results in an appreciable increase in income, the government has sought to lower effective marginal tax rates while maintaining adequate replacement incomes. In this respect, the abolition of the system of relief (*décote*) in the income tax reform and the earnings disregard built into the guaranteed minimum income are steps in the right direction. Early retirement schemes, particularly those coinciding with corporate restructuring, remain important tools of labour market policy and are the reason for the very low participation rate of older workers. The use of such passive labour market programmes should be scaled back.

Lay-off restrictions are important and work schedules should be more flexible

While employment protection legislation was eased in 1986, with the abolition of the administrative authorisation of dismissals, it was tightened somewhat again for mass layoffs in 1989 and 1993. The rules for dismissals for individual reasons are fairly liberal. The costs of mass layoffs and the time they take to implement are substantial because of the accompanying social plans. However, the social plans facilitate orderly restructuring. Apart from the legal restrictions, some collective agreements contain stringent obligations which can severely hamper the pace of restructuring. Although the rules concerning fixed-term contracts are fairly stringent, this has not hampered their rapid development.

In the past, part-time employment was underdeveloped by comparison with other OECD countries, which is probably attributable to the decision to assess taxes on the basis of family, rather than individual incomes. This implies that secondary earners taking up a part-time job can face high marginal tax rates. Even so, the supply of part-time jobs has risen substantially since 1992, with the introduction of generous incentives to provide such jobs. The current set-up may be very generous, bearing in mind the large number of part-timers wanting to work longer hours. Working hour flexibility for full-time workers is not as yet very developed, even though the relevant legislation has been relaxed. Since 1994, agreements providing for greater flexibility compensated by an overall reduction in working hours have been allowed, but little progress in striking such agreements has actually been made.

Active labour market policies need further reorienting

Active labour market policies have been used extensively in recent years, focusing on the integration of the young, reintegrating the long-term unemployed and providing work for those with a low earnings potential. The number of people enrolled has risen sharply, as have budgetary

outlays. Steps were taken recently to streamline some programmes and to reduce the generosity of others. However, a multitude of schemes remain and changes are frequent. This implies high information costs and many programmes generate heavy compliance and control costs. In addition some schemes, such as the public sector work programmes, are relatively ineffective in bringing people back into regular jobs. Systematic evaluation of labour market programmes was decided on under the 1993 five-year employment law. This has already resulted in the rationalisation of certain schemes and should lead to more effective labour market policies at a lower cost. Efforts to improve co-operation between the public employment service and the agency responsible for paying unemployment benefit and for the administration of most labour market programmes will need to be continued.

The education system could be further strengthened

While the educational attainment of the overall population is still relatively low in an OECD-wide perspective, the number of young people obtaining a diploma and the average length of study have risen considerably since the early 1970s and, measured according to these criteria, educational attainment is now amongst the highest in the OECD. However, deficiencies in the education system remain. The number of people dropping out of university without a diploma is very high and the school-to-work transition remains difficult, even though the links between schools and enterprises have been strengthened and the administration of training programmes has been decentralised. While continuing education is very well developed in terms of training hours, it does not appear to be very effective overall. Many programmes are relatively short, do not end with a diploma and tend to target the already well-educated.

Regulatory reform should be pursued more vigorously

In several areas, product market reforms could enhance the dynamism of the economy. Liberalisation of sheltered sectors is going ahead, largely due to the EU's single market initiative. Progress in raising competitive pressures across sectors is nevertheless very uneven. Deregulation of private transport services has made the most progress and the sector has adapted well to the changing environment. The pace of change has been slow for the state-owned airline company, however, and the public railway company has had difficulties accelerating the pace of adjustment and is a chronic loss-maker. Overall, consumers have benefited from lower prices, but continue to pay large amounts for financial assistance to public transport enterprises. The telecommunications sector has been opened more slowly than in most other OECD countries, but liberalisation will make a step forward with the partial privatisation of France Télécom and the dismantling of the remaining barriers to competition. State-owned companies still have a monopoly in the electricity and gas sectors and, on current plans, liberalisation will be slow. Simulation exercises by the OECD Secretariat suggest that a wide-ranging liberalisation programme could have substantial positive output effects.

Where the product market is concerned, progress could also be made in other areas. While privatisation has been pursued in recent years, many of the remaining enterprises on the privatisation list are performing badly and need considerable public financial support. The restructuring of enterprises in difficulty therefore needs to be accelerated. What is more, corporate development is only conceivable in a stable and rational regulatory environment; in this connection, the administrative burden of French enterprises needs to be eased. While there were some moves to reduce the cost of regulations in the past, much more needs to be done in this respect to make France a more lightly regulated country. Also, government programmes are often

fragmented and complex. This is true not only of labour market programmes, but also of research and development programmes as well. Their complexity and the large number of institutions make co-ordination and evaluation of the effectiveness of public spending difficult. Lastly, tax pressure can also play a role. It can affect the creation and survival of firms, and it can also influence people's labour market mobility inasmuch as this is to some extent reduced by the high fees and taxes on housing transactions.

A corporate governance system in transition

The French business sector is characterised by a strong concentration of ownership and by the relatively limited role played by the stock market in financing enterprises and allocating corporate control. Moreover, the role of state-owned enterprises is still considerable, despite the privatisations since the mid-1980s. The *Président directeur général*, combining offices which elsewhere are usually held by two individuals, remains rather independent of both internal and outside monitoring. While a two-tier board structure as in Germany is possible, a supervisory board exists only in a few enterprises; employees and banks play little role in monitoring decisions. Shareholders are less active than in the United States or the United Kingdom, institutional investors exercise voting rights less often, decision-making and reporting are often opaque, and the law provides less instruments to minority shareholders to monitor the actions of managers and majority shareholders. The concentration of executive powers is thus seen as a cause for concern because of the low level of effective counter-powers.

The performance in terms of profitability of public enterprises in the competitive sector has been lower than in the private sector, and control mechanisms have sometimes proved ineffective. Privatisations have resumed since 1993, and nine large companies have since been sold, with control passing in most cases to a group of investors acting in

concert. This system of cross-participation, frequent in the private sector, is another characteristic of privatised enterprises. It could encourage companies to pursue long-term objectives, but given the low degree of control contestability, it also protects managers from market pressures.

The French corporate governance system was suited for an environment where banks were the main providers of external financing, the State played a key role in setting corporate priorities, and the market of reference was primarily the domestic one. Financial market liberalisation since the mid-1980s, the globalisation of business activities and the retrenchment of the State have combined to create pressures for changes in corporate governance, which have already resulted in significant changes. The role of equity in financing enterprises has risen considerably. Recent privatisations have seen a sizeable participation by foreign investors who have proved in general more assertive in pressuring underperforming companies; a few cross-holdings with low profitability have been sold; and the employers' association has acknowledged the need to provide more transparent methods of corporate monitoring, namely by reducing cross-participations and increasing the number and powers of independent directors. Overall, the French corporate governance system is in a transition towards a more balanced model with regard to shareholders. The introduction of pension funds, if they are fully independent from listed companies and their shareholders, the withdrawal of the State from banking, and the introduction of some mechanisms to ease shareholders' monitoring could move the governance system further towards the shareholder (outsider) model. Whatever faults the French corporate governance system may have, they have not impeded French per-capita income from being among the highest in the world and France from being one of the main host countries for inward investment.

Summing-up

Macroeconomic policies have made a great deal of progress in raising overall policy credibility and the macroeconomic policy mix has improved considerably. The sharp fall in interest rates since late 1995 and an improving international environment should set the stage for stronger growth in coming years. It is important to solidify these gains – notably by a strong commitment to fiscal consolidation. While public finances have improved, medium and long-term considerations suggest that expenditure reforms should be pursued vigorously to provide room for tax cuts and sizeable further deficit reductions. In recent years, France has embarked upon numerous structural reforms in both goods and labour markets which need to be amplified. This would make it possible to boost growth potential, improve the budgetary situation and help reduce unemployment.

I. Recent trends and prospects

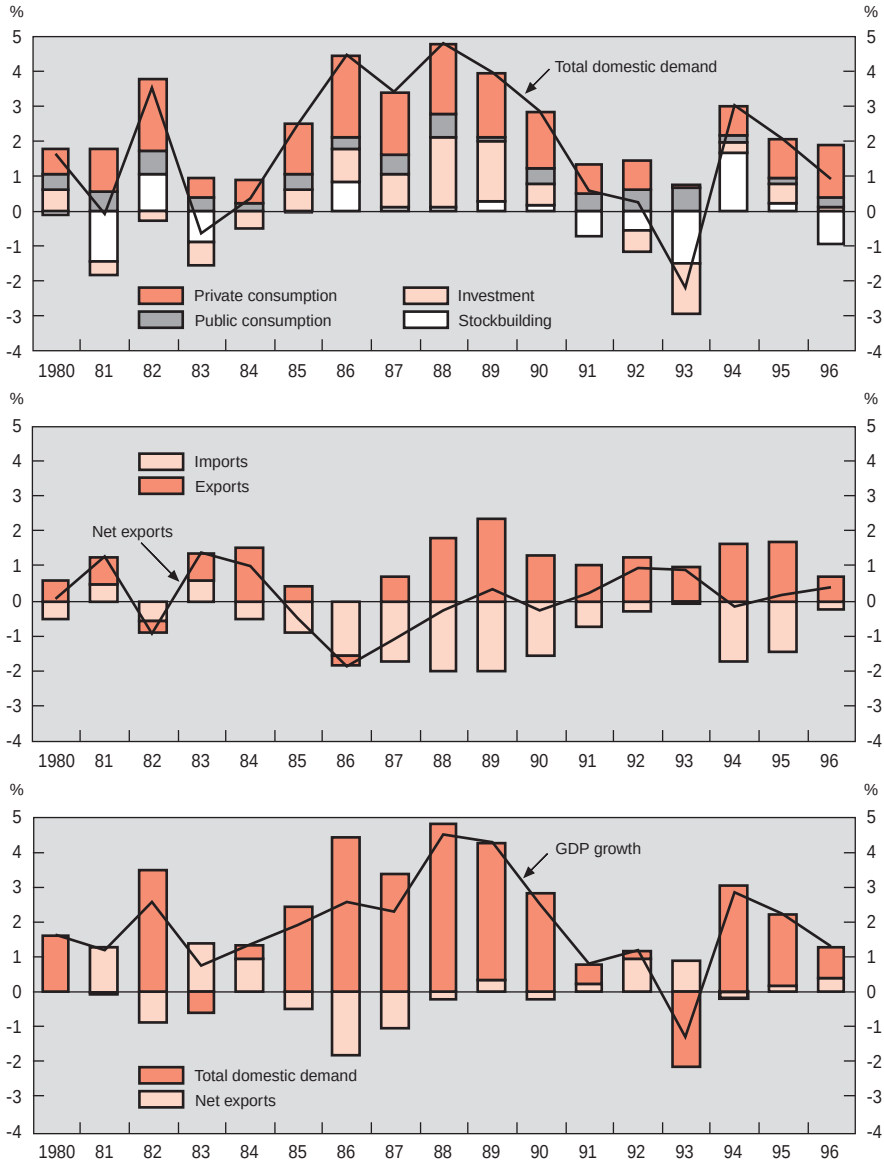
Significant slowdown in growth

After the 1993 recession, the economy recovered strongly, due to a sharp turnaround in external demand and a strong contribution from stockbuilding. This was followed by a pick-up in consumption and investment in 1994 (Figure 1). However, economic activity has slowed significantly since the beginning of 1995. The deceleration was largely due to a sharp weakening of exports. The lagged effects of the world-wide rise in long-term interest rates in 1994, tensions in foreign exchange markets and the strengthening of the process of fiscal consolidation in the second half of 1995 also played a role, though to a lesser extent. Year-on-year GDP growth peaked at a rate of 4.2 per cent in the fourth quarter of 1994, but was down to only 0.4 per cent in the second quarter of 1996. At the same time, the quarterly profile of GDP was strongly influenced by government measures affecting household spending, by the strikes in December 1995 and by changes in working day patterns.

In 1995, private consumption rose by 1.8 per cent (Table 1). In the first half, purchases of durable goods were boosted by government incentives to buy cars, but consumer spending became very hesitant in the second half, reflecting slower income growth due to tax increases, limited job creation and cautious saving behaviour. The strikes in late 1995 depressed consumption further. However, the renewed government incentives for car purchases and the rebound in activity after the labour conflict strengthened household spending which rose by nearly 4 per cent (annual rate) in the first half of 1996. Despite sharp quarterly fluctuations, the trend of private consumption growth has been remarkably smooth since 1994. Household real disposable income has fluctuated much more – expanding by more than 4 per cent (year-on-year) in mid-1995 – mainly boosted by the brisk rise in employment. This implied a considerable rise in the

Figure 1. **CONTRIBUTIONS TO GDP GROWTH**[1]

As a percentage of GDP in the previous year



1. 1996 figures are OECD estimates.

Source: OECD, *National Accounts.*

Table 1. **Household appropriation account**

Percentage change, annual rate

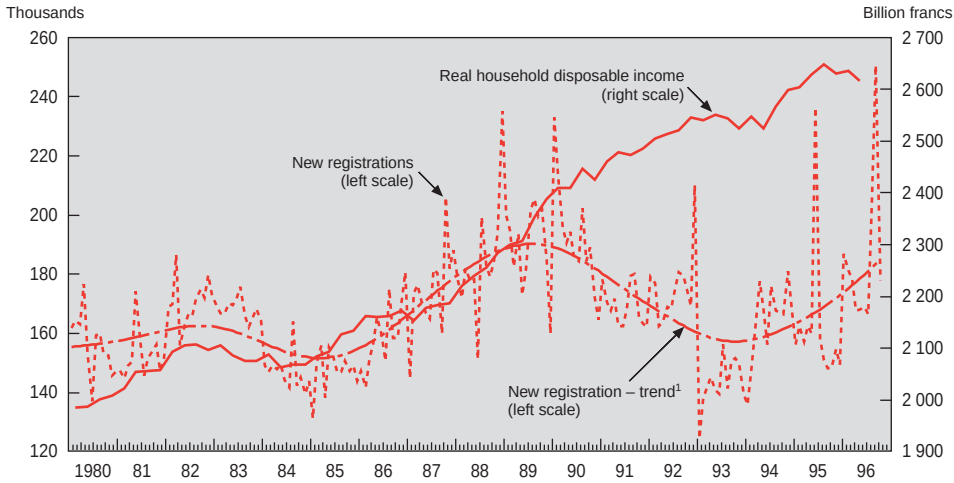
	1991	1992	1993	1994	1995	1996 S1
Compensation of employees	4.8	3.8	2.0	2.4	3.8	3.7
Property and entrepreneurial income	6.5	3.9	0.6	1.2	4.8	1.6
Current transfers received	6.9	6.5	6.1	2.7	3.7	1.5
Total income	5.9	4.4	2.9	3.0	4.2	2.7
less:						
Direct taxes	17.6	4.2	4.2	5.5	2.9	9.2
Current transfers paid	4.2	4.6	2.4	2.4	4.1	4.8
Disposable income	5.4	4.3	3.0	2.9	4.3	1.4
Private consumption	4.6	3.8	2.4	3.5	3.5	6.0
Saving ratio	13.2	13.6	14.1	13.6	14.3	12.5
of which:						
Financial saving	4.9	6.4	7.7	7.0	7.7	. .
Non-financial saving	8.3	7.2	6.4	6.6	6.6	. .
Real disposable income	2.1	1.9	0.7	0.8	2.7	–0.7
Real private consumption	1.4	1.4	0.2	1.4	1.8	3.8

Source : OECD, *National Accounts* and INSEE (1996), *Rapport sur les comptes de la Nation 1995*.

saving ratio, despite reduced job uncertainty. Disposable income growth has slowed again since mid-1995, while private consumption growth has remained sustained and the saving ratio fell considerably in the first half of 1996. While a desire to smooth consumption is probably the major reason behind the changes in the saving ratio, interest rate changes may also have influenced its evolution – they declined in 1994, rose again in 1995 and fell sharply in the first half of 1996.

Since 1990, car purchases have been influenced by several government measures (Figure 2). Tax incentives to encourage purchases of vehicles fitted with catalytic converters were in place between 1990 and 1992. Two years later, government subsidies were offered to purchasers of new cars between January 1994 and June 1995, and again between September 1995 and September 1996. These measures led to large fluctuations in car purchases. However, such measures do not influence the user cost of cars permanently. Their effect on the demand for new cars was only temporary and car registrations in the first half of 1996 were close to the 1990 level despite the rise in real disposable income. The latest incentive scheme was not replaced with a new one.

Figure 2. **CAR REGISTRATIONS AND DISPOSABLE INCOME**



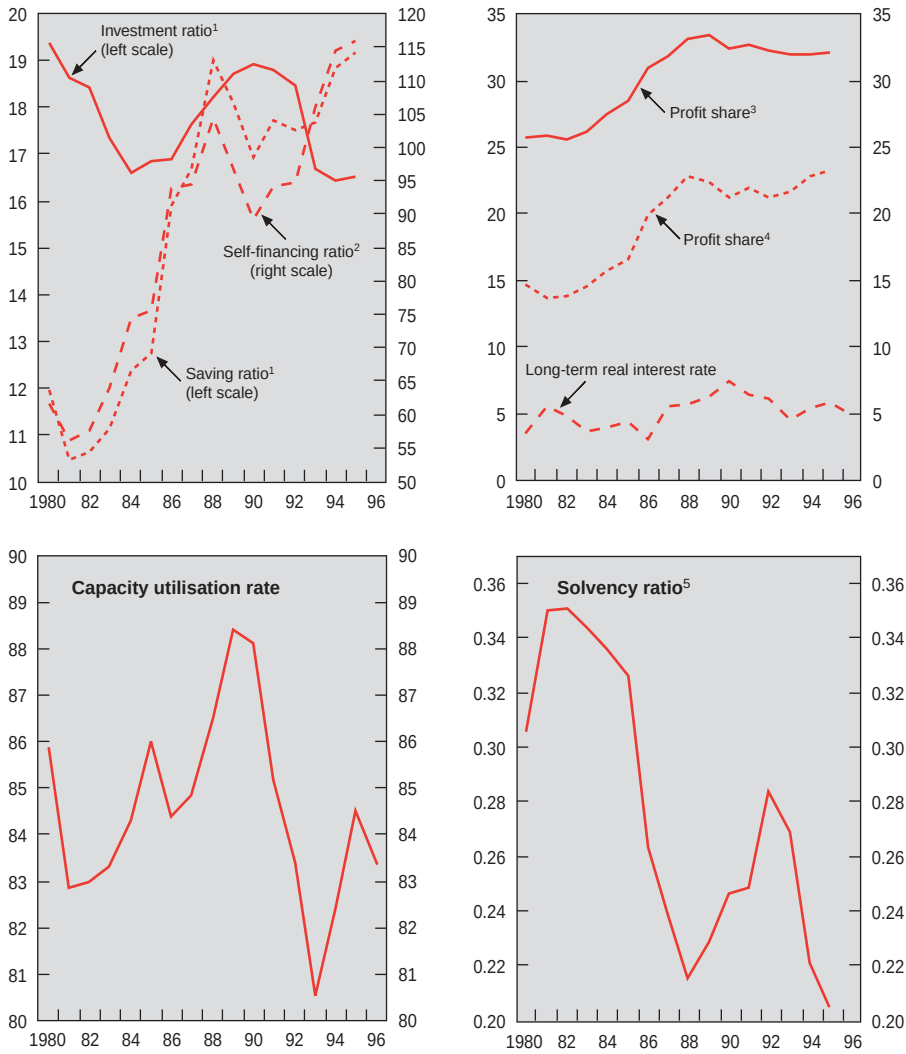
1. Hodrick-Prescott filter, lambda = 14 000.
Source: OECD, *Main Economic Indicators* and OECD Secretariat.

Residential investment recovered in 1994 and grew by 3 per cent in 1995 – about in line with disposable income. That it did not recover more after the substantial fall between 1991 and 1993 is presumably due, among other reasons, to the high level of mortgage interest rates. However, more favourable conditions, due to government incentives (interest free housing loans have contributed to 10 000 new loans each month since October 1995 and fiscal incentives have encouraged private rental investment), a decreasing stock of vacant new dwellings and lower mortgage interest rates since late 1995 have led to stronger activity in the housing market since early 1996.

The recovery of business investment was weak after the sharp decline in the early 1990s, largely due to flagging activity (Figure 3). The capacity utilisation rate rose only little between mid-1994 and mid-1995 and fell again to below the long term average in July 1996. Despite high expectations reported in INSEE's April investment surveys for 1996 (a rebound in investment spending of 7 per cent in real terms for the year as a whole), business investment fell somewhat in the first half of 1996. The considerable fall of business investment in the

Figure 3. **BUSINESS INVESTMENT AND ITS DETERMINANTS**

Per cent



1. As a percentage of value added.
2. Savings ratio/investment ratio.
3. Gross operating surplus as a percentage of value added.
4. Gross operating surplus less net interest and direct taxes as a percentage of value added.
5. Interest payments/gross operating surplus.

Source: INSEE (1996), *Rapport sur les comptes de la Nation 1995* and OECD Secretariat.

early 1990s and the weak recovery thereafter have led to a substantial deceleration in the growth of the business sector capital stock (from 3.6 per cent in 1990 to 2.1 per cent in 1995). In the manufacturing sector, capital stock growth decelerated even more sharply to only 0.8 per cent in 1995. The profitability of the business sector (as measured by the national accounts operating surplus) has remained high since the early 1990s. Cash flow was more than sufficient to cover investment outlays, and indebtedness was reduced further. These data suggest that the high level of profitability had little influence on investment decisions. This could be partly due to the high level of real interest rates, but it could also be that the national accounts profit measure overstates the strength of balance sheets. While balance sheet data for the manufacturing sector also show relatively high levels of profitability, the rise since the mid-1980s is less impressive. The data also show a stronger cyclical movement during the 1990s than the national accounts data. Balance sheet data take into account changes in the valuation of assets and provisions and may thus provide a better measure of profitability.

The stock cycle seems very pronounced over the recent period. After the sharp destocking in 1993, the contribution of stockbuilding to growth was considerable in 1994, and destocking was again a major feature of the slowdown in growth since early 1995. Apart from these large swings, stocking behaviour appears to have changed. While the stock/output ratio was fairly stable during the 1980s, it has been declining since the early 1990s. Apart from pruning fixed investment, businesses also appear to have reassessed inventory management practices. In the first half of 1996, the stock/output ratio was low compared to its trend level.

Employment growth has stalled

After a brisk but brief recovery, employment growth faltered during 1995. Between the third quarter of 1995 and the second quarter of 1996, the number of employees in the private sector remained constant, with the rise in service sector employment being offset by the decline in manufacturing and construction employment (Table 2). Despite the unchanged level of employment, the number of part-time private sector jobs continued to grow rapidly. Overall employment developments have not deviated much from that in the private sector, with the rise in government employment almost offsetting the decline in self-employment.

Table 2. **Employment and inflation developments**

Percentage change, annual rate

	1991	1992	1993	1994	1995	1996[1] S1
1. Employment						
Labour force	0.6	0.4	0.3	0.7	0.3	1.0
Unemployment rate (per cent)	9.4	10.4	11.7	12.3	11.7	12.3
Total employment	0.0	–0.6	–1.2	0.1	0.9	–0.2
Employees	0.4	–0.2	–0.9	0.4	1.3	0.0
Private sector	0.1	–1.0	–2.2	0.2	1.2	–0.1
Government	1.0	1.9	2.5	1.1	1.4	0.2
Self-employed	–2.4	–3.5	–3.4	–2.5	–2.0	–1.8
Labour productivity						
Output per employed person	0.8	1.8	–0.1	2.7	1.3	1.7
Hourly productivity	1.1	2.6	0.9	2.9	1.2	..
2. Inflation						
Wage developments						
Private sector						
Hourly wage rate	4.7	4.1	2.5	1.9	2.4	1.8
Wage sum per employe	4.6	3.6	2.9	1.9	2.2	3.8
Real labour cost	1.1	1.8	0.4	0.2	0.5	2.3
Unit labour cost	3.8	1.9	2.6	–1.1	1.1	2.4
Total economy						
Compensation per employee	4.4	4.0	2.9	2.0	2.5	3.7
Unit labour cost	4.0	2.6	3.4	–0.4	1.6	2.2
Price and cost developments						
Private consumption deflator	3.2	2.4	2.2	2.1	1.6	2.1
GDP deflator	3.3	2.1	2.5	1.5	1.7	1.8
Producer prices (manufacturing)	–1.2	–1.1	–2.2	1.2	5.1	–3.7

1. Partly projected.

Source : OECD Secretariat and INSEE.

After rising steeply for three years, the unemployment rate fell considerably between mid-1994 and mid-1995, reaching a low point of 11.6 per cent in mid-1995. However, with the deteriorating labour market situation, the unemployment rate has drifted up again to reach 12.6 per cent in September 1996. The richer job content of growth limited the rise in the unemployment rate following the slow-down of activity. In addition, the labour force grew strongly. Discouraged workers have apparently been drawn back into the labour force, perhaps the result of government incentives to hire low-skilled people and the long-term unemployed. Labour market developments and policies are discussed in Chapter III of this *Survey*.

Inflation remains moderate

Despite some pick-up due to the improved labour market situation, wage increases remained moderate in 1995. The weaker economic outlook in the second half of 1995 and rising unemployment contributed to somewhat lower nominal wage growth, and real wages did not rise in the first half of 1996. Low cost pressures and the persistence of cyclical slack kept inflation low until August 1995, when the standard VAT rate was raised by 2 percentage points (from 18.6 to 20.6 per cent). The increase had a smaller effect on consumer prices than mechanical calculations would imply, and the 12-month rise in price inflation decelerated to 1.8 per cent in October 1996. Underlying inflation, defined as inflation excluding food, energy, regulated prices and taxes, has remained low and is currently somewhat above 1 per cent.

A strong external balance

In 1995, the current account showed a record surplus of FF 80 billion, equivalent to 1.1 per cent of GDP (Table 3). The surplus remained high in the first half of 1996. Exports of goods and services expanded substantially until the first quarter of 1995, but fell over the following three quarters, implying a considerable loss in market shares. Export growth resumed again in the first half of 1996. Import growth has decelerated less than economic activity since early 1995, and import penetration has risen. The trade balance, in surplus since 1992, is improving further while trade in services recorded a surplus of FF 72 billion as in 1994. The surplus of the tourism account (which is the major component of services) fell significantly for the first time in 10 years. Strong tourism competition from countries with depreciating currencies boosted expenditure by French tourists abroad and tourism receipts were dampened by the terrorist attacks in summer 1995 and the strike in December 1995.

The deficit on investment income dropped to FF 31 billion from FF 57 billion in 1994, owing mainly to a reduction in non-residents' holdings of French securities and lower interest rates. Net official transfers also declined. As a counterpart to the surplus on the current account, capital outflows increased in 1995 to FF 104 billion, up from FF 36 billion in 1994. Both net long-term (FF 45 billion) and short-term (FF 57 billion) capital outflows have contributed to

Table 3. **Balance of payments**

Balances, FF billion

	1993	1994	1995	January-August	
				1995	1996
Current account	52.4	38.4	79.7	62.8	69.8
Goods	42.6	37.7	55.8	40.1	54.9
Services	62.0	73.7	71.7	50.2	46.7
of which: Tourism	60.7	60.5	56.0	38.8	35.8
Other goods and services	30.3	29.1	18.0	12.6	4.8
Revenues	–47.9	–46.1	–25.0	–10.3	–10.3
Current transfers	–34.6	–56.0	–40.4	–19.3	–19.8
Public sector	–30.7	–51.4	–39.6	..	..
Other	–3.9	–4.6	–0.8	..	..
Capital account	–0.4	–25.2	–0.9	–0.4	–0.7
Financial account	–66.9	–35.8	–104.1	–82.1	–88.5
Investment					
Direct	..	–36.1	24.3	17.7	–17.6
Portfolio	..	–284.0	–10.6	20.2	–280.4
Other	..	297.8	–114.2	–116.7	210.0
Reserves	30.9	–13.5	–3.6	–3.3	–0.5
Net errors and omissions	15.0	22.6	23.6	23.0	28.4

Source : Ministère de l'Économie et des Finances and Banque de France.

this result. In the first half of 1996, a large net outflow of long-term portfolio investment was recorded. Short and long-term capital transactions have shown strong fluctuations, largely reflecting the changes in interest rate differentials against other financial markets.

Contrary to what might have been feared, French competitiveness has not worsened despite the sharp fluctuations in exchange rates between European currencies since 1992 and against the dollar. Indeed, according to the OECD indicator, France's nominal effective exchange rate rose by nearly 10 per cent (overall) between 1991 and 1995 after having been relatively stable between 1987 and 1992. Between mid-1992 and mid-1996, the franc appreciated against the pound sterling by some 20 per cent, and against the lira[1] and peseta by close to 35 per cent. These changes are fairly impressive but they are not a good guide to assess overall competitiveness as: *i)* France is trading with many other countries; *ii)* profit margins can absorb part of exchange rate changes; and

Figure 4. **MEASURES OF INTERNATIONAL COMPETITIVENESS**[1]

1. 1996 figures are OECD estimates.
2. Relative export prices/relative labour costs in manufacturing.
3. Imports of goods are on a customs basis.

Source: OECD Secretariat.

iii) France's inflation performance is generally better than elsewhere. Lower inflation in France and some fall in profit margins has implied that real bilateral exchange rates based on export prices have changed much less. On this basis, there was not much change *vis-à-vis* the United Kingdom between mid-1992 and mid-1996, while the appreciation of the franc against the lira and peseta was some 10 and 15 per cent, respectively. Also taking into account changes against other currencies, relative export prices in a common currency increased only by some 2 per cent, while the rise in unit labour cost in a common currency was somewhat stronger (Figure 4). Both indicators show that competitiveness was still stronger in mid-1996 than in 1987. Overall, French companies have lost some market share since 1988. This is, nevertheless, in line with a trend decline in market shares of most OECD countries, reflecting the rapid rise in foreign trade by emerging exporting countries.

Medium-term trend growth also slowed

At 1 per cent per year, per-capita GDP growth was very slow between 1989 and 1996, and considerably below growth in earlier decades. This growth performance was in line with the other large European economies. At the same time, growth of potential output also slowed, largely reflecting the deceleration in capital stock and the upward drift in the structural unemployment rate until 1993. Despite the slowdown in potential output growth, the Secretariat's estimate suggests that a sizeable output gap opened up. While the output gap diminished somewhat during the recovery it opened up again in 1996. The OECD's measure of economy-wide capacity utilisation points to a difference between actual and potential output of 3 per cent.

While living standards have continued to rise, they have done so much more slowly than in previous decades and, with rising unemployment, job insecurity has increased. These factors explain in part the low level of consumer confidence. In addition, slow growth had a considerable impact on government receipts, while heightening spending pressures. However, this situation does not need to continue. The macroeconomic policy mix has improved substantially and regulatory reforms in goods markets and a more liberal labour legislation should help in boosting medium-term growth prospects.

Short-term economic prospects

Recent indicators point to the continuation of slow growth for the remainder of 1996. Business confidence and domestic and export order books have started to recover but are still at a relatively low level. Consumer confidence has also remained low. However, consumption of durables rose strongly in the third quarter of 1996, prior to the expiration of the incentives to buy new cars; a considerable decline in the fourth quarter is expected. On the other hand, the recovery in the housing market could solidify over the next few months. While the strong investment growth predicted in business surveys for 1996 should probably be discounted, a modest rise in business investment in the second half of 1996 is projected.

The OECD's fiscal projections are based on the measures announced in the 1996 and 1997 budgets and incorporate the measures affecting the social security schemes described below. It is assumed that social spending growth will be somewhat above the official projections. For 1998, no further tax cuts or reductions in employer's social security contribution rates are included. Overall, the fiscal stance between 1996 and 1998 embodied in this scenario is mildly restrictive. Long-term interest rates are expected to continue to follow German rates and rise somewhat over the projection period. Short-term rates could ease back further over the next few months but rise thereafter, with some further decline in the differential against German rates.

The current economic weakness should dissipate progressively and output growth may accelerate to 2½ per cent in 1997 and 1998 (Table 4). Business investment is expected to rebound due to reasonable profitability, the gradual take-up of spare capacity, and the more favourable outlook for demand. Lower interest rates and government incentives should lead to stronger growth of residential construction. Better employment prospects and faster income gains should bolster consumer spending. Stockbuilding could rise from the low levels of early 1996, and its contribution to growth could be substantial over the projection period. The international environment is set to improve, with export markets projected to grow by 6 to 7 per cent throughout the forecast period, with the current account surplus rising somewhat further. Employment growth is expected to increase, and the unemployment rate could be 12 per cent by the end of 1998. Wage inflation is likely to remain low given the amount of cyclical slack in the

Table 4. **Short-term projections**

Percentage changes, seasonally adjusted annual rates, 1980 prices

	1996	1997	1998	1996	1997		1998	
				II	I	II	I	II
Private consumption	2.4	1.7	2.4	0.8	1.9	2.2	2.4	2.5
Government consumption	1.6	1.1	1.0	1.1	1.1	1.0	1.0	1.0
Gross fixed investment	0.6	2.5	3.4	3.6	1.9	2.7	3.5	4.1
General government	–2.5	–0.2	0.0	9.0	–4.0	–1.0	0.0	1.0
Households	1.5	2.3	3.3	1.6	2.4	2.8	3.3	3.6
Business	1.1	3.4	4.5	2.8	3.5	3.8	4.6	5.1
Stockbuilding [1]	–1.0	0.5	0.2	0.5	0.6	0.5	0.3	0.0
Total domestic demand	0.9	2.3	2.6	2.0	2.3	2.5	2.6	2.5
Exports of goods and services	2.4	5.8	6.4	5.0	6.0	6.3	6.4	6.5
Imports of goods and services	1.1	5.3	6.3	4.3	5.3	6.3	6.3	6.3
Foreign balance [1]	0.4	0.2	0.1	0.2	0.2	0.0	0.1	0.1
GDP	1.3	2.5	2.6	2.2	2.5	2.6	2.6	2.6
Employment	0.0	0.3	0.8	–0.1	0.4	0.6	0.8	0.9
Unemployment rate [2]	12.4	12.5	12.1	12.6	12.6	12.4	12.2	11.9
Household saving ratio [3]	12.7	12.6	12.4	..	..	..	..	..
Private consumption deflator	1.8	1.3	1.2	1.4	1.3	1.2	1.2	1.3
GDP price deflator	1.7	1.3	1.4	1.4	1.2	1.3	1.4	1.4
Interest rates (per cent)								
Short-term	3.9	3.3	3.8	3.6	3.2	3.4	3.6	3.9
Long-term	6.6	6.1	6.3	6.3	6.0	6.1	6.2	6.3
General-government borrowing requirement [4]	–4.1	–3.2	–3.0	..	..	..	..	..
Current balance [4]	1.3	1.5	1.6	1.0	1.4	1.6	1.6	1.7

1. Contribution of change to GDP growth.
2. Per cent of the labour force.
3. Per cent of disposable income.
4. Per cent of GDP.

Source : OECD Secretariat.

labour market. The waning of the price effect of last year's VAT rate hike, the weakness of cost pressure and the persistence of a sizeable output gap imply that inflation should remain very low.

The projections point to a revival in economic activity, largely due to stronger foreign demand and much easier monetary conditions. However, there is considerable range of uncertainty about the interest rate sensitivity of the French economy. Earlier empirical work did not show significant effects on growth from interest rate changes. However, more recent research provides evidence that such

effects could have risen markedly since the financial market liberalisation in the mid-1980s. In addition, monetary easing in France came later than in many other European economies, but was stronger in the first half of 1996. This could imply a more hesitant recovery than elsewhere, but stronger growth later on. The substantial destocking in the first half of 1996 could lead to a more pronounced stock cycle than projected. On the other hand, the saving ratio has fallen considerably and a rebound above the baseline projection cannot be excluded – at least in the short run.

II. Macroeconomic policies

Monetary policy

Since its independence in 1994, the Banque de France has defined and implemented monetary policy. The aim of the French monetary authorities is to maintain the internal and external value of the currency. Decisions concerning the exchange rate regime and the parity of the franc have remained with the government, but implementation is the responsibility of the central bank. The setting of monetary policy is conducive to attaining the Maastricht criteria. The Maastricht criteria for inflation and long-term interest rates are currently being met and are on track for the 1997 deadline. Exchange rate volatility of the franc within the Exchange Rate Mechanism (ERM) of the European Monetary System (EMS) has been low since late 1995.

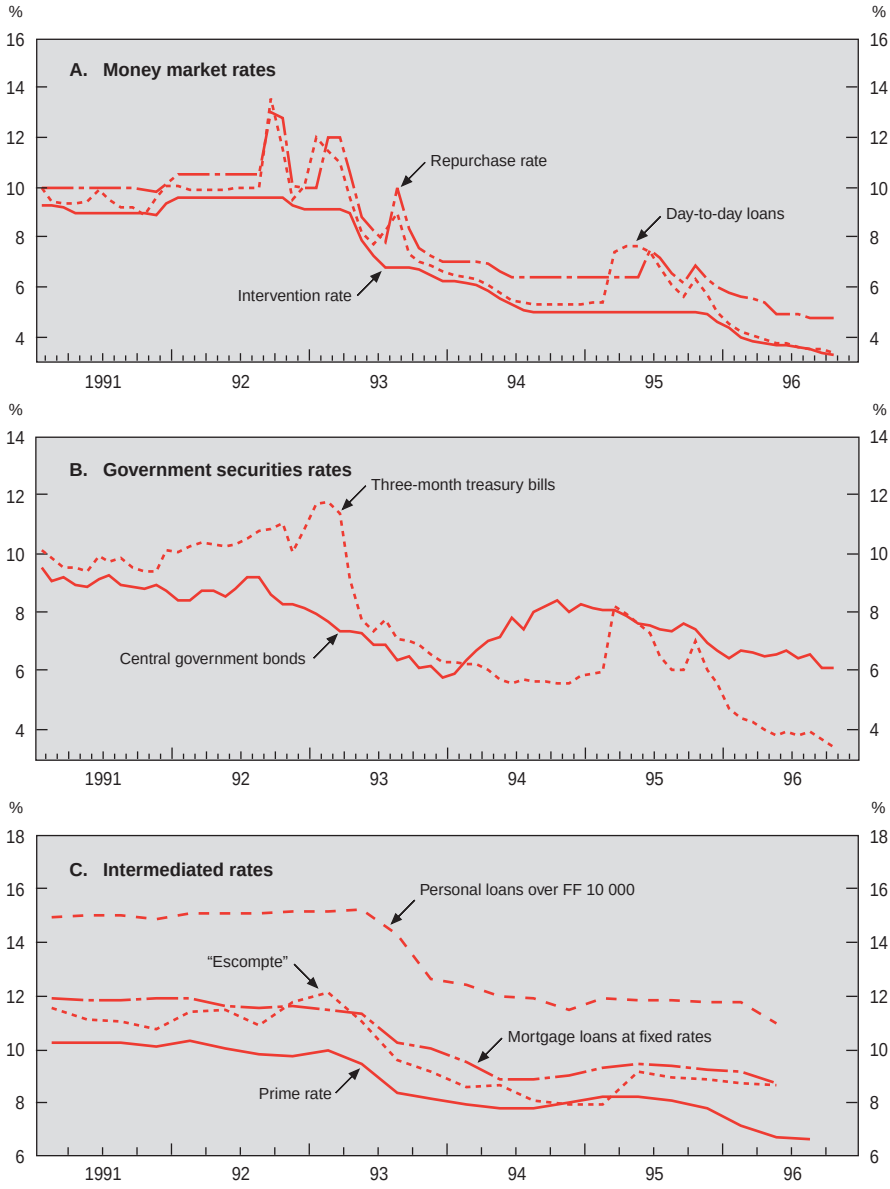
Interest rate and exchange rate developments

In the first half of 1995, the franc was under considerable pressure due to international and ERM currency turbulence and uncertainties before the elections in late April and early May. To contain speculation, the repo rate was raised to 8 per cent (Figures 5 and 6). The franc recovered after the elections, and the repo rate was cut back in several steps to 6.15 per cent in August. Market turbulence had little effect on long-term interest rates, which fell in line with German rates – even though the interest rate differential remained stable and substantial at some 60 to 70 basis points.

Currency tensions flared again in late September 1995 and the central bank raised the repo rate to 7.25 per cent in early October to defend the franc's parity. Pressure on the franc eased again when the government reiterated that budget consolidation would be its top priority for 1996 and 1997. This commitment and reduced uncertainty about the future of the single currency project calmed

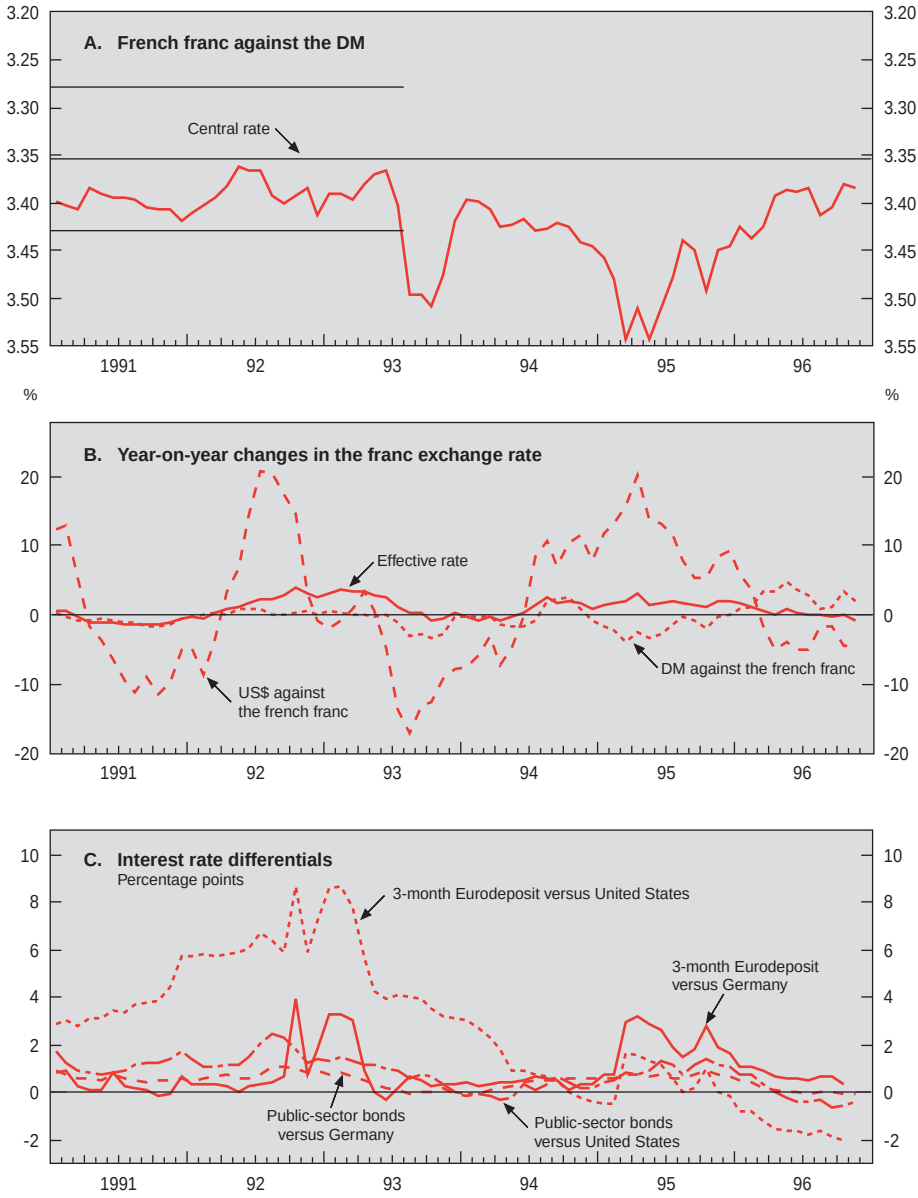
Figure 5. **INTEREST RATE DEVELOPMENTS**

Per cent



Source: OECD Secretariat.

Figure 6. **EXCHANGE RATES AND INTEREST RATE DIFFERENTIALS**



Source: OECD, *Financial Statistics* and OECD Secretariat.

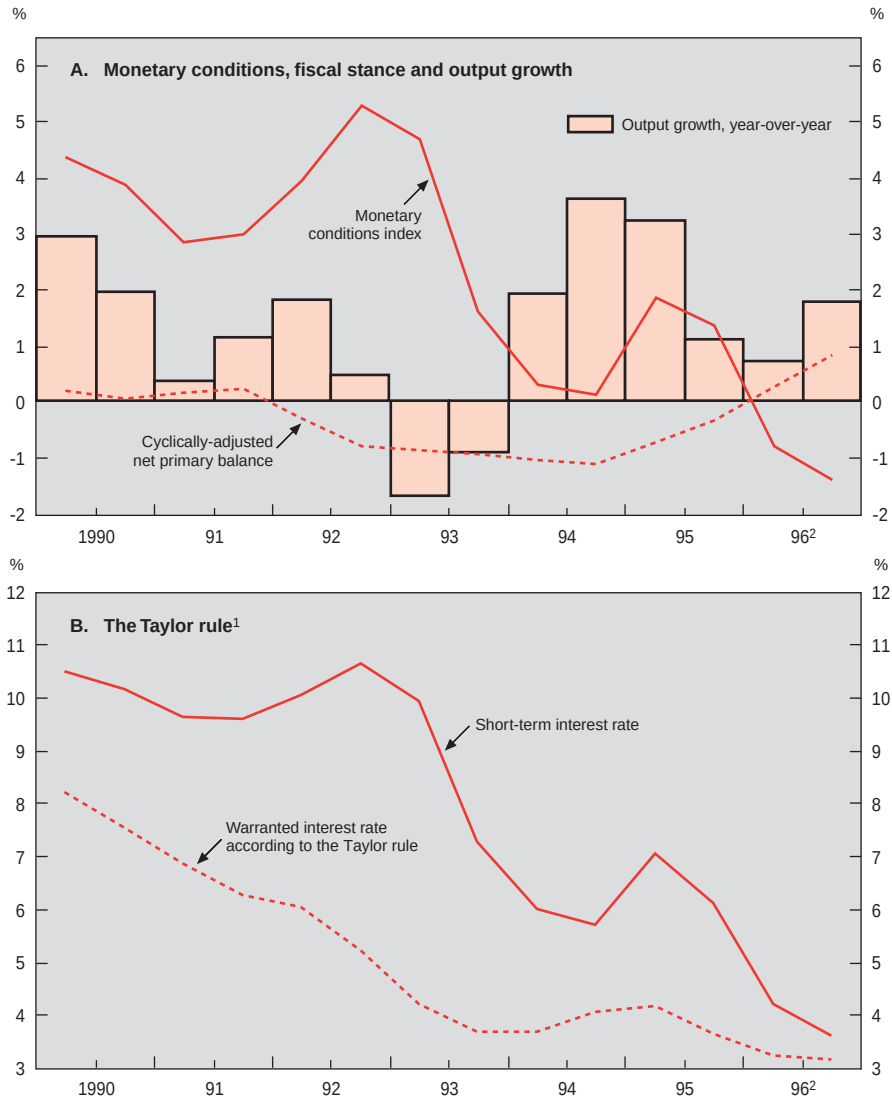
currency markets and induced a considerable decline in interest rates in the following months. Central bank lending rates were cut in several steps until October 1996. By then, the intervention rate had been lowered to 3.20 per cent (from 5 per cent in October 1995) and the repo rate to 4.75 per cent. Short-term interest rates followed, with three-month money market rates being currently close to 3½ per cent – the lowest level since the 1960s. Short-term interest rates are also low when compared with the other G7 countries – they are lower only in Japan and Germany. A third of the overall decline of some 250 basis points since late 1995 reflects monetary easing in Germany, while the other two-thirds is due to the narrowing of the interest rate differential. Apart from mild speculation between July and mid-September 1996, which had little effect on interest rate developments, the franc has remained close to its central parity in the ERM grid since late 1995. The effective exchange rate has hardly changed.

Monetary easing, improved macroeconomic policy credibility and greater certainty that the EMU project will go ahead as planned all helped to lower long-term interest rates. Since last year, they have fallen more than 100 basis points to below 6.0 per cent currently. The interest rate differential against German rates, which was still substantial a year ago, disappeared in May, and French rates fell below German rates. As with short-term interest rates, nominal long-term interest rates are comparatively low in international terms. Mortgage interest rates and bank lending rates for enterprises have also come down. The prime lending rate to businesses, for instance, has fallen to 6.55 per cent (from 8.25 per cent a year earlier). However, rates for some forms of credit still remain very high, especially for small enterprises.

The large change in monetary conditions over the last few years are well captured by a monetary conditions index, which combines interest rate and exchange rate developments (Figure 7). The construction of the index reflects the idea that interest rates influence several domestic demand components, while differences in monetary settings across countries lead to capital flows and exchange rate movements and, therefore, to changes in foreign and import demand. Like any simple indicator, the monetary conditions indicator (MCI) has limits. By construction, the MCI can measure changes in monetary policy in relation to an average, but for want of neutral objective yardsticks, it reflects only a relative degree of tightness of monetary conditions. Nor does it take account of other factors affecting activity, such as the stance of fiscal policy. Furthermore,

Figure 7. **MONETARY CONDITIONS AND THE TAYLOR RULE**[1]

Per cent



1. The Taylor rule calculates an "optimal" interest rate, taking into account deviations from the inflation target and deviations of actual from potential output. The calculation is explained in footnote 3 of the text.
2. Data for the second semester of 1996 are projections.

Source: OECD Secretariat.

the Banque de France considers that it would be desirable to include long-term rates in the indicator insofar as they play an important role in the financing of the French economy.

Figure 7 shows that monetary conditions were tight in the early 1990s (real short-term interest rates were close to 7 per cent) and eased thereafter. This is illustrated by other indicators (Table 5). The easing continued until the first half of 1996. In international comparison, real interest rates are now among the lowest, and the yield curve is among the steepest. The ''Taylor rule'' – a rule-of-thumb calculation[2] for setting the short-term interest rate at the right level to achieve the central bank's inflation target and reduce output fluctuations[3] – suggests that interest rates have come down to a level that is consistent with medium-term growth at potential rate and low inflation.

While easier monetary conditions helped spur the recovery in 1994, tighter conditions during the first three quarters of 1995 coincided with fiscal consolidation and a slowdown in activity elsewhere in most of Europe and probably reinforced the slump in economic growth which started in early 1995 (Figure 7). It is difficult to isolate the effect of interest rate and exchange rate movements from other forces affecting activity over the last few years. While the effect of exchange rate changes is sizeable and their impact on trade flows was in line with historical experience, empirical work often points to a fairly low sensitivity of the French economy to changes in interest rates (INSEE, 1996*a*). A recent study by the Banque de France (Frochen, 1996) finds a lower overall impact of monetary conditions on activity in France than in Germany or the United Kingdom largely because of low impacts from both short and long-term interest rates. On the other hand, recent work by the OECD and others[4] suggest that the sensitivity of household consumption to interest rate changes has increased since the liberalisation of financial markets in the mid-1980s.[5] This would point to a non-negligible negative impact on growth of tight monetary conditions throughout most of the first half of the 1990s. On the other hand, greater interest rate sensitivity would be a reason for more optimism about the positive effect on future output growth of the recent monetary easing. Simulations with OECD's INTERLINK model suggest that the change in short and long-term interest rates between the average of 1995 and mid-1996 could provide a considerable boost to activity. While the effect would be minor in the first year, GDP could be higher by ½ to 1 per cent in the third year (depending on the set-up of the simulations) and long-term output effects could reach up to 2 per cent.[6]

Table 5. **Real interest rates in international comparison**

Nominal interest rates minus inflation[1]

	1992	1993		1994		1995		1996	S2 1992-S2 1995		Exchange rate change[2]
	S2	S1	S2	S1	S2	S1	S2	S1	Average	Differential against France	
France											
Short-term	8.7	7.3	4.9	4.4	4.2	5.4	4.4	2.5	5.6	. .	9.7
Long-term	6.6	5.5	4.3	4.9	6.3	6.2	5.7	5.2	5.6	. .	
United States											
Short-term	0.5	0.3	0.5	1.4	2.5	3.1	2.8	2.9	1.6	4.0	1.9
Long-term	3.6	3.2	2.8	3.9	5.1	4.7	3.8	4.1	3.9	1.8	
Japan											
Short-term	2.5	2.6	2.0	1.4	2.5	2.5	1.0	0.6	2.1	3.6	32.4
Long-term	3.6	3.5	3.0	3.5	4.2	3.4	2.9	3.2	3.4	2.2	
Germany											
Short-term	4.2	3.5	3.4	3.2	3.1	2.7	2.0	1.9	3.2	2.4	11.2
Long-term	4.0	3.3	2.8	3.3	4.5	4.7	4.3	4.4	3.9	1.8	
Italy											
Short-term	12.3	7.7	4.8	4.7	5.3	5.9	4.8	5.4	6.5	–0.9	–29.0
Long-term	9.2	7.8	5.0	4.9	7.3	8.1	7.4	5.9	7.1	–1.5	
United Kingdom											
Short-term	4.8	3.0	2.5	3.0	4.2	4.4	4.2	3.5	3.7	1.9	–16.7
Long-term	4.3	3.9	3.3	4.3	5.8	5.8	5.5	5.6	4.7	0.9	
Canada											
Short-term	4.8	4.3	3.6	4.3	5.1	6.3	4.6	3.9	4.7	0.9	–12.6
Long-term	6.6	6.7	6.1	6.7	8.0	7.5	6.9	6.7	6.9	–1.3	

1. Real short-term interest rates are measured by deducting the annual percentage change in the GDP deflator from nominal rates and real long-term rates by subtracting the low frequency component of the annual percentage change of the GDP deflator using the Hodrick-Prescott filter.
2. Cumulated change in the effective exchange rate between the first half of 1992 and the second half of 1995.

Source : OECD Secretariat.

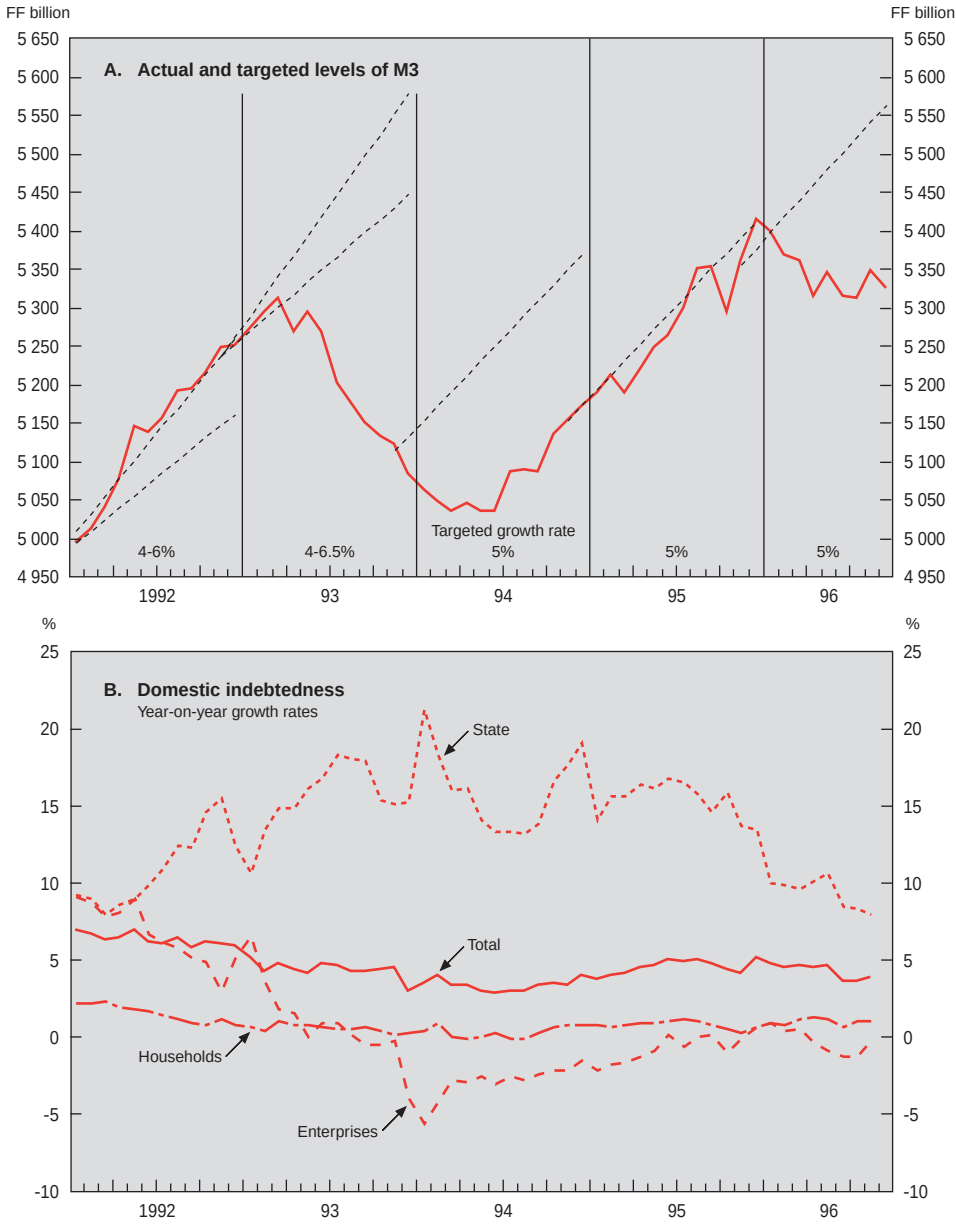
The good track record on keeping inflation low, the commitment towards fiscal consolidation and the various structural reform initiatives have been rewarded by a considerable fall in long-term interest rates and the disappearance of their differential against Germany, and also by a sizeable narrowing in the premium on short-term interest rates. Also, real interest rates are now low in international comparison and the policy mix has improved considerably. A continuing strong commitment to fiscal consolidation would seem to be important in reducing the likelihood of future currency turmoil and in cementing in these gains in policy credibility. In this respect, financial markets also attach considerable importance to healthy medium-term growth prospects which could be strengthened by an acceleration of structural reform.

Money and credit developments

While exchange rate considerations are most important in setting monetary policy, money growth targets also play a role in providing a medium-term reference point. Total indebtedness is being monitored closely as another indicator. Since 1994, the M3 target has been defined over the medium-term and has been set to expand at a rate of 5 per cent (no ranges attached), in line with an estimated growth of nominal potential output of the same magnitude. The intermediate monetary policy objectives are geared towards achieving the ultimate goal of price stability – a rate of inflation below 2 per cent. The underlying rate of inflation is currently close to 1 per cent.

Money demand has risen little in recent years. It fell considerably between early 1993 and early 1994 due to the recession, a return to a rising interest rate curve, and various one-off factors, but recovered thereafter until the end of 1995 (Figure 8). Money demand was largely flat in the first half of 1996, reflecting weak economic activity and portfolio shifts from short-term money market investments which are included in M3, to higher yielding capital market assets which are not included in M3. Currently, M3 is not much higher than at the end of 1992. Between the second half of 1992 and the first half of 1996, it rose by only a cumulative 2.1 per cent as compared to a cumulated nominal output growth of 11.4 per cent. According to Banque de France estimates, special factors (such as privatisations and tax changes concerning earnings from mutual fund investments) have reduced M3 by 3 to 4 per cent in recent years. Even after

Figure 8. **MONEY AND CREDIT**



Source: Banque de France.

taking into account these factors, M3 has expanded only little with respect to the announced targets since 1992, and the rise in actual GDP fell considerably short of the central bank's potential output projections.

Growth of total indebtedness was much better sustained than the expansion of M3. It did not decelerate much during the recession and since 1992 its annual growth has always remained close to 5 per cent (Figure 8). However, this is largely due to a sharp acceleration in credit demands by the State. While its growth has decelerated in recent months,[7] credit extended to the central government continues to rise at a rate above 10 per cent. On the other hand, borrowing by households and businesses has hardly changed since mid-1994. Their credit demands were largely unaffected by the recovery between end-1993 and mid-1995, and lower interest rates since end-1995 have not yet boosted overall credit demand by the private sector. However, the small number of businesses with access to the money market has sharply increased borrowing there – by 18 per cent in the year to June 1996. According to the Banque de France, the latest data on new loans indicate a significant pick-up in lending, especially to households (zero-rate loans and housing loans). As households and businesses largely borrow from banks, lending activity by banks was very weak in recent years, while borrowing by the State has boosted the development of the capital market.

Part of the banking system remains in a difficult situation

Since the mid-1980s the French banking system, which has undergone sweeping liberalisation, has been subject to difficulties and has not adapted well. Liberalisation of financial markets raised competition for deposits and, in an unfavourable context of inverted yield curves, margins were squeezed in recent years, especially by the increased pressure on lending rates. In addition, competition on the lending side has heated up since the 1993 recession with banks competing vigorously for market shares in a stagnant lending market. These underlying problems in the banking sector were compounded by the high number of business failures in 1993 and the problems in the real estate sector. The profitability of the banking system has suffered severely from these developments. Overall, banks made a loss in 1994 but turned in a small profit in 1995, with a wide dispersion of profitability among individual banks. The improvement in 1995 partly reflected lower loan loss provisions which remained, however,

substantial (8.1 per cent of total credits in December 1995). Profitability (profits after tax over equity) is low (3.5 per cent in 1995 and 5.3 per cent on average over 1991-95) in comparison with rates of return of close to 10 per cent in continental Europe and more than 15 per cent in the United States and the United Kingdom in 1994.

Future prospects remain uncertain. Since mid-1995, the number of bankruptcies has started to creep up again, even though they remain considerably below the peak reached in 1993. More importantly, the crisis in the real estate sector, which started in the early 1990s, is not over. Property values in the Ile de France region have continued to decline and vacant office space is substantial. While it fell below 4 million square metres in 1995, new capacity could push it back up to 4.5 million square metres in 1996. Despite government measures to boost residential construction, the number of house and apartment sales declined in 1995 and property values fell further. Banks, which have had to take over a considerable amount of property from defaulting developers, have sold some of it – often with large losses. To the extent that they are keeping property on their balance sheets hoping for a recovery in prices, some of them often incur losses until the property is sold. Some of the non-performing property has been hived-off into special corporate entities (*structure de cantonnement*). This helps to solve problems with maintaining prudential ratios above the legal minimum in the short term, but involves considerable carrying costs. Provisions for doubtful real estate assets were considerable again in 1995 and cover somewhat more than half of doubtful assets. Financial institutions will probably continue to set aside large provisions, though probably smaller ones than in 1995.

Adjustment of the banking sector, which has involved a process of increasing concentration and the closing of unprofitable outlets, has been much faster for co-operatives and savings banks than for commercial banks. Adjustment by commercial banks is hampered by two factors: *i)* a collective agreement, which is much stricter than that for the co-operatives and savings banks; and *ii)* distortions, which provide competitive advantages to savings and co-operative banks. While liberalisation in 1984 blurred the distinction between the financial institutions, some differences have remained. Popular tax-advantaged savings products still exist (*Livret A, Livret bleu, Codevi* and *Plans d'épargne logement*). Some of them can only be offered by certain institutions.[8] Moreover, savings banks are non-profit institutions, which implies that they do not pay dividends.

The postal service has not been split into a financial service and postal service entity. Its accounting has, however, been split, but it is still difficult to monitor competitive abuses.

These distortions to competition make it even more difficult for commercial banks to attain a satisfactory rate of return – especially in a weak market with strong competition. But such distortions, while reducing welfare, would not necessarily imply a continuing disequilibrium in the banking sector if banks were allowed to adjust. However, adjustment of commercial banks is severely hampered by their collective agreement. Effective pay is largely fixed by the collective agreement and the wage bill rises automatically by an appreciable amount (2 to 2½ per cent per year) due to promotions, structural changes in qualification and pay rises for seniority. Downsizing of the workforce is made difficult as the collective agreement prescribes a specific order in the case of lay-offs for economic reasons (*e.g.* people with a seniority of less than one year have to be laid off first, and then a sequence has to be followed taking into account seniority, professional performance and family circumstances). Legislation relating to working hours is more restrictive than for the co-operative and savings bank sectors. Decrees, dating from 1937, restrain opening hours (no shift work by employees, opening of branches for a maximum of 5 days in a row and for a total of 39 hours). The differences in labour standards across the sector are reflected in the wide dispersion of the ratio of operating expenses to gross income. While the Crédit agricole's ratio was low in international comparison at 64 per cent in 1994 that of the commercial banks ranged from 72 to 86 per cent while the country-wide average was 74 per cent.[9] In comparison, the ratios were 63, 66 and 67 per cent respectively, in Germany, Switzerland and the United Kingdom. However, the French ratio can be explained by a sharp fall in GNP in 1994. Over a longer period, it is close to the average in the latter countries.

Both the distortions to competition and the collective agreement of the banking sector have contributed to aggravate the banking crisis. While one might expect that low profitability would have reduced risk taking by the banks, this has not been the case. On the contrary, competition has heated up since 1994 and is particularly strong in certain market segments with banks attempting to raise or at least defend market shares in a weak lending market. The President of the *Commission bancaire* has encouraged banks to strengthen internal controls concerning risk and profitability management and to better inform the public.

Apart from the uneven competitive playing field, there is the issue of the role of the State as a shareholder. The government now considers that the State cannot properly play the role of shareholder in a financial institution and has decided to withdraw completely from the sector. The State has had to rescue several public banks and provide subsidies to one public insurance company. The most important bail-out case was that of Crédit lyonnais. A complex structure, which holds a large portfolio of performing and most troubled assets, was set up in 1995 with the State guaranteeing up to FF 50 billion in eventual future losses. The recovery measures were described in detail in the previous *Survey*. Despite two social plans, the selling of foreign subsidiaries and public aid, the Crédit lyonnais hardly broke even in the first half of 1996, largely reflecting weak credit demand and too slow a pace of downsizing. The latest social plan, announced in June and the largest so far, could concern 5 000 employees (out of an overall 35 000). Recently, additional subsidy payments were announced in order to ensure the survival of the bank. Further restructuring measures are envisaged and the bank could be privatised soon.

Another recovery plan is envisaged for the Crédit foncier, which produced a loss of FF 10.7 billion in 1995. While the Crédit foncier is not publicly owned, it had a public mission to provide cheap housing loans, partly financed by direct subsidies and a cheap source of refinancing. Until 1995, it had a monopoly on distributing tax-advantaged savings accounts (*prêts à l'accession à la propriété*). In addition, since 1989, it has strongly diversified, providing substantial loans for the real estate sector. This diversification at the wrong moment of the real estate cycle is the cause of its serious difficulties. For the time being, the Caisse des dépôts et consignations (CDC) has offered to buy the Crédit foncier shares, but will not be financially involved in rescue measures, while the State has given an unlimited guarantee for the bank's liabilities. Other rescue measures for Crédit foncier include the take-over of part of its outlets and personnel by Crédit immobilier de France (CIF) while Parliament will have to decide on further measures. These are likely to include the setting up of another public institution which will take over the remaining assets and liabilities. The cost of the bail-out to the public should be low at least in the immediate term.

The serious difficulties of the Crédit foncier case again raised issues about internal control and corporate governance. Internal controls appear to be too lax and reaction to emerging problems too slow – especially where credit institutions

are close to the State or publicly owned. Reforms including a levelling of the competitive playing field, stronger internal controls and less involvement by the State should be speeded up.

Fiscal policy

The 1995 budget and amendments[10] *raise spending and revenues*

The 1995 budget, introduced by the previous government, provided for expenditure restraint and a fall in the deficit. In line with the medium-term fiscal programme, expenditure was budgeted to remain stable in real terms (and to rise by 2 per cent in nominal terms) and the deficit to fall to 3.6 per cent (Table 6).

Table 6. **State budgets and outturns**

FF billion

	1995				1996	1997
	Budget	Budget amendment	Budget amendment	Outcome	Budget	Budget [1]
Direct taxes	566.1	576.7	569.1	575.8	593.8	588.7
Indirect taxes	960.1	975.4	960.5	948.1	1 048.4	1 054.4
Repayments	–220.4	–224.1	–225.6	–222.2	–241.1	–249.4
Fiscal receipts, net	1 305.9	1 328.0	1 303.9	1 301.6	1 401.1	1 393.7
Other receipts	179.5	183.4	207.4	180.3	166.3	199.6
Transfers to local authorities and EU	–245.2	–240.7	–238.6	–234.9	–252.5	–252.2
Receipts	1 240.2	1 270.7	1 272.7	1 247.0	1 314.9	1 341.2
Compensation	542.4	552.2	553.0	550.4	566.6	581.9
Public debt	216.1	232.8	233.7	234.5	243.2	250.6
Other current expenditure	575.6	632.8	638.2	621.5	619.5	632.4
Capital expenditure	181.1	174.6	169.7	163.6	173.4	159.9
Expenditure	1 515.3	1 592.4	1 594.6	1 570.0	1 602.8	1 624.8
Deficit	–322.1 [2]	–321.6	–321.9	–323.0	–287.8	–283.7
Memorandum items:						
Deficit (per cent of GDP)	–4.2	–4.2	–4.1	–4.2	–3.6	–3.5
Nominal GDP growth	5.3	5.3	5.1	3.9	4.9	3.5

1. The data refer to the draft law.
2. The deficit does not include privatisation receipts.

Source : Ministère des Finances.

Changes to taxation were minor and expenditure restraint was budgeted to fall mainly on capital expenditure, transfers to local authorities and to the European Union.

The new government amended the budget in mid-1995. Several spending initiatives were launched reflecting the government's priorities: two new labour market programmes were introduced targeted at the long-term unemployed and the young which partly replaced earlier programmes, and the general reduction in employer's social security contributions for low income earners was accelerated. In addition, the government provided for higher spending on social housing renovation and for small and medium-sized enterprises, and maintained the higher ''school-start'' allowance.

In order to finance the new initiatives, cover revenue short-falls and over-spending in the first half of 1995 and put the deficit back on track,[11] lower priority spendings were cut and taxes were increased considerably. The standard VAT rate was raised from 18.6 to 20.6 per cent in August 1995 and corporate and wealth taxes were increased. Overall, taxation was raised by close to 1 per cent of GDP on a full-year basis. Despite faster growth in revenues and lower spending by the unemployment insurance system, the deficit of the social security system remained close to FF 70 billion in 1995. This is largely due to the slowdown of activity and an acceleration in health spending. The overall deficit fell to 5 per cent of GDP[12] – exactly the Government's target (Table 7). Two factors helped achieve the target: late in 1995 the Caisse de dépôts et consignations contributed a considerable amount of money to the State's budget, and government expenditures associated with issuing a bond part-way through a standard coupon period (*coupon couru*) are now recorded in the Maastricht deficit definition.[13] The new method of accounting brings the French practice in line with that of the other EU countries.

The 1996 budget continues fiscal consolidation

The 1996 budget again was aimed at expenditure restraint and a further decrease in the deficit, and was based on an output growth projection of 2.8 per cent in real terms and close to 5 per cent in nominal terms. Expenditure was budgeted to grow by 1.8 per cent above the July 1995 mini-budget level and the deficit to fall to FF 288 billion (3.6 per cent of GDP). Expenditure restraint included a fall in investment in nominal terms and the introduction of a financial

Table 7. **Financial balances by level of government**

	1992	1993	1994	1995	1996[1]	1997[1]	1998[1]
	Per cent of GDP						
Net lending							
General government	–4.0	–6.1	–6.0	–5.3	–4.4	–3.5	–3.3
Central government	–3.0	–4.5	–4.8	–4.1	..	..	..
Local authorities	–0.4	–0.2	–0.2	–0.2	..	..	..
Social security	–0.7	–1.4	–1.0	–1.0	..	..	..
Maastricht adjustments	0.3	0.5	0.4	0.4	..	..	..
Maastricht deficit	–3.8	–5.6	–5.6	–4.8	–4.1	–3.2	–3.0
Memorandum items:							
Maastricht debt	39.6	45.6	48.4	52.8	55.1	56.6	57.7
	Percentage changes						
General government							
Current receipts	3.0	2.6	3.3	4.9	5.3	3.3	4.0
Total expenditure[2]	6.6	6.1	3.3	3.3	3.7	1.7	3.7
Nominal GDP	3.3	1.1	4.4	3.9	3.0	3.8	4.0
Real GDP	1.2	–1.3	2.8	2.2	1.3	2.5	2.6

1. Projections.
2. Current and net capital outlays.
Source : INSEE and OECD Secretariat.

stability pact with local authorities with a view to stabilising, in constant franc terms, the bulk of central government transfers to local authorities over three years. In addition, wage scales of public sector employees were frozen, even though overall wage payments were still rising, due to measures agreed upon earlier and the ageing of the work force. Given the fast rise in labour market expenditure – largely due to the measures introduced in mid-1995 – and a continuing rapid increase in interest payments, the budgeted expenditure restraint in lower priority areas was substantial. While the budget contained a series of revenue measures, their overall importance for 1996 is minor (an additional FF 10 billion). They included a petrol tax hike, and tax incentives to invest in various financial market products were reduced or eliminated. The government expected to raise FF 22 billion in privatisation receipts, of which FF 16.5 billion were earmarked for raising the capital base of state-owned enterprises. While revenue and expenditure developments in 1996 have been largely driven by the measures taken in mid-1995, the 1996 budget provides for a deficit reduction of nearly FF 35 billion.

However, considerably slower growth than expected means that tax revenues are set to be below target. In addition, since early 1996, several initiatives have been taken to stimulate private consumption and the residential construction sector, and taxation has been lowered for small and medium-sized enterprises. On the other hand, FF 20 billion in voted outlays has been frozen to contain the budgetary effects of the slowdown in economic activity. The end-of-year budget amendments maintain the 1996 budget deficit target virtually unchanged.

Social security reform targets health care spending

While earlier reform efforts had reduced social security spending considerably below trend, the deficit has remained stubbornly high. This reflects partly sluggish revenue developments, but also a renewed acceleration in health spending in 1995. A detailed plan – aimed at curbing health expenditure on a lasting basis and achieving a small surplus of the general social security scheme in 1997 – was announced in November 1995.

This plan included measures affecting both revenue and expenditure and a new direct tax – the *contribution pour le remboursement de la dette sociale* (CRDS) – was introduced in February 1996. The proceeds of this new tax funds the Caisse d'amortissement de la dette sociale (CADES). The newly created institution will repay and service the accumulated debt (FF 250 billion) of the social security system over the next 13 years. The tax is levied on most income categories and will generate an estimated FF 21 billion in revenues in 1996. In addition, family allowances were not increased in 1996. Tax-paying pensioners and unemployed persons earning more than 1.2 times the minimum wage have to pay higher contribution rates to the health care scheme (an increase of 1.2 points in both 1996 and 1997). In 1997, they will still pay a rate of only 3.8 per cent, compared with the standard rate of 6.8 per cent. The pharmaceutical industry had to pay an exceptional contribution of FF 2.5 billion following the sharp rise in spending on drugs in 1995.

In order to contain social security spending in the medium term, the reform plan provides for the introduction of annual control of spending by Parliament through new laws for funding social security. Spending objectives, which have up to now been negotiated by the health care administration, health professionals and the State will thus in the future be fixed by Parliament, the first debate concerning 1997 targets having taken place in autumn 1996. In the interim, a

limit on spending increases of 2.1 per cent for doctors and other health professionals was set for 1996.[14] Mechanisms for enforcing spending objectives in 1997 and beyond will soon be put in place.[15] Details of the mechanism are not yet known. Control of doctors' activity will also be reinforced by the use of medical guidelines and wasteful treatment should be gradually reduced by the accelerated introduction of a personal medical record (*carnet de santé*) and an electronic health card. Lastly, the use of generic medicines will be encouraged.

With regard to hospitals, the reform set up regional hospital agencies. These agencies will be put into place at the beginning of 1997 and will have increased powers in the funding of hospitals. They will also negotiate medium-term contracts with public and private hospitals, with budgets allocated according to indicators of hospital activity and quality of care. Up to now, budgets have risen by similar *ex ante* amounts for all hospitals, though overspending was common. Rules for the composition of administrative councils of public hospitals have been modified so that local elected administrators (town mayors or President of the general council) will no longer automatically be the board chairmen. This change should facilitate the hospital restructuring which could have raised opposition sometimes in the past due to local concerns, in particular employment.

When the package was announced in late 1995, the deficit of the social security's general scheme was officially estimated to fall to FF 16.6 billion in 1996 and to turn into a surplus of FF 11.8 billion in 1997 (as compared with a ''no-policy change base'' deficit of FF 52.5 billion in 1996 and FF 47.7 billion in 1997). The swing in the health deficit alone should have contributed half of the overall improvement. So far in 1996, spending of the general social security scheme has remained strong, with health spending expanding by close to 4 per cent until August 1996, and revenues were lower than expected. The latest official estimates point to a deficit of FF 51.5 billion for the general social security scheme. Most of this can be ascribed to weaker economic developments. To a lesser degree, the slowness with which health care reform measures were introduced may also have played a role, given that some measures – for instance, hospital restructuring – will reduce spending pressure only gradually.

The 1997 budget caps nominal spending and starts direct tax reform

Following the five-year fiscal plan, the State's budgeted spending has been capped in real terms since 1994. This time, the government went further and

budgeted a freeze in spending in nominal terms for 1997 to provide some room for tax cuts. Revenue and expenditure measures roughly balance, so that the deficit reduction will be minor (Table 6). With outlays on interest payments rising further in nominal terms, real primary spending is budgeted to fall by more than 1 per cent in 1997. Spending will be cut in most ministries (most notably in the Foreign, Culture, Housing and Industry ministries) and staffing levels will be lowered somewhat (an overall reduction of 5 600 posts). While spending on targeted labour market programmes will be reduced considerably below the ''unchanged policy'' level in 1997, overall support will continue to rise. This is largely due to the further reductions in employers' social security contributions which were already scheduled. In 1997, for the first time since privatisations resumed in 1993,[16] expected privatisation receipts will not be higher than projected capital injections into state-owned enterprises.

With the 1997 budget a five year direct tax reform plan will be started. Direct household taxation in France includes broad-based taxes with low flat rates (the CSG and CRDS) and a narrowly based income tax with a steep tax schedule, which is only paid by about half of all households. For those who pay, progressivity is already very steep at relatively low incomes. The tax reform aims at simplifying the tax schedule and broadening the tax base. Tax rates will be reduced gradually over five years. The top marginal rate, for instance, will fall from 56.8 per cent in 1996 to 54 per cent in 1997 and 47 per cent in 2001 (Table 8). Furthermore, an additional 1.5 million households will no longer pay tax as a result of the abolition of reliefs (*décote*) and the raising of the zero-rate bracket. The broadening of the tax base (for instance, the progressive elimination

Table 8. **Marginal tax rates and income brackets for direct household income taxes**

1996		1997		2001	
Marginal tax rate Per cent	Income bracket FF	Marginal tax rate Per cent	Income bracket FF	Marginal tax rate Per cent	Income bracket FF
12	23 040	10.5	25 610	7	40 190
25	50 380	24	50 380	20	50 380
35	88 670	33	88 670	28	88 670
45	143 580	43	143 580	35	101 000
50	233 620	48	233 620	41	143 580
56.8	288 100	54	288 100	47	233 620

Source : Ministère des Finances, *Projet de loi de finances pour 1997.*

of tax rebates for more than one hundred categories of professionals, taxation of some benefits and elimination of tax deductibility of some spending items) will limit the budgetary effect. Overall, the tax reduction will amount to FF 25 billion in 1997 and to FF 75 billion at the end of the fifth year.

Following the presentation of the budget, the government announced a series of measures to reduce the social security deficit from FF 47.2 billion to less than FF 30 billion in 1997. Excise taxes will rise by some FF 5 billion in 1997, and the financing of the social security system will be affected by a tax switch. The employees' social security contribution rate will be reduced from 6.8 to 5.5 per cent. As a counterpart the CSG will increase by 1 per cent and its base will be broadened. The change will reduce tax payments of wage earners somewhat but still provide additional net revenues to the social security system of some FF 5 billion. Various other revenue measures will provide an additional FF 8 billion and spending restraint measures should contribute FF 5 billion. In addition, the national spending objective for the health care sector (an envelope of FF 600.2 billion) seems very tight.

The 1997 general government deficit will be reduced by a one-off payment by France Télécom (FF 37.5 billion). This is a downpayment for the partial takeover of pension liabilities by the government prior to its partial privatisation. The transfer will not be recorded in the State's budget, but will go to a new public sector fund. Several changes have reduced the Maastricht deficit, as compared to the ''national'' deficit published by INSEE.[17] These changes bring the French accounting practice in line with that of the other European Union countries, but in order not to introduce a break in the series, INSEE will continue to publish numbers on the old national accounts basis until 1998, when procedures will be brought into conformity with the new national accounts manual.

The Maastricht deficit limit in reach

The OECD's projections for 1997 take into account the measures described above, but assume that social spending will be somewhat above the ambitious official spending targets for 1996 and 1997. The official projection includes a fall in health spending in nominal terms in the second half of 1996, which would bring outlays in line with the official target for the year as a whole, and an increase in nominal spending by only 1.7 per cent in 1997. The OECD's projections assume a rise in health spending by 2½ per cent until 1998, which is

slightly above official estimates. A major uncertainty concerns wage increases for public officials. The government has announced that negotiations with unions will start soon. The OECD's projections assume moderate wage increases of 0.5 per cent in the second half of 1997, and of the same amount in the following two half years.

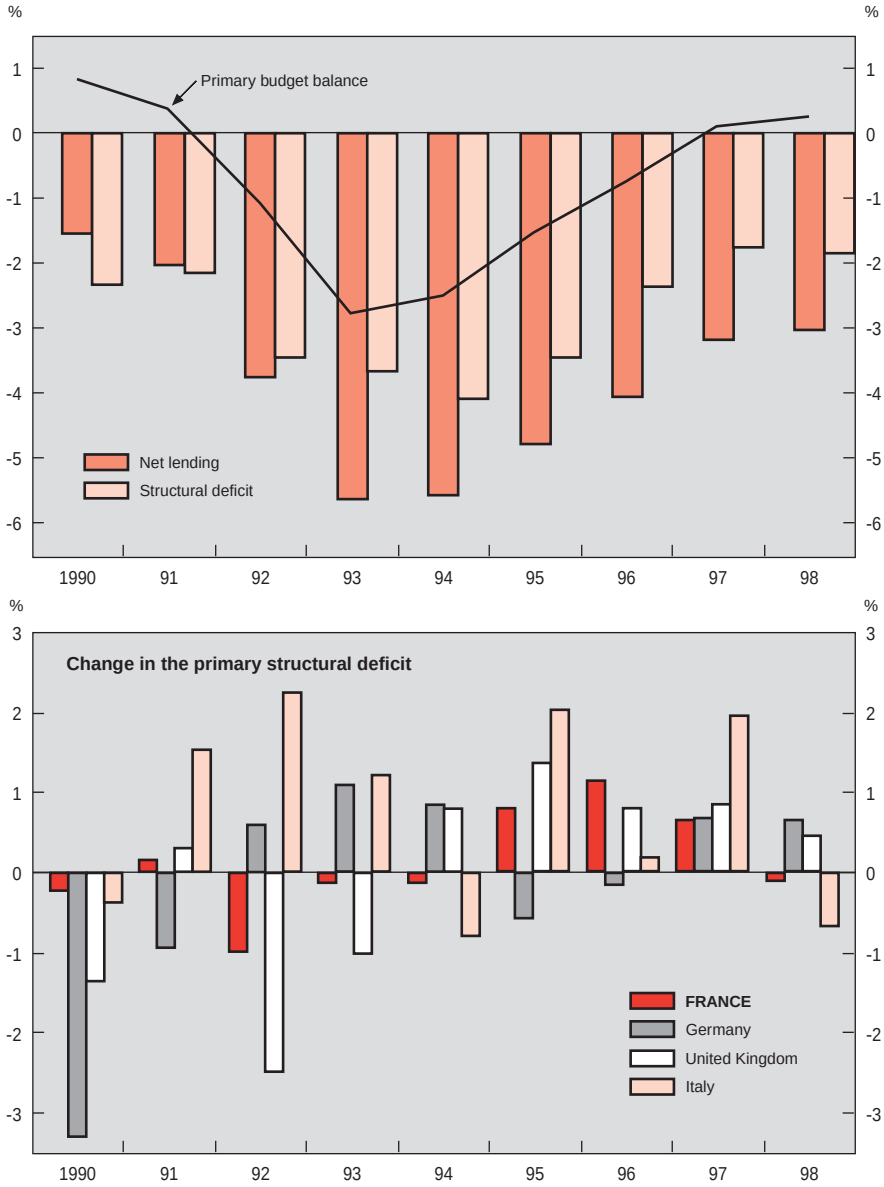
The projections imply a steady, but moderate reduction in the underlying deficit between 1996 and 1998, with the cyclically adjusted net primary balance shrinking by ½ per cent of GDP (Figure 9). Both the State and social security deficits are likely to decline slightly in 1997, but the evolution of the overall deficit in 1997 and 1998 will be influenced by France Télécom's one-time payment in 1997. While there is a small difference in the government's and OECD's deficit projections for 1997 (¼ per cent of GDP), there would appear to be room to cope with any slippage in future budget amendments. For 1998, the OECD's projections show a further reduction in the underlying deficit, with the overall deficit falling to 3 per cent in 1998. Government debt on a Maastricht basis is likely to remain below the 60 per cent Maastricht ceiling.

Beyond Maastricht: further public sector reforms are needed

The government has laid out a five-year fiscal projection for 1997 to 2001 for the State, based on real output growth of 2.5 per cent and inflation of 1.8 per cent per year. The scenario shows a decline in the deficit from 2.9 per cent of GDP to 1.9 per cent in 2001. Government revenues before tax reform are projected to grow somewhat less than GDP and including the phase-in of the direct tax reform by close to 3 per cent. In order to achieve the deficit reductions of ¼ per cent of GDP per year between 1998 and 2001, future budgeting will continue to be very tight; the State's expenditure should not rise more than ¾ per cent in nominal terms in 1998 and by 1¼ per cent annually until 2001 thereafter. If growth were more buoyant than projected, deficits could be cut further, and also tax reductions could be stronger. The official projections for the social security system up to 1999 are based on a development of receipts in line with GDP and nominal growth in expenditure of 2.5 per cent per year. Further strong expenditure restraint in the health care sector (no growth in real terms) would allow the social security accounts to move into small surplus in 1999. Concerning the State's expenditures the government points out that the target is ambitious, given the rigidity of 80 per cent of the State's outlays (for personnel, transfers and interest payments).

Figure 9. **INDICATORS OF FISCAL STANCE**

General government, per cent of GDP



Source: OECD Secretariat.

Due to the five-year direct tax reform plan, the official medium-term scenario points to only a small further decrease in the government deficit by 2001. The tax reform contains elements which are of considerable importance, as the tax schedule is among the steepest in the OECD and the tax base very limited. However, even after this reform, many exemption mechanisms will remain and the number of tax-paying households will fall further. In addition, an integration with the broad-based flat-rate direct taxes has not been realised. Further base broadening should remain on the reform agenda. On the other hand, there would seem to be very little room to reduce the overall burden of taxation. This is illustrated by the fact that the multitude of tax changes included in the 1997 budget coupled with those affecting social security finances will have only a small impact on overall tax payments. According to official estimates, total taxation and social security contributions as a per cent of GDP will fall from 44.9 per cent of GDP in 1996 to 44.7 per cent in 1997, but will remain considerably above the 1993 level of 43.8 per cent.

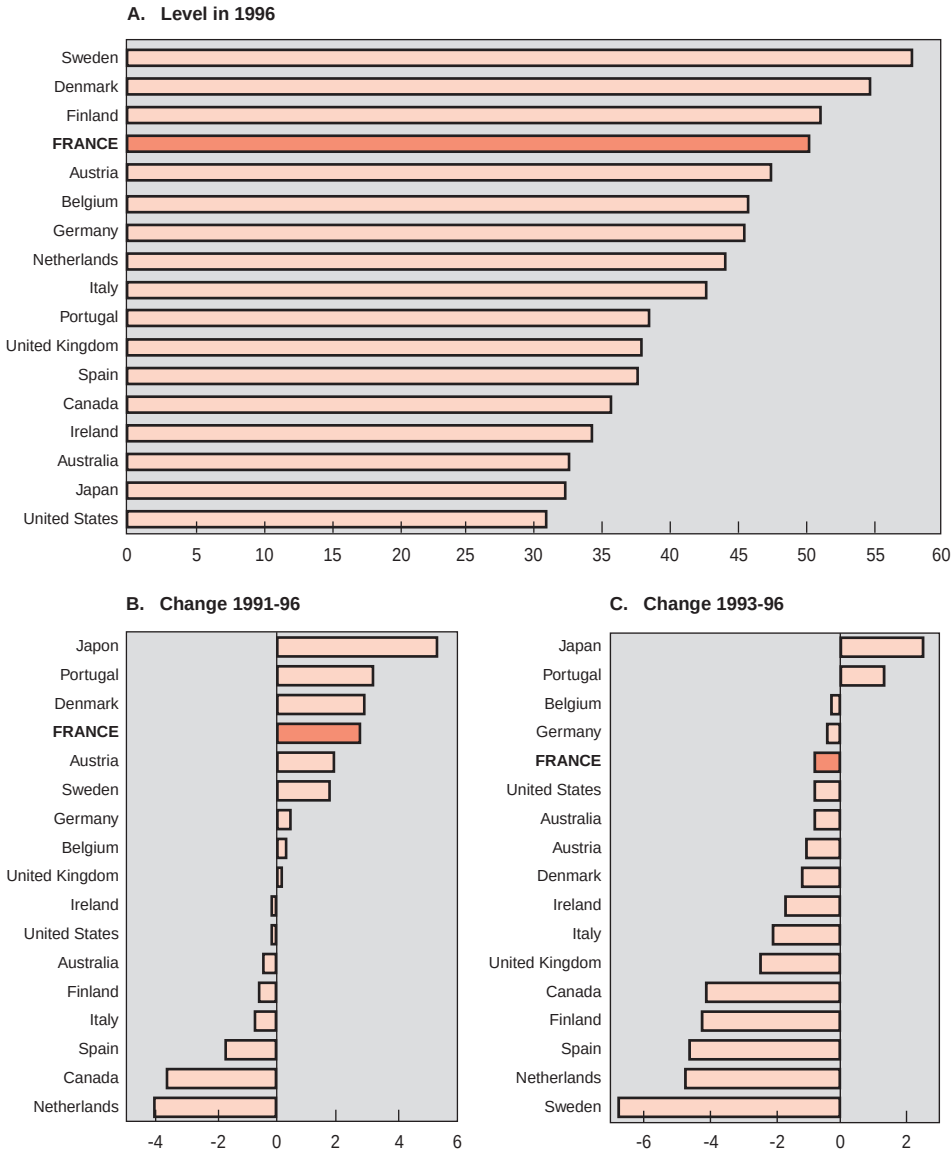
The officially projected medium-term deficit reductions do not appear ambitious enough in view of the spending pressures that will build up due to demographic changes beyond the year 2000. Long-term projections by the Secretariat, focusing on the future development of public health and pension outlays, point to a rapid erosion of the financial soundness of the social security system. In the absence of policy changes, and based on specific growth and demographic assumptions, the overall government deficit could reach close to 5 per cent of GDP in 2015 (Roseveare *et al.*, 1996). A rise in taxation would be needed to keep the public debt/GDP ratio constant.

In order to make room for tax cuts and more ambitious deficit reductions, there is a need to pursue expenditure reforms vigorously. France is among the OECD countries with the highest ratio of expenditure to GDP (Figure 10). While expenditure restraint at the State and social security levels was considerable since 1993, many other countries have had more success in pruning expenditure in recent years. Reforms implemented in the management of core public services and in restructuring state-owned enterprises should be speeded up. The latter are discussed in the corporate governance chapter below.

Concerning social security, reforms of the unemployment insurance, health and pension systems have reduced spending considerably below the earlier trend.[18] Between 1993 and 1996, real social security spending growth averaged 1.5 per cent as compared to 3.3 per cent in the ten years to 1993.[19] Significant

Figure 10. **PRIMARY GOVERNMENT EXPENDITURE: AN INTERNATIONAL COMPARISON**

Per cent of GDP



Source: OECD Secretariat.

progress in curbing the rise in ambulatory care was already achieved prior to the 1995 reform plan. Spending targets for private clinics, biologists, nurses and physiotherapists have been in place since 1992. Additional spending controls included medical guidelines, which define medical norms and penalties for violating them, and the gradual introduction of medical files. On the other hand, little progress had been achieved in changing the management of the public hospital sector. Spending accelerated again in 1995 and showed the limits of the earlier reforms. The reform package of late 1995 – described in detail above – is considerably more ambitious as it introduced an enforceable spending ceiling. The spending ceiling for 1997 is very ambitious. In the hospital sector, for instance, wages are set to rise by more than the official spending objective simply due to ageing of the workforce and promotions; and restructuring of the hospital sector could take longer than expected while decentralisation should make it easier to match demand and supply at the local level. It will probably be very difficult to stay within these spending limits, and enforcement of a clawback in the case of overspending could prove politically difficult. While this reform is a rupture with past practice, its long-term success in containing health spending will depend on the effective restructuring of the hospital sector and the enforcement of spending caps in practice.

The 1993 reform of the general pension scheme (for private sector employees) included the lengthening of the period of contributions from 37½ to 40 years to qualify for a full pension and the gradual reduction of the generosity of pension payments. Furthermore, non-contributory pension benefits are now financed from the old-age solidarity fund (*Fonds de solidarité vieillesse* – FSV). The reform aimed to secure the financing of the general scheme until 2010, while for the supplementary schemes it was decided to lower benefits gradually and to speed up the projected increases in contribution rates. In contrast to the reform of the pension schemes for private sector employees, the special old-age pension schemes (covering mainly civil servants and some public enterprises) have not yet changed. Long-term scenarios by the Commissariat général du Plan (1995) suggest that retirement spending of these schemes is likely to rise much faster than that of the others and large rises in contribution rates would be needed to avoid rising deficits. While a rise in the contribution rate by 1 percentage point would ensure financial stability until 2005 in the general scheme of the private sector employees, an increase of 11 percentage points would be needed for State employees and of 15 percentage points for local government employees.[20]

Finally, while pension payments to railway employees and farmers could change little or even fall, the State and other pension schemes will have to continue to cover large deficits.

The Reform of the State aims to improve management methods, as much progress still has to be made, especially in the management of human resources. Labour standards for civil servants are considerably more restrictive than in the private sector. They concern about 75 per cent of the more than 5 million employees of the State, local authorities and the state-owned postal and telecommunication services, the other employees being under private sector contracts. Remuneration of civil servants is based on a grading system with step increases due to seniority and promotions. A large number of bonuses – sometimes without any direct link to performance – raise individual wages. A person entering the public service is assured of wage increases throughout most of his/her career.[21] The remuneration system leads to considerable wage drift – nearly 1 per cent per year since 1990. This causes the wage bill to rise considerably, even in the absence of an increase in wage scales. While the size of the wage drift was manageable when inflation was high, this poses considerable difficulty in times of low inflation as there is no room to negotiate wage increases.

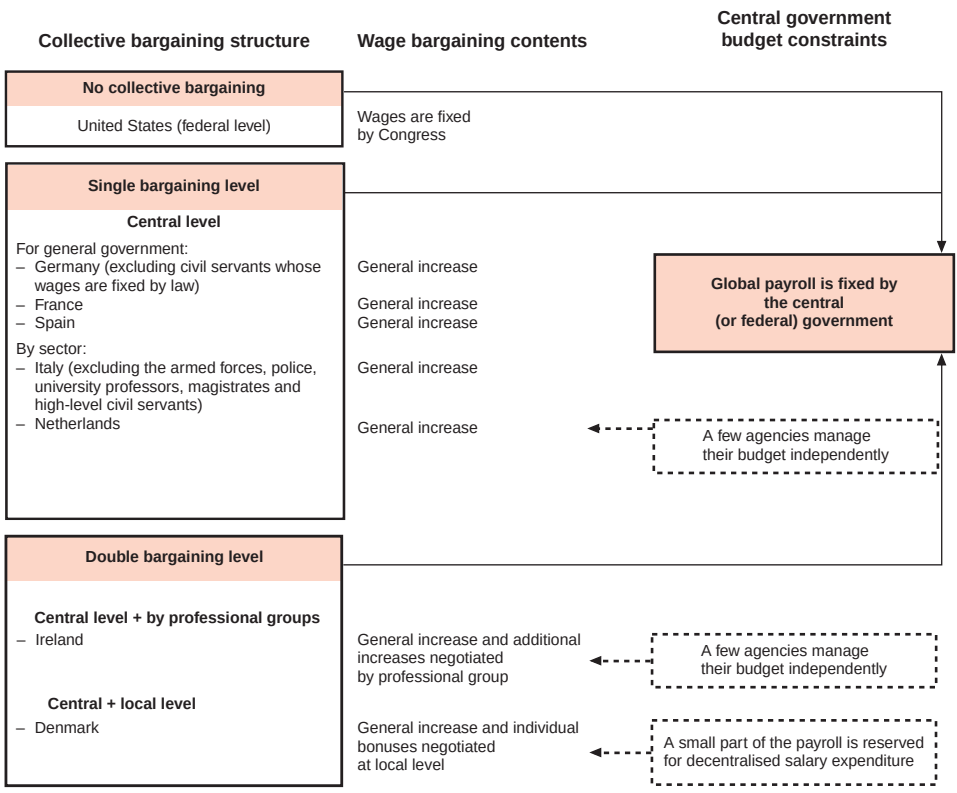
Civil servants can retire at 60 (certain categories already at 55) and must leave service at age 65. While the ratio of net pension payments to the net salary at the end of career amounted to 74.7 per cent in 1993 in the public sector, this ratio was only 69.4 per cent in the private sector and the relative generosity has risen further since 1993 (because replacement rates in the public system were not reduced). As noted above, pension payments will rise rapidly in the coming years for demographic reasons. The dynamics generated by the pension and remuneration systems imply that, even if wages and pension payments were frozen over the next few years, additional measures should be taken to attain the degree of expenditure restraint foreseen in the government's medium-term projections.

Over the last few decades the number of State employees, excluding military employees, was reduced only in 1987 and in 1988, and a small reduction is planned in 1997. The lack of streamlining in the State employment sector is surprising given the decentralisation of many services since the early 1980s which has, on the other hand, induced a fast rise in employment at the local level. The *de facto* job security enjoyed by civil servants is not incompatible with rigorous staff management, as there is considerable scope for adjustment given

the numbers retiring every year – over 60 000 in 1996. On the other hand, the various moves to improve the managerial system over the last decade (deconcentration of services and the creation of ‘‘responsibility’’ centres), have provided greater flexibility in managing non-staff outlays.

In comparison with France, some OECD countries have always had more flexible management practices, while others have changed them in recent years. Systems as rigid as the French have only survived in Germany and Spain (Table 9). Management practices differ considerably, however. For example, in

Table 9. **Pay fixing in the public sector: an international comparison**



Source: OECD, Public Management Service.

Table 9 *(cont.)*. **Pay fixing in the public sector: an international comparison**

Collective bargaining structure	Wage bargaining contents	Central government budget constraints
Single bargaining level		
Central level		
– Canada	General increase	
Double bargaining level		
Central + local level		
– Australia	General increase fixed at central level. Wage bargaining at local level suspended in 1996	
– Finland	Central standards for increases, and salary dependent on individual performance and agency results	**Decentralised management of operating budgets at the agency and departmental level**[1]
– Sweden	At the central level, a global agreement is signed fixing expenditure envelopes for agencies in the form of real salary increases or a minimum percentage increase. Within the agencies, negotiations concern the distribution of the expenditure envelope	
Single bargaining level		
Local level		
– United Kingdom	Wages fixed to give the best cost-benefit ratio for expenditure	
– New Zealand (signature of individual or collective labour agreements)	Wages fixed in each agency depending on labour supply and demand for the whole economy, budgetary constraints and efficiency improvements	

1. Operating budgets do not separate personnel expenditure – payroll and indirect salary costs – from administrative expenditure.

Source: OECD, Public Management Service.

the Netherlands, wage scales are fixed at the central level, but ministries can shift part of the overall input between human and other resources, while respecting the overall budgetary envelope. In many other countries, centrally agreed wages are below effective payments and there is room for regional, individual and professional differentiation. The possibility to differentiate wage levels often goes hand

in hand with considerable leeway on staffing, and ministries, or parts of ministries, manage expenditure envelopes autonomously. Reform has probably gone furthest in the United Kingdom and in New Zealand where there is little difference between public and private sector management practices. There is some correlation between the level and changes of government spending in Figure 10 and the differences in management practices across country. Cutting the high tax burden in France, while reducing the deficit substantially, would be greatly helped by providing greater flexibility in managing public-sector resources.

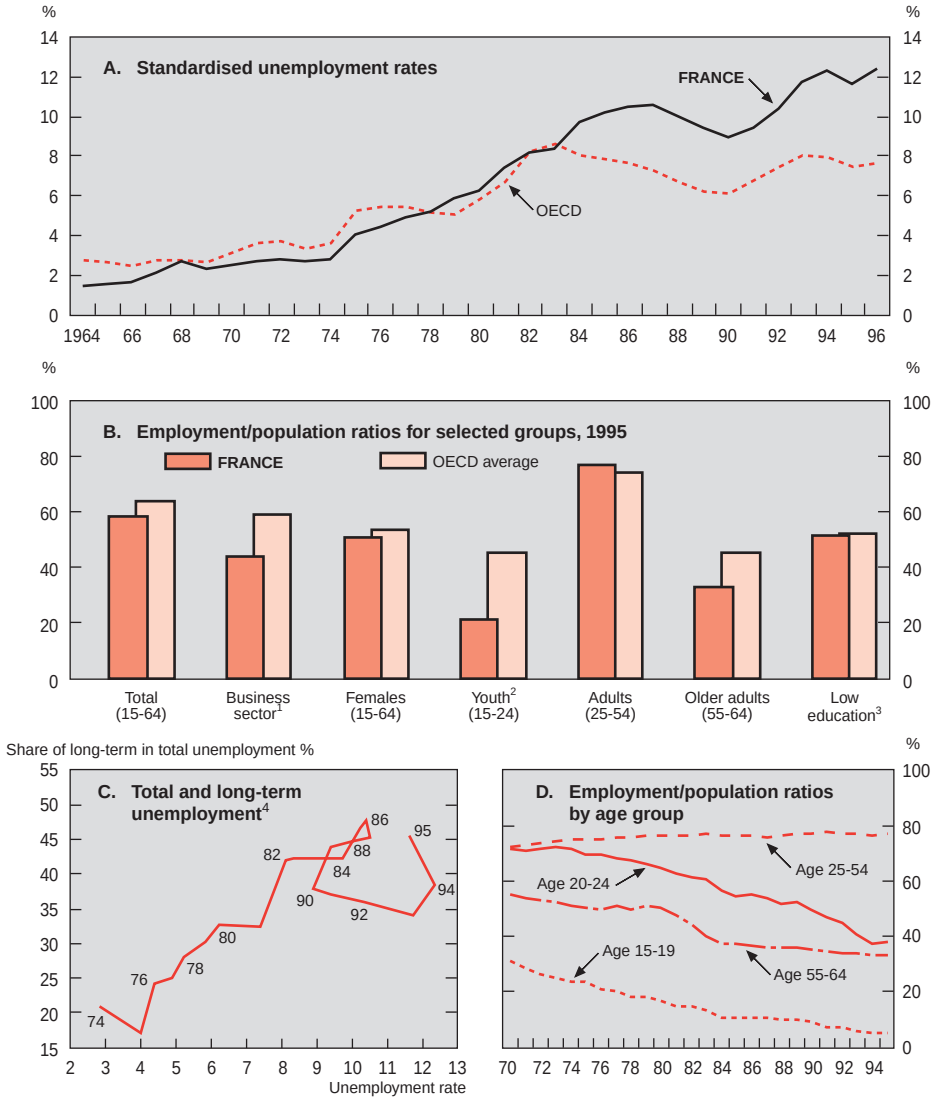
III. Implementing the OECD Jobs Strategy

Introduction

French unemployment has risen sharply since the early 1970s and the unemployment rate is currently close to 12½ per cent, above the OECD average (Figure 11). Moreover, 2½ million people are enrolled in labour market programmes. Substantial structural impediments to the functioning of labour markets are reflected in a high level of structural unemployment and in the trend decline in the business sector employment ratio, now among the lowest in the OECD area (Figure 12). Employment ratios are especially low for young and older persons and unemployment among the low-skilled is very high. The low level of private sector employment is only partly offset by the large number of public employees. The trend increase in unemployment has slowed since the mid-1980s and private sector employment rose more than in most other European countries during the last recovery (mid-1993 to 1995), partly reflecting wage moderation and partly changes in labour market policies.

Historically, the French labour market is characterised by high labour standards aimed at protecting employed workers. In addition, an elaborate system of social protection aims at safeguarding living standards for the unemployed and those who do not hold jobs. The authorities have stepped up labour market initiatives since the late 1980s. They include most notably general payroll tax reductions for the least qualified, targeted programmes for specific population groups as well as measures to provide greater labour market flexibility. However, policies aimed at a reduction in labour supply have remained prominent. The budgetary cost of many of these programmes is high, with spending (including tax expenditure) doubling over the last four years. The cost effectiveness of labour market policies has come under close scrutiny and the Government has recently reduced the generosity of some schemes.

Figure 11. **LABOUR MARKET INDICATORS**



1. Business sector employment divided by working age population.
2. The minimum age for youth differs across countries so any comparison with the OECD average should be made with care.
3. Completed less than upper secondary school, 1994 data.
4. Long-term unemployment is defined as individuals looking for work for one year or more.

Source: OECD, *Labour Force Statistics,* Part III and data supplied by EUROSTAT; OECD Education indicators database and OECD Secretariat.

Figure 12. **LABOUR FORCE AND EMPLOYMENT DEVELOPMENTS**

As a per cent of the working age population

1. The OECD totals exclude the Czech Republic, Hungary, Mexico and the Netherlands.

Source: OECD Secretariat.

The labour market initiatives over the last decade may have arrested the increase in structural unemployment, but it is likely that it will stay high. Many rigidities persist, for instance, in the wage setting process and in the functioning of employment protection legislation, and the transition from school to work poses problems. Unemployment as high as in France comes at a high cost to society. Apart from the budgetary cost, high unemployment could affect potential output by lowering participation rates and by leading to losses in human capital. It also has side effects in terms of personal hardship, deprivation, disruption of families, health problems and increased polarisation of society. Estimating the overall cost of such side effects is difficult, but they are likely to be substantial.

This chapter follows up the general structural policy recommendations of the OECD *Jobs Study* with specific recommendations for France. The first section presents an overview of the French labour market and employment performance over the last decades. Key aspects of the policies affecting labour market outcomes are reviewed in the second part. A third section presents recent policy actions and a fourth section assesses the scope for further action.

Labour market and employment performance

Labour market performance deteriorated sharply between the mid-1970s and the mid-1980s, when the unemployment rate rose without interruption from 3 per cent of the labour force to close to 10½ per cent. Stronger growth in the mid to late 1980s was associated with some decline in unemployment, but it rebounded again to above 12 per cent in early 1994. While the short-lived recovery after the 1993 recession brought about a brisk rise in employment, the slowdown in growth since mid-1995 pushed the unemployment rate up again – to 12.6 per cent in September 1996. Contrary to the OECD average, the trend increase in unemployment has continued since the mid-1980s, even though at a much slower pace.

As in many European countries, French unemployment is characterised by high rates for youth and those with a low skill level and an elevated share of long-term unemployment (Table 10). Young people face a high rate of job turnover with a higher chance to find work than older ones, but with relatively short duration of jobs and high entry rates into unemployment. While the overall unemployment rate rose by a factor of four since the early 1970s, the increase was much steeper for young people (15 to 24 years old). However, the high share

Table 10. **Unemployment characteristics**

Per cent of the labour force

	1970	1980	1990	1993	1994	1995	1996
1. By sex and age (yearly average)							
Total	2.5	6.4	8.9	11.6	12.3	11.6	..
Males	1.5	4.3	6.7	10.0	10.6	9.8	..
15-24 years	2.8	10.0	12.8	19.7	20.8	19.0	..
25-49 years	0.9	2.9	5.8	8.9	9.6	8.9	..
over 49 years	1.8	3.8	5.7	7.5	7.9	7.9	..
Females	4.3	9.5	11.7	13.7	14.4	13.9	..
15-24 years	7.7	22.3	21.1	26.4	28.7	29.0	..
25-49 years	2.8	6.5	10.5	12.6	13.3	12.8	..
over 49 years	3.6	5.8	7.9	8.4	8.5	8.6	..
2. By occupation (in March)							
Farmers	0.1	0.3	0.5	0.6	0.4	0.6	0.4
Other entrepreneurs	0.6	1.4	3.0	4.5	3.8	4.1	4.1
Management and professionals	0.8	2.3	2.6	4.9	5.4	5.0	4.6
Intermediate professions	0.8	3.3	4.1	5.8	7.4	6.7	7.0
Non-manual workers	1.6	7.5	11.9	13.9	15.1	14.7	14.8
Manual workers	1.9	6.7	12.2	14.4	16.1	14.2	15.3
Skilled	..	6.9[1]	7.8	10.2	12.1	10.2	10.7
Unskilled	..	13.3[1]	18.3	21.5	23.2	21.2	23.0
3. By duration							
Unemployed for more than one year (share in total)	21.4	32.4	39.7	33.3	37.6	43.8	..
Average duration (in months)	8.7	11.6	14.5	12.9	13.4	15.1	15.1

1. 1982.

Source: INSEE (1994), *Marché du Travail, Séries longues*, INSEE (1996), *Rapport sur les comptes de la Nation 1995* and *Enquête sur l'emploi de 1996.*

of young people attending school or participating in active labour market measures implies that the proportion of youth not attending school and not working is relatively low in international comparison, and the number of unemployed young people actually fell over the last decade. Finding a job is particularly difficult for young women with a low level of education. The penalty for low educational attainment is lower for young men, but sizeable nonetheless.

High unemployment among unskilled workers is a feature affecting all age categories. The unemployment rate for unskilled workers rose by 10 percentage points between 1982 and 1996 to 23 per cent, as compared with a rise in the overall unemployment rate by 4½ percentage points. The sharp rise in unemployment for this group reflects the trend decline in employment of the least skilled,

which was among the steepest in the OECD over the 1980s.[22] While educational attainment of young people rose considerably over the last decades, a third of the population aged between 25 and 60 years old does not have the *baccalauréat*, and their share rises to 40 per cent in the labour force and to close to 50 per cent in unemployment. While the French shares are in line with the European average, educational attainment is considerably higher in Germany, the Nordic and most English-speaking countries. On the other hand, unemployment rates of the low-skilled are close to that of the other EU countries on average.

With unemployment mounting over time, the share of the long-term unemployed in total unemployment rose sharply until the mid-1980s. Since then, it has been fairly stable, with cyclical fluctuations. However, long-term unemployment fell since late 1995, owing to generous government incentives to hire people who had been unemployed for more than a year. Periods of employment tend to last longer for adult workers than for younger ones (three times longer for 30 to 49 year olds than for 20 to 29 year olds), but adult workers have much more difficulty in finding a new job once they are unemployed. The long-term unemployed risk becoming detached from the labour market, and their influence on labour market outcomes (*e.g.* on wage inflation) is likely to be relatively low. While long-term unemployment is higher than in the OECD on average, several countries in the EU show an even higher incidence of long-term unemployment.

Several indicators – NAWRU estimates and the Okun and Beveridge curves – provide evidence that the rise in unemployment has been largely due to structural factors. They also suggest that the rise in structural unemployment has become less steep since the mid-1980s. It is clearly difficult to judge whether the structural unemployment rate has stabilised in the 1990s as the current unemployment rate is some 3 percentage points above the 1990 level, with the rate of underlying inflation falling steadily – but slowly. If structural unemployment has stabilised at a rate of 9 to 10½ per cent as suggested by the OECD's estimates (see below), the cyclical component of unemployment would be far from negligible.

The labour force has risen fairly steadily at an annual rate of somewhat below 1 per cent over the last decades, with the participation rate changing little, as rising female participation has broadly offset the trend decline in the male participation rate. While the participation rate of prime-age persons is among the highest in the OECD, participation rates of youths and older persons have shown

a steep decline over the last decades. The decline in the labour force participation of young people reflects the rapid increase in the length of schooling, with the proportion of 18 to 22 year olds attending school being the highest in the OECD. In addition, most students are not in gainful work. The low participation rate of older persons can largely be explained by the effective average retirement age (61.3 years) which is among the lowest in the OECD, reflecting in part early entry into the labour market of the older workers. The low participation rate is also partly due to early retirement measures. Participation rates of males and females aged 55 to 60 years are very low (68.7 per cent and 45.8 per cent, respectively, in early 1996) and with the deteriorating labour market situation, the ''hidden component'' of unemployment may have increased as well.[23]

Employment and labour force growth tracked closely until the mid-1970s. However, total employment rose only little between the mid-1970s and mid-1980s, at the same time as average working hours fell rapidly. Over this period, business sector employment actually fell, while government employment rose strongly. Overall, employment growth has been stronger since the mid-1980s, with little change in hours worked and with a continued rapid rise in government employment, but also an increase in private sector employment. The recovery between mid-1993 and 1995 was accompanied by a brisk rise in private sector employment, especially in relation to recorded growth: the ''job content'' of growth appeared to have risen. Empirical studies [Duchene *et al.* (1996) and Chouvel (1996)] see the rapid development of part-time work as having played a role of some importance in increasing the job content of growth. The studies also show that wage moderation and, to a lesser extent, government policies to reduce labour cost also explain the better employment performance over this period. Lower trend productivity over recent years attributable to the combined effects of shorter working hours and the slowdown in hourly productivity implies that the rate of output growth needed to stabilise employment could have fallen from 2½ per cent during the 1980s to 1½ per cent currently. Since the last cyclical trough, French employment has grown about as fast as that in the United Kingdom, while it has continued to fall in Germany and Italy. Among the four big European countries, France is the only one where the overall employment level at the end of 1995 was close to the level in early 1990. Over this period, employment fell by close to or more than a million in Germany, Italy and the United Kingdom.

The weak trend growth of private sector employment in part reflects a sharp fall in self-employment (Table A1), the trend decline in the number of farmers being among the steepest in the OECD. Since the mid-1970s, job losses in industry were substantial and were not offset by employment growth in private sector services, which was close to the OECD's average rate. Finally, employment is becoming rapidly more skill-intensive. Between 1987 and 1992, the overall number of senior management and professionals rose by an accumulated 44 per cent and that of the intermediate professions by 14 per cent, while the number of unskilled workers in industry shrank by 15 per cent.

Over the last decade, a multi-tier labour market has emerged, with enterprises keeping a core of employees on ''typical'' contracts with low turnover rates. At the same time, part-time work, work on fixed-term contracts and temporary agency work developed strongly – reflecting government incentives and the greater flexibility of such contracts. The share of employees on fixed-term contracts rose from 3.5 per cent in 1985 to 6.4 per cent in 1995 and that of part-timers from 10.6 per cent to 15.6 per cent.[24] In addition, the number of people enrolled in labour market programmes has risen sharply. Turnover in the labour market is heavily concentrated on people with ''atypical'' contracts which may partly explain why France is among the countries with a relatively high job and labour turnover, but that this has not translated into high net job gains.[25]

Policy requirements

Enhancing the ability to adjust and adapt

The French labour market has adjusted only slowly to external and internal shocks since the late 1960s. The OECD *Jobs Study* identified a number of factors which could have a major influence on an economy's ability to adapt. These range from aggregate and relative wage flexibility to the tax and benefit system. Apart from the labour market and social policies which create rigidities and increase unemployment, the *Jobs Study* also pointed to the need to establish a stable macroeconomic framework, to ease regulations in product markets and to strengthen the knowledge base and innovative capacity. An overall strategy may, therefore, require policy moves across a whole range of policy areas. The following discussion provides background analysis for the recommendations for France. They are summarised in Box 1.

Box 1. **The OECD Jobs Study Strategy: Synopsis of recommendations**

The OECD *Jobs Study* (OECD, 1994) sets out a strategy based on nine recommendations for improving the ability of OECD economies to cope with structural change, through enhancing the ability to adjust and to adapt, and increasing the capacity to innovate and be creative. The nine distinct policy areas covered included the macroeconomic policy framework and the creation and diffusion of technological know-how. With respect to labour and product market flexibility, it identified the need for initiatives in the following areas: working time flexibility, the entrepreneurial climate, wage and labour cost flexibility, employment security provisions, active labour market policies, labour force skills and competences, and unemployment and related benefit systems.

Following from the detailed assessment of labour market performance and the assessment of policy requirements below, the Committee recommends continuing to move ahead in the areas listed below. Some of these recommendations do not have the support of the French authorities.

Increase wage and labour cost flexibility

- *Reassess the role of the minimum wage* as an instrument to achieve distributional goals. A lower minimum wage would probably provide employment opportunities, but it might be difficult to lower it in the current circumstances. In this case, a better way of achieving the same distributional objectives would be to provide some form of employment-conditional benefit. In addition, the minimum wage should be differentiated by age and region to prevent it from harming employment prospects for young people and low-productivity regions.
- *Phase out the use of administrative extensions of sectoral wage agreements.* A less radical solution would be to allow opening clauses in collective wage agreements. Both options would lead to a widening of wage differentials which could be expected to support faster employment growth.

Reform unemployment and related benefit systems

- *Further reduce both the maximum duration and replacement rates* for long-term unemployed. For low income earners, relatively high replacement rates could reduce incentives to search for a job. In addition, job search controls and benefit sanctions should be tightened.
- *Scale back early retirement and associated schemes.* They are a major reason for the low participation rate of older workers and are expensive in budgetary terms.

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Reform employment security provisions

- *Reduce lay-off restrictions for collective dismissals.* While rules are generally fairly liberal, the cost of social plans in the case of mass lay-offs are sizeable. This could reduce hiring in large enterprises.
- *Ease restrictions on the renewal of fixed-term contracts.*

Enhance active labour market policies

- *Evaluate active labour market policies on an on-going basis.* Weed out the programmes which have become superfluous because of the introduction of new programmes of similar design.
- *Target programmes closely on high-risk groups,* eliminating those which have little impact and are cost-ineffective.
- Reduce the frequency of changes to programmes and aim at a reduction in control and compliance costs.
- If the minimum wage were not reduced, *continue with the general reduction in non-wage labour cost for workers at the low end of the wage scale.* This should go hand in hand with expenditure reforms to avoid increases in other taxes.
- Continue with reforms which favour a close co-ordination in the management of unemployment benefits, placement services and labour market programmes.

Increase working-time flexibility

- *Accelerate annualisation of working hours,* if needed with legal measures.
- *Reduce incentives to offer part-time jobs.* They appear to be very generous and a large number of part-timers want to work longer hours.

Improve labour force skills and competences

- *Improve the attractiveness of vocational/technical education* and ensure that qualifications acquired are well adapted to current and future labour market needs.
- Ensure that graduates of first-level vocational education programmes have better access to more advanced studies.
- Require work experience as a compulsory part of the vocational/technical education and further strengthen the links between schools and employers.
- Strengthen counselling for entrants into higher education in order to reduce subsequent failure.

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Enhance the creation and diffusion of technological know-how

- Evaluate and rationalise the technology schemes for small and medium-sized enterprises.

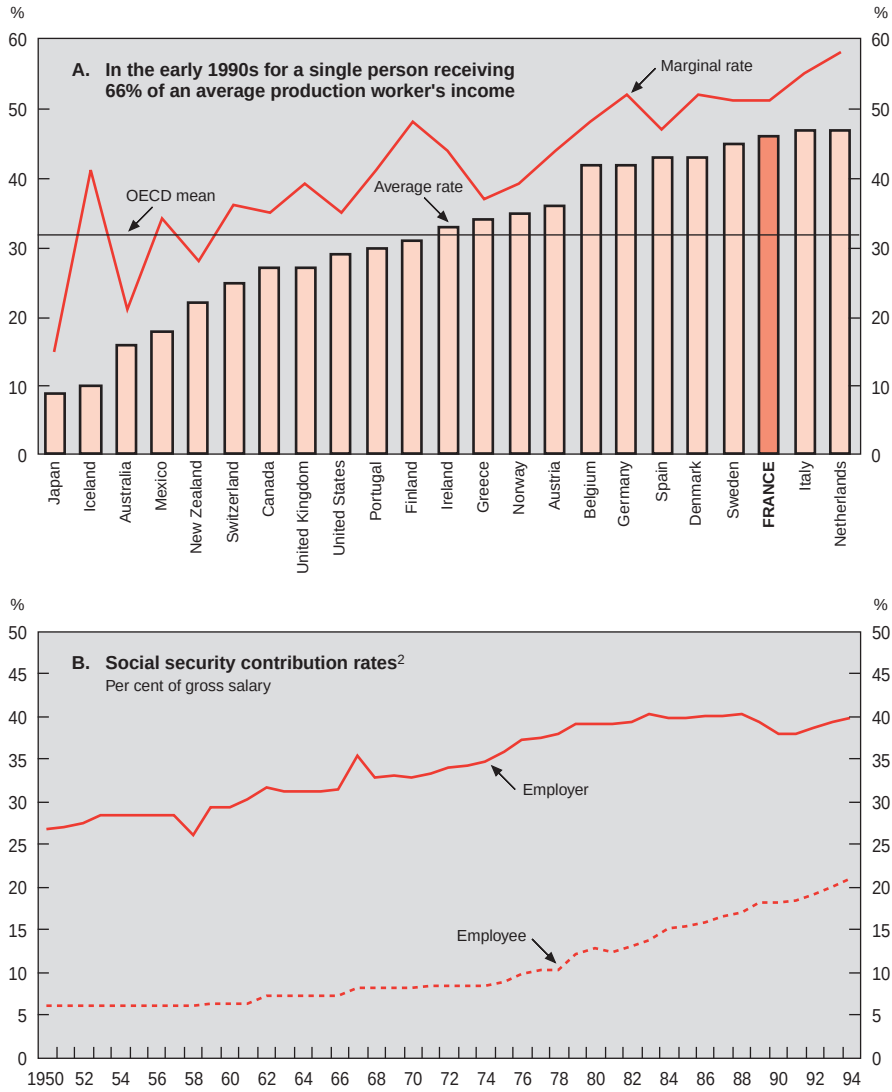
Enhance product market competition

- *Encourage competition in the network sectors* (electricity, gas, telecommunication and railways). While liberalisation of sheltered sectors has proceeded, competitive pressures in part of the network sectors remain low.
- *Pursue privatisation opportunities.* The restructuring of ailing state-owned enterprises should be speeded up.
- Reassess legislation which reduces competition and results in a heavy administrative burden.
- Promote entrepreneurship via overall reduction in the tax burden.

The wage formation system and labour cost developments

Labour cost developments are strongly influenced by government decisions stemming from minimum wage legislation and wage bargaining laws, and also by the provisions concerning indirect labour cost. Indeed, a significant part of labour costs consists of social security contributions, which drive a sizeable wedge between labour costs and take-home pay. The French average and marginal tax wedges are among the highest in the OECD area and in large part due to sizeable social security payments (Figure 13). Employers' social security contribution rates rose sharply between the mid-1970s and the early 1980s. They then stabilised and started to come down for young people in the mid-1980s and for low-income earners in general as of 1993 (see below). As the payment ceilings for most social security schemes have been lifted and contribution rates for low wage earners have been reduced, the contribution schedule has become progressive. It was still regressive in the early 1980s, penalising demand for low-wage earners. Because of the minimum wage, increases in employers' social security payments have a direct impact on labour cost for low-wage earners. The evidence is mixed as to whether they raise labour costs or are largely absorbed by lower take-home pay higher up in the wage hierarchy (OECD, 1994 Part II). It is true that the real net salary rose little during the 1980s for the median-wage earner,

Figure 13. **AVERAGE AND MARGINAL TAX WEDGES**[1]



1. The average wedge is the sum of employees' and employers' social security contributions and personal income tax as a percentage of gross labour costs – gross wages plus employers' social security contributions. The marginal tax wedge is the percentage of any marginal increase in gross labour costs as a result of an increase in employees' and employers' social security contributions and personal income tax.
2. For salaries below the first social security ceiling.

Source: OECD (1995), *The OECD Jobs Study, Implementing the Strategy* and INSEE (1996*b*).

while wage gains were higher at the minimum wage level (Table 11). However, the recent lowering of social security contribution rates for low-income earners has dampened labour cost pressure considerably.

Table 11. **Real minimum wage and median salary developments**

Average annual growth rates

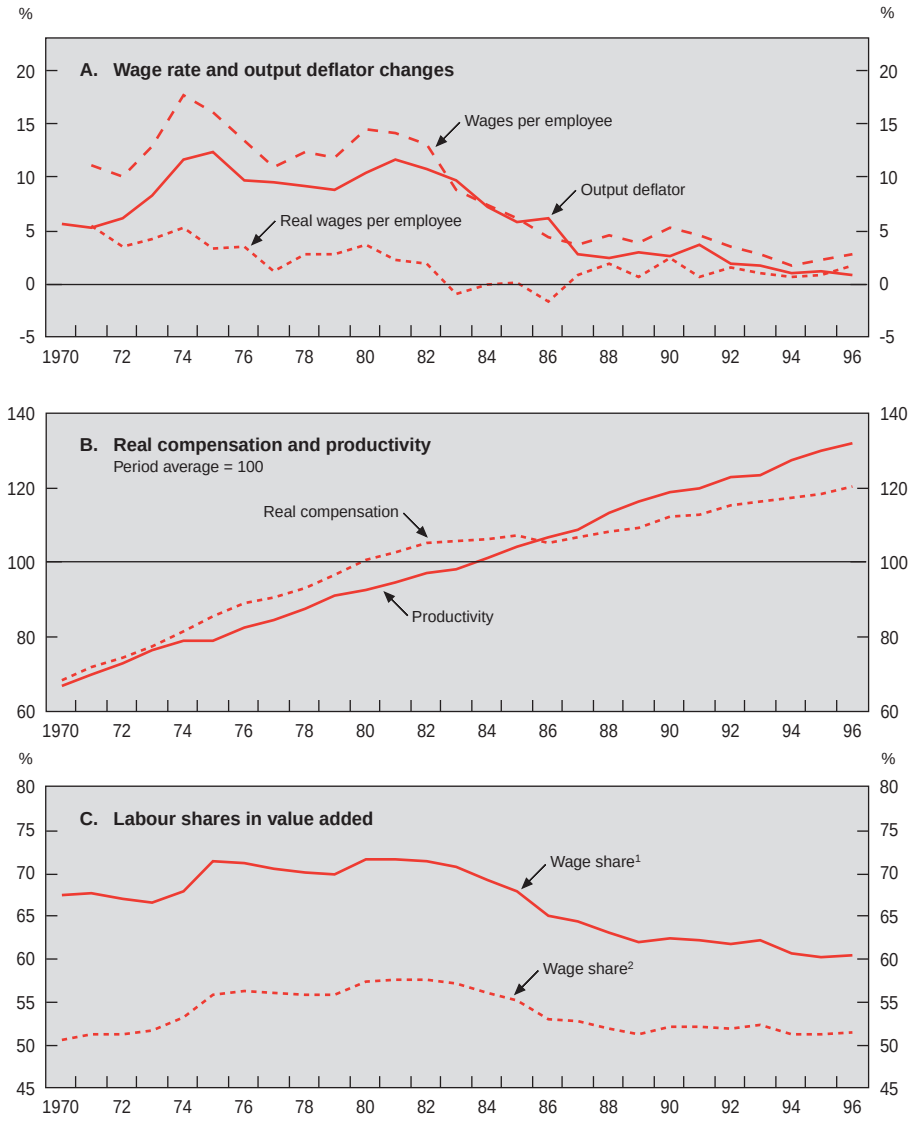
	1970-80	1980-90	1990-95	1970-95
SMIC				
Net[1]	4.1	1.2	0.4	2.2
Gross[1]	4.7	1.8	1.0	2.8
Labour cost[2]	5.8	1.7	0.1	3.0
	1970-80	1980-90	1990-94	1970-94
Median salary				
Net[1]	2.9	0.8	0.2	1.5
Gross[1]	3.4	1.4	1.1	2.2
Labour cost[2]	4.5	1.3	1.6	2.7

1. Deflated by the private consumption deflator.
2. Deflated by the business sector output deflator.
Source: INSEE (1996*b*) and OECD Secretariat.

Real labour cost increases in the business sector were high relative to productivity gains between the early 1970s and early 1980s despite the sharp rise in unemployment, and are likely to have contributed to the deterioration in the labour market situation over this period, and especially to the fall in business sector employment between the mid-1970s and mid-1980s (Figure 14). Since the early 1980s, real wages have tended to lag behind productivity gains and the wage share has fallen to below its level of the early 1970s. While wage moderation led to an improved labour market performance as of mid-1980 in the sense that employment in the private sector did not shrink further and the trend rise in unemployment became much slower, it did not turn around the unemployment situation. This may also be partly due to the sharp rise in real interest rates in the early 1980s. Higher real interest rates and the associated balance sheet restructuring are likely to have pushed up equilibrium profit margins. Despite wage moderation since the early 1980s, the cumulated rise in real labour costs in France between 1970 and 1995 was still some 40 per cent higher than in the United States.[26]

Figure 14. **REAL WAGES, PRODUCTIVITY AND LABOUR SHARES**

Business sector



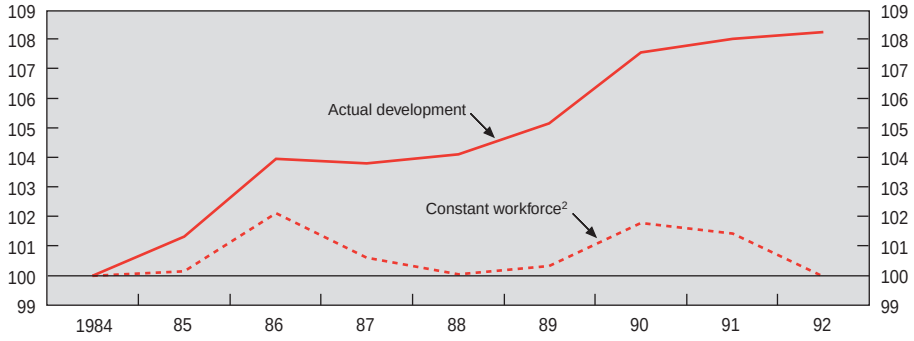
1. Calculated by imputing a wage compensation to self-employed equal to the average compensation.
2. Excluding the wage component of the self-employed.

Source: OECD Secretariat.

The effect of wage moderation since the early 1980s is even more apparent if the effect of changes in the employment structure on wage developments is taken into account. For instance, the strong increase in higher skill and better paid jobs ‘‘explains’’ virtually all of the 8 per cent rise in real average wages between 1984 and 1992. The data show that real wage gains were very moderate for all categories of wage earners, and for some groups real net wages actually fell. However, while real wages (net of social security contributions) adjusted for compositional changes were essentially flat, their development was largely independent of the unemployment level or changes in that level (Figure 15).

Figure 15. **REAL WAGES[1] ADJUSTED FOR COMPOSITIONAL CHANGES**

1984 = 100



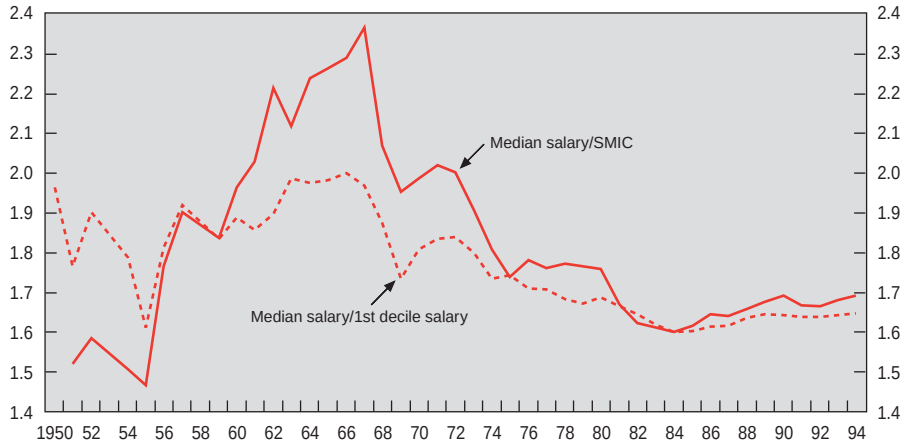
1. Average annual net salary in constant prices (adjusted by the private consumption deflator).
2. Structural effects are due to changes in the composition of aggregate employment according to qualification. The lower curve aims to eliminate this effect by calculating, for each year, the net real average wage assuming no change in the composition of employment. The calculation is based on the average composition of employment between 1984 and 1992.

Source: INSEE (1996*b*) and OECD Secretariat.

Measures of real wage rigidity (reviewed in Elmeskov, 1993) also suggest that the adjustment to the productivity slowdown and the energy price shocks was slow in France. Despite the sharp trend rise in unemployment of the lower-skilled and major changes in labour demand patterns, the wage structure has been largely unaffected (Figure 16). The wage structure in France (as measured by the

Figure 16. **WAGE DISPERSION AND THE MINIMUM WAGE**

Ratios, salary net of social security contributions



Source: INSEE (1996*b*).

difference between the median wage and lowest decile) is much more compressed than in the United States, Canada, the United Kingdom or Austria, but considerably less compressed than in the Nordic countries or Germany. Contrary to the experience in the United States or the United Kingdom, the dispersion continued to fall until the early 1980s and has barely risen since then. On the other hand, the French wage dispersion in the upper half of earnings is among the highest in the OECD having risen slightly since the early 1980s. The OECD's *Jobs Study* (1994, Part II) also reports that despite growing regional unemployment imbalances, relative regional wages have hardly changed, contrary to experience in the United States and the United Kingdom.

Figure 16 shows that wage dispersion was much higher in the 1950s and 1960s. The compression since the late 1960s is largely related to minimum wage developments. In 1968, the *accord de Grenelle* provided for a sharp rise in the minimum wage and in 1970, the SMIC (*Salaire minimum interprofessionnel de croissance*) replaced the SMIG (*Salaire minimum interprofessionnel garanti*). The change included the universal coverage of wage earners, the abolition of

regional differentiation (four regions) and the indexation of the SMIC to inflation plus half of the real average pay increase.[27] In addition, the government can raise the minimum wage by more than the amount due to the indexation formula (*coup de pouce*). The especially large SMIC increases in the mid-1970s and early 1980s due to *coups de pouce* are clearly visible in Figure 16. The latest *coup de pouce* dates from mid-1995, when the SMIC was raised twice as fast as provided for by law.[28] Currently, the monthly minimum wage on a take-home basis is FF 5 018; including social security contributions by employees it comes to FF 6 407; and in terms of labour cost it rises to FF 8 227. After the last *coup de pouce*, 1 July 1995, 11.2 per cent of private sector employees were at the minimum wage in March 1996 (up from some 2 per cent in the early 1970s). The incidence of the minimum wage is highest in the textile, restaurant and retail trade sectors.

Compared to the average wage of a manual worker, the French legal minimum wage is high in international comparison. It is only surpassed by the minimum wage in the Netherlands, while minimum wages are relatively low in the North American economies, Spain and Portugal. In France too, the same rate applies to all age groups, regions, industries and occupations, whereas all the other countries differentiate the minimum wage, even though not all of them cover all the dimensions just mentioned. While the minimum wage is high in France in international comparison, wage floors resulting from collective bargaining are even higher in some other European countries. The legal minimum wage for young people has become less binding since the mid-1980s with various labour market programmes allowing for wage payments below the minimum wage. Labour costs at the minimum wage level have fallen considerably since 1993 because of the lowering of social security rates for low-wage earners (see below).

The ‘‘bite’’ of the legal minimum wage can be gauged not only from the ratio between the minimum and average wage, but also from the wage distribution at the bottom of the distribution scale. The French distribution shows an abrupt break in wage distribution at the level of the minimum wage. This is not apparent in wage distribution data for the United States (Lefranc, 1996). Econometric studies[29] point to elasticities of French youth employment and of the low-skilled with respect to the minimum wage of between –0.1 and –0.3. Skourias (1993), for example, estimates that the rise in the real minimum wage between 1970 and 1993 led to between 93 000 and 375 000 job losses for young

people, while the CSERC (1996) estimates that a reduction in social security contributions of FF 10 billion (0.1 per cent of GDP) for low-wage earners could lead to the creation of 50 000 to 70 000 jobs.

From a social policy point of view it is important to know whether people remain paid at the minimum wage level for long periods or whether there is considerable upward mobility. The latest *Employment Outlook* (OECD, 1996*b*) shows that the share of the low-paid (less than two-thirds of the median wage) is high among young people and women. Between 1986 and 1991, nearly a quarter of these people remained in this part of the wage distribution, while some 15 per cent had moved close to the median wage. Another quarter had left full-time employment. Older workers in low-paid jobs are much less likely than youths to experience earnings mobility. While there is considerable variation in earnings mobility across countries, the French experience appears to be close to the average in this respect.

The bargaining system contains a number of rigidities. It is characterised by multi-tier bargaining between unions and employers,[30] with administrative extension of most wage agreements to all employers in an industry.[31] As a consequence, virtually all employees are covered by a collective agreement.[32] Bargaining takes place at the national and local level along industry lines and also at the enterprise and establishment level. In 1994, 687 collective branch agreements existed. Apart from wages, bargaining covers a wide range of topics concerning conditions of employment, work and social guarantees, such as training, seniority, career guarantees, sick pay, lay-off restrictions, leave, etc. Collective agreements may make provisions more favourable to the workers than those already legally existing and individual enterprises cannot opt out of collective agreements. Agreements can, however, be repealed by any of the signatories. In this case, the old collective agreement remains in force for a maximum of a year or until a new contract is signed. Since 1982 (*lois Auroux*), enterprises with a union delegate have to negotiate at least once a year on effective salaries, but only few enterprises are covered by an enterprise agreement largely owing to the low union density and difficulties in reaching an agreement.[33] A recent law – adopted following an agreement between the employer and union federations – also allows wage bargaining at the enterprise level between the employer and elected employee representatives, even if they are not members of a representative union. The labour code requires that, down to and including the individual contract of

employment, each level of bargaining has to add further advantages for the employee. There is an important exception to this requirement: the labour code allows for collective agreements on working hours, the provisions of which can depart from this general principle (see below).

Collective agreements have to include a job classification, and bargaining focuses on a minimum wage for each level which is then further split into minima by categories (*minima hiérarchiques*), their remuneration is either fixed by the collective agreement or at the enterprise level.[34] Since 1982, the *lois Auroux* have provided for the obligation to re-negotiate job classifications every five years. As many wage negotiations did not succeed in reaching new wage agreements, minima negotiated in many agreements fell below the minimum wage.[35] In the late 1980s, the authorities strongly encouraged negotiations to raise these minima to or above the minimum wage and succeeded to some extent. On the other hand, the push to raise these minima also led to the introduction of guaranteed minima in many sectors, which do not automatically imply a rise in the whole salary structure (*minima garantis*). In 1985, out of the 156 collective agreements covering more than 10 000 employees, close to 120 had *minima hiérarchique* only and about 40 provided for *minima garantis* with or without a hierarchy. In 1993, the situation was nearly the reverse. Also, agreements negotiated at the industry level are frequently extended to all the firms in the industry which did not take part in the negotiations – usually at the request of the social partners.

It is difficult to judge the influence of the wage bargaining system on effective salary payments. On average, effective salary payments are considerably higher than the minima negotiated in the sectoral wage agreements, partly reflecting bonus payments which are partially fixed in the collective agreements (Sandoval, 1996). The difference between collective agreements and effective pay was 20 per cent for basic salaries in 1985, and 28 per cent for six branches in 1992. The ratio between the effective pay of a qualified to an unqualified worker was 1.35, while this ratio was 1.12 in the collective agreements. These large differences could imply that collective agreements have little influence on effective wage payments. This is certainly true for some sectors. On the other hand, there is often a high correlation between the collective and effective wage hierarchies, even in branches where the difference between collective and effective payments is very large. For instance, this is the case in the banking sector.

The rigidities built into the wage determination system also explain to a large extent why the remuneration structure of different categories of wage earners remained virtually unchanged between 1984 and 1994 (DARES, 1996).

Taxes and transfers

In addition to the potential labour cost effects of changes in employers' social security contribution payments the system of taxes and transfers can result in net income increasing very little on re-employment. If workers' earnings are low by comparison with the benefits paid to the unemployed and their families, some workers may stay non-active (unemployment trap). Similarly, if an increase in the earnings of the low paid leads to the withdrawal of benefits or higher tax payments, people could be discouraged from making any additional effort (poverty trap). Even when social protection systems reduce labour market efficiency, they tend to keep poverty rates low. In France, according to calculations by the *Commissariat général du Plan*, poverty rates even fell between the mid-1980s and early 1990s.

The amount and length of unemployment insurance benefit payments vary according to age and lengths of prior affiliation to the unemployment insurance system. Benefits rise with the length of prior affiliation and are higher for people over 50 years old. In the case of a 25 to 49 year old person having worked at least 14 months over the two years prior to becoming unemployed, benefits are paid at an initial rate of 57.4 per cent of the gross reference wage for nine months, but they cannot fall below a minimum payment of FF 4 267 nor be higher than 75 per cent of the reference wage. They are then reduced by 17 per cent every four months for 21 months to 32.8 per cent, but cannot fall below a minimum payment set at FF 2 766 per month. For a 25 to 49 year old having worked earlier at the minimum wage, the initial gross replacement rate is 66.6 per cent and it falls to 43.2 per cent after 18 months. Given the minimum payment it stays at that level. The corresponding net replacement rates are 81.5 per cent and 52.5 per cent, respectively. Replacement rates are considerably higher for older workers and replacement rates are much lower for workers, who were previously relatively well paid. After unemployment benefit entitlements are exhausted, the long-term unemployed qualify for the solidarity allowance (FF 2 250) or the minimum income (RMI). The reform in 1993 raised the eligibility requirement in terms of length of prior affiliation considerably. The maximum duration of benefit payments was cut somewhat and unemployment benefit is now reduced

more rapidly and progressively than before. According to the DARES, the net replacement rate was around 65 per cent up until March 1993. After the reform, the rate fell to 60 per cent in the space of one year, but following the 1994 and 1995 revaluations, it increased again to about 63 per cent in 1995. Moreover, the OECD's composite indicator[36] (which gives a replacement rate net of tax, also including other benefits) recorded some increase in the replacement rate after the reform. The indicator does not take into account the tighter eligibility requirements. This tightening has led to a considerable decrease in the share of job seekers receiving unemployment benefits (from 55.8 per cent in 1993 to 47.8 per cent in 1995).

Both net replacement rates and the duration of benefit payments are fairly generous in international comparison and could weaken people's resolve to find employment – especially in the case of low-income earners. In 1994, net replacement rates were between 79 and 88 per cent at the lower end of the pay scale at the beginning of an unemployment spell, and still 83 per cent for a couple with two children after 60 months' unemployment (Table 12). Incentive problems are lowered for those who take up a part-time job as they benefit from an 18-month earnings disregard up to a specified limit.

Table 12. **Replacement rates**

1994 replacement rates[1] at two-thirds of the average production worker level of earnings

	France	Average[2]
Replacement rates in first month of unemployment: no social assistance		
Gross replacement rates (before tax)		
Single	65	54
Couple, no children	65	60
Net replacement rates (after tax and other benefits)		
Couple, no children	79	68
Couple, 2 children	81	73
Couple, 2 children, housing benefits	88	77
60th month of unemployment: including social assistance		
Gross replacement rates (before tax)		
Couple, no children	54	28
Net replacement rates (after tax and other benefits)		
Couple, 2 children, housing benefits	83	80

1. It is assumed that the worker is 40 years old, and started work at 18. The replacement rates are for the first month of unemployment, after waiting periods have been satisfied. This entitlement is then multiplied by 12 to give an annualised equivalent, on which tax is calculated. The person is fully unemployed. Social assistance is calculated according to a ''typical rate'' for the country concerned. This may involve making assumptions about housing costs.
2. Unweighted, 20 countries.

Source: OECD (1996*b*).

In addition to unemployment insurance and assistance payments, a guaranteed minimum income (RMI) was introduced in 1989 for persons without income.[37] The RMI includes a 50 per cent earnings disregard, which provides an incentive to take part-time jobs. Although payments appear to be very low – currently FF 2 500 per month – they are supplemented by family allowances and housing benefits. Replacement rates at the level of the SMIC range between 68 and 90 per cent, depending on family circumstances. Since its introduction, the number of recipients of the RMI rose steeply to close to one million beneficiaries in 1995. The combination of the unemployment insurance and minimum income systems on the one hand, and additional benefits, earnings disregard and taxation on the other hand, can imply very high marginal effective tax rates which is liable to deter those concerned from re-entering the labour market. OECD calculations (OECD, 1996*b*) show that people earning between 57 and 91 per cent of an average production worker's salary faced a marginal effective tax rate of 78 per cent. People facing high marginal effective tax rates have very little financial incentive to raise work hours or effort, and lose very little if they work less. The extent of disincentive effects is unclear, however, and the phase-in of lower tax rates over the coming years will reduce them.

Employment ratios are very low for older employees. Several factors contribute to this phenomenon. The retirement age is 60 years for most employees, but is considerably lower in some special pension schemes (for instance, for railway workers); unemployment benefits are paid for a longer period for the unemployed over 50 years old; and several early retirement schemes exist. The number of people in early retirement schemes rose strongly until the mid-1980s. It is considerably lower now, largely owing to the lowering of the retirement age from 65 to 60 in 1983. Early retirement schemes are largely financed by the central government via the *Fonds national pour l'emploi* (FNE). Also, the unemployment insurance scheme finances a programme which allows early retirement for employees aged 58 and over provided that they have contributed for more than 40 years to the pension scheme and that the enterprise hires a new employee. The scheme aims to reduce unemployment but has no effect on employment. Another scheme financed by the FNE targets employees aged over 55 years. With their agreement, full-time jobs are transformed into part-time jobs, and benefit from a generous financial incentive. In addition to the early retirement schemes, measures to accompany the restructuring of enterprises have been stepped up.

Between 1990 and 1993, the annual flow of beneficiaries into early retirement and restructuring programmes rose sharply (from 77 000 to 264 000), but fell to 175 000 in 1995, largely reflecting the improved employment situation.[38] Contrary to some other OECD member countries, replacement rates in the case of sickness are not overly generous and pose fewer incentive problems. On the other hand, the number of beneficiaries from disability schemes has risen by 2 per cent per year since 1990.

Increasing the flexibility of working time and employment

As in other OECD Member countries, part-time employment has expanded rapidly in France; its share in total employment rising from 5.9 per cent in 1973 to 15.8 per cent in early 1996. Nevertheless, part-time work is still much less developed than in the Nordic countries, the United Kingdom or the Netherlands. Since 1992, the development of part-time work has been reinforced by the introduction of a partial exemption from employers' social security contributions, which can be added to incentives to hire low-wage earners.[39] Tax incentives to hire household employees were introduced in 1993 and administrative procedures were simplified. The budgetary cost of these measures is nevertheless high. In addition, more and more part-timers want to work more, this being the case of 37.8 per cent of them in 1995, compared with 28.6 per cent in 1991. While the current policy set-up boosts the supply of part-time jobs, income taxation depresses demand. Tax assessment of incomes on a family basis implies that secondary earners taking up part-time jobs face high marginal tax rates. However, the overall demand effect is likely to be smaller than in other countries with family assessment, as only half of French households pay income taxes.

The labour code sets fairly stringent limits on working hours. Sunday rest, for instance, is still largely protected by law, and a decree of 1937 imposes very strict rules in the banking sector. Labour legislation also provides for overtime payments (a premium of 25 per cent), though these are lower than in many other European countries. Collective agreements can also contain quite stringent rules, and the work schedules in many public transport enterprises are very rigid (Air France recently negotiated an easing of its schedules). After the sharp reduction in working hours in 1982 failed to result in significant employment gains, providing for greater flexibility and reductions of working hours via collective

agreements has become an important part of employment policies. Working-time regulations were first relaxed in 1986 and 1987, allowing the number of hours worked to vary up to a ceiling of 44 hours per week in the case of labour agreements and 48 hours per week in the case of industry-wide agreements. The calculation of overtime payments remained weekly and not yearly, unless additional benefits were given to employees. The five year employment programme of 1993 introduced a new type of agreement. It allows the number of hours worked to vary at enterprise level up to a maximum of 48 hours per week if the number of hours worked is reduced globally. Financial incentives are provided if total hours worked are reduced by at least 15 per cent. The recent agreement for metal workers, for instance, includes a rise in maximum hours worked to 48 hours, compensated by an additional maximum of six days off – with no change in remuneration. The new rules have, however, led to only a modest number of agreements and the government has threatened to change the rules by legal means. The slow pace of change is presumably due to the difficulties involved in evaluating the net gains to both employees and employers deriving from the reduction in overall hours worked, greater flexibility and possible adjustments in remuneration. Part-time work seems to be a lower-cost substitute for introducing greater flexibility than such agreements. The slow acceptance of the new type of agreement – greater flexibility offset by shorter working hours – may also reflect the fact that people prefer to work and earn more rather than less. The yearly duration of work decreased sharply between 1965 and 1982 due to longer holidays and a shorter working week. Since the early 1980s, the trend decline has slowed considerably. Taking into account the generous number of public holidays, the number of hours worked annually is low in international comparison.

Employment protection legislation was introduced in the mid-1970s.[40] Procedures were relaxed in 1986, with the suppression of ‘‘administrative authorisations’’ and tightened again in 1989 and 1993 for mass redundancies. Redundancies are authorised in the event of a genuine and serious performance problem in the laid-off worker (for instance, incompetence or offensive behaviour) or for economic reasons. Concerning the latter, a cyclical downturn, technological change or financial difficulties are sufficient motives, but French employers cannot fire workers to make more profit, unless the enterprise is in financial difficulties.[41] Legal procedures vary according to the reason for the lay-off. In the

case of dismissals for personal reasons, the lapse of time between the first notification of a possible lay-off and the termination of the labour contract is short. In the case of redundancies for economic reasons, procedures depend on the number of people concerned and the size of the enterprise (Table A2). The delay is relatively short when fewer than nine workers are concerned, but considerably longer if the dismissal concerns more than 250 workers. Delays also depend on the seniority of the staff. Severance pay is due to every laid-off employee who has not committed a serious offence and who has two years of seniority. The amount depends both on the level of wages previously earned and tenure. For workers paid on a monthly basis, severance pay is one-tenth of the annual salary per year of employment. In practice, collective agreements and labour contracts are more generous, especially for managerial staff, which can add considerably to the cost of dismissals.

In the case of dismissals for economic reasons, retraining[42] must be proposed and has to be partly financed by the enterprise. The payment must be equivalent to notice pay and cover part of the retraining costs (about FF 4 500 per employee). For enterprises making more than ten workers redundant and employing more than 50 people, the obligation of carrying out a social plan[43] is even more complex and costly as it may entail additional outlays for the enterprise (for instance, to encourage those made redundant to be mobile or to create businesses). Based on an international ranking of OECD countries, France is in an intermediate position as regards protection against redundancies. However, the OECD's ranking does not take into account the obligations contained in collective agreements, which may be administratively extended. These can be very stringent and significantly hamper the pace of restructuring. The agreement for the banking sector, for instance, contains a first-in first-out rule, specifying that recently employed staff have to be laid-off before staff with a longer tenure.

According to the *Jobs Study*, French legislation concerning fixed-term contracts is fairly strict in international comparison. Fixed-term contracts can only be renewed twice and cannot exceed a total of 24 months. Since 1982, they have been authorised only if an employee has to be temporarily replaced (except in the case of labour disputes), if exceptional and temporary increases in activity occur and if occasional tasks are carried out. In addition, many government employment programmes provide scope for hiring on a fixed-term contract. The stringency of the legislation has not hindered the rapid development of fixed-term

contract employment over the last decade. Restrictions on temporary work agency employment are relatively light and this type of employment is allowed for all work situations. There are no restrictions on the number of contract renewals and the maximum duration period of this type of work is high in international comparison. While the greater flexibility of such fixed-term and temporary work agency contracts is welcome and should reduce the power of insiders overall, upward wage pressure applied by well protected insiders could also increase, insofar as workers on temporary contracts act as a buffer in times of slack demand.[44]

Active labour market policies

The authorities have stepped up labour market initiatives since the late 1980s, with increased emphasis on active labour market policies, even though policies aimed at reducting labour supply have remained prominent. The share of spending on active labour market measures (excluding reductions in social security contribution rates) has risen considerably since 1990 (Table 13). Currently more than 50 labour market programmes exist. Some of them are fundamentally passive in nature (see above) and others concern professional training (see below). In addition to general reductions for low-skilled workers, active labour market programmes comprise reductions in labour costs for specific groups in the public and private sector. The overall number of beneficiaries enrolled in active labour market programmes rose from 1.6 million in 1990 to 2.4 million in 1994 (close to 12 per cent of the labour force).[45]

The main scheme in terms of numbers of beneficiaries is the ‘‘employment-solidarity contract’’ (*Contrat emploi-solidarité* – CES), which provides jobs in the public sector (mostly run by municipalities and non-profit institutions). Since 1990, the number of people enrolled in this programme rose steeply to reach 700 000 persons in 1995 (700 000 contracts signed during the year translated into a stock of 400 000 persons in December 1995). Young people, the long-term unemployed and women are the main beneficiaries of this programme. It is costly overall as employers’ social security payments are waived and wage costs are largely covered by the State and a compensation fund. The Ministry of the Budget estimates that 95 per cent of the labour costs are covered by subsidy payments. The programme permits a very limited number of people to get back into regular employment. To a large extent this programme provides another

Table 13. **Labour market programmes**

	Public expenditures as a per cent of GDP						Participant inflows as a per cent of the labour force				
	1980	1990	1991	1992	1993	1994	1990	1991	1992	1993	1994
1. Public employment services and administration	0.09	0.13	0.13	0.14	0.15	0.16	..	..	..	..	..
2. Labour market training	0.21	0.34	0.35	0.39	0.45	0.44	5.2	5.7	5.6	5.6	5.4
Training for unemployed adults and those at risk	0.19	0.28	0.29	0.32	0.39	0.39	3.4	3.8	3.9	4.0	4.0
Training for employed adults	0.02	0.06	0.06	0.06	0.05	0.06	1.9	1.9	1.7	1.6	1.4
3. Youth measures	0.12	0.21	0.23	0.26	0.29	0.27	3.3	3.1	3.4	3.1	3.2
Measures for unemployed and disadvantaged youth	..	0.07	0.09	0.08	0.10	0.08	1.4	1.3	1.3	1.3	1.1
Support of apprenticeship and related forms of general youth training	0.12	0.14	0.14	0.17	0.19	0.18	2.0	1.8	2.1	1.9	2.1
4. Subsidised employment	0.00	0.07	0.11	0.13	0.20	0.21	1.0	1.2	1.8	2.4	2.9
Subsidies to regular employment in the private sector	0.00	0.03	0.05	0.04	0.04	0.05	0.4	0.4	0.4	0.5	0.8
Support of unemployed persons starting enterprises	0.00	0.02	0.02	0.02	0.02	0.03	0.2	0.2	0.2	0.2	0.3
Direct job creation (public or non-profit)	..	0.01	0.04	0.07	0.13	0.13	0.3	0.6	1.2	1.6	1.8
5. Measures for the disabled	0.03	0.06	0.06	0.08	0.09	0.08	0.1	0.1	0.2	0.3	0.4
Vocational rehabilitation	0.00	0.01	0.01	0.02	0.02	0.03	0.1	0.1	0.2	0.3	0.4
Work for the disabled	0.03	0.05	0.05	0.06	0.06	0.06	..	..	..	..	..
6. Unemployment compensation	0.92	1.31	1.47	1.61	1.73	1.57	..	..	..	..	..
7. Early retirement for labour market reasons	0.39	0.56	0.47	0.40	0.39	0.38	..	..	..	..	..
Total	2.13	2.67	2.82	3.00	3.28	3.12	..	..	..	..	..
Active measures (1-5)	0.82	0.80	0.89	1.00	1.17	1.17	9.6	10.2	11.1	11.4	11.9
Passive measures (6 and 7)	1.31	1.87	1.94	2.01	2.11	1.95	..	..	..	..	..

Source: OECD (1996*b*).

form of income support for people with no work experience or with a long unemployment history since participation in such a programme makes beneficiaries once again eligible for unemployment insurance benefit payments.

In the private sector, most labour market programmes aim at reducing the adverse effects of high labour costs on hiring at the lower end of the wage spectrum where the effect of high social security contribution rates is compounded by the statutory minimum wage. In all programmes, labour cost subsidies are limited in time, and usually the employer should not have carried out any lay-offs for a certain period before employing a beneficiary of such a programme. Programmes focus on the young, the long-term unemployed (for more than one-year), recipients of the RMI and the handicapped. The most recent initiative was the introduction of the *Contrat initiative-emploi* (CIE). It provides labour cost subsidies for the long-term unemployed. This programme succeeded the *Contrats de retour à l'emploi* in mid-1995 and is more generous than the earlier scheme as it provides not only for a total exemption from social security contribution payments, but also a subsidy of FF 2 000 per month. The reduction in labour costs for somebody employed at the minimum wage is 35 per cent. Since September 1996, the amount of the subsidy depends on how long the person hired has been unemployed (no subsidy for less than two years, FF 1 000 for two years and FF 2 000 for three years or more). Similar programmes exist for young people. The *Aide au premier emploi des jeunes* (APEJ) was abolished in September 1996 while the CIE was extended to cover young people without academic qualifications.

The ACCRE programme (*Aide aux chômeurs créateurs d'entreprise*) provides financial help to the unemployed who want to become self-employed in addition to an exemption from social security contributions for one year. This programme has prompted a considerable number of enterprise creations (nearly a third of the total). It is, however, very costly and is likely to have led to an outsourcing of services, especially in the construction sector. Another scheme provides incentives to the self-employed to hire an employee by providing a temporary exemption from employer's social security contribution payments (*exonération pour l'embauche d'un premier salarié*). This scheme was then extended to cover a second and third employee. Coverage was extended to the fourth to fiftieth employee in 1996 – as long as the jobs are in areas deemed to be disadvantaged.

The cost for households employing domestic workers has been lowered with the introduction of a 50 per cent tax deduction for the labour cost incurred (up to a ceiling of FF 45 000). In addition, the *chèque emploi-service* measure greatly facilitates the administrative burden related to hiring. The number of regular users of this programme was estimated at some 250 000 in late 1995, and the number of jobs created or brought back into the open labour market at some 15 000 to 20 000 on a full-time basis.

Calculations by the Ministry of Labour show that targeted programmes have strong substitution (for instance, between young people and the long-term unemployed), dead-weight (somebody would have been employed anyway) and incentive effects (inactive people take up employment). As a result, and despite the large number of people enrolled in such programmes, it is estimated that net job creation is only equal to 20 to 40 per cent of the number of beneficiaries, depending on the programme. Programmes which perform best appear to be those which also provide training in addition to labour cost reductions. On the other hand, public sector employment schemes do not very often enable people to return to the market sector on termination of the contract. In 1991, barely 18 per cent had a job in the open labour market one year after leaving the public sector employment scheme, while 42 per cent were unemployed.

Given the pervasiveness of unemployment at the lower end of the wage scale, targeted programmes have been supplemented with general reductions in labour costs for low-wage earners since the five year labour market programme was voted in 1993.[46] The financing of contributions to the family allowances scheme is being progressively moved from employers to the central government budget. A degressive reduction in employers' social security contributions was introduced in 1995. Applying initially to wages below 1.2 times the SMIC, this scheme was merged in October 1996 with the exemption from family allowance contributions, which had existed since 1993; this ''declining rebate'' at present concerns wages below 1.33 times the monthly SMIC. In 1996, the budgetary cost of these reductions was about FF 40 billion. The rate of employers' social security contributions at the minimum wage level has fallen from 38 per cent in 1993 to 28 per cent in 1996 and labour costs have fallen by 12.4 per cent (Table 14). As already mentioned, moreover, these reductions can be combined with those specific to part-time work, even at relatively high wage levels, meaning that government support for part-time work can become extremely generous.

Table 14. **Labour cost for low income earners**

	July 1993	January 1995	September 1995	January 1996	
1. Reduction in labour cost (per cent)					
At the minimum wage	3.7	3.7	12.4	12.4	
1.1 × minimum wage	3.7	3.7	7.7	7.9	
1.2 × minimum wage	1.8	3.7	3.7	4.1	
1.3 × minimum wage		1.8	1.8	0.9	
1.33 × minimum wage				0.0	
	January 1996, francs				
2. Labour cost					
Monthly gross salary	6 250 (SMIC)	6 875 (1.1 × SMIC)	7 500 (1.2 × SMIC)	8 125 (1.3 × SMIC)	12 500 (2 × SMIC)
Labour cost	8 034	9 318	10 601	11 704	18 344
Social security payment as a per cent of gross salary	28.6	35.5	41.4	44.1	46.8

Source: CSERC (1996).

It is too early to assess the impact of the general reductions in labour cost at the low end of the wage scale which have been phased in since 1993. Studies by the CSERC (1996) and Duchene *et al.* (1996) argue that the short-term effects were probably fairly small: first, because the short-run elasticities are considerably smaller than the long-run elasticities; and second, because the measures were accompanied by a rising tax burden which has partially diluted the beneficial employment effect of these programmes. Both studies also show that the long-run effects of lower labour cost could be substantial. If not accompanied by tax increases, an amount of only FF 10 billion (0.1 per cent of GDP) could create 50 000 or even more jobs in the long run.

An important component of active labour market policies is an effective public employment service. Several public bodies are involved in France. Unemployment benefit payments are administered by the UNEDIC, job information and placement are carried out by the ANPE, and active labour market programmes are managed by various institutions, including regional agencies. To reduce the inefficiency caused by the lack of co-ordination between the various institutions, steps were taken in 1994 to foster closer co-operation, but without creating a single institution. For instance, signing-on formalities were

streamlined and a closer check is being kept on the jobless to determine whether they are really looking for work by setting up a joint ANPE/UNEDIC file. Even if such checks have been reinforced, sanctions by the placement service against unemployed persons unwilling to take up a proposed job remain weak as unemployment benefit payments cannot be cut off, but only delayed.[47] Since 1993, management changes have raised the performance of the public placement agency considerably, with both the number of job offers by enterprises and placements rising sharply. On its own assessment, the market share of the ANPE in terms of notified job offers, which stagnated at around 20 per cent in the early 1990s, rose to close to 35 per cent in 1995. The objective of the agency is to reach 40 per cent in 1998.

Increasing the knowledge base, efficiency and innovative capacity

Upgrading skills and competences

While the educational attainment of the French population as a whole is still lagging the Nordic, some English-speaking countries and Germany (Table 15), the number of young people obtaining a diploma and the average length of study have risen sharply since the 1970s. This rise in schooling is likely to reflect two tendencies: on the one hand, given bleak job prospects, young people stay in school as long as possible (education is largely free), but on the other hand, a high level of qualification is among the best insurances against unemployment. Today, France has the longest average duration of studies in the OECD. Duration includes early childhood education, where enrolment rates have traditionally been the highest (close to 100 per cent for three year olds in 1994). The average

Table 15. **Population aged 25 to 64 years old by level of education**

Per cent of total, 1992

	Primary and lower secondary education	Upper secondary education	Higher education
France	48	36	16
Germany	18	60	22
United States	16	53	31
Sweden	30	46	24
Italy	72	22	6

Source: OECD (1995), *Education at a Glance*.

duration of studies after age five has risen sharply since 1982, reaching 15.9 years in 1991, and is equal to that in Germany and considerably above that in the United States (14.8 years) or the United Kingdom (14.0 years). Since the early 1970s, the percentage of persons leaving the formal education system before completing upper secondary education, has fallen sharply (Table 16). This development is mainly due to the creation of the vocational *baccalauréat* and ''techonological'' classes at the end of lower secondary education allowing most young people to reach upper secondary education. In addition, due to the increase in financial assistance and the simplification of administrative rules in 1993, apprenticeships now cover an enlarged range of qualifications beyond the upper secondary education level.[48] In 1994, out of a total 250 000 apprentices, 43 500 were preparing for higher education levels. In 1990, there were only 14 500.

A very high percentage of people having obtained a vocational *baccalauréat* leave initial education thereafter (85 per cent). This is consistent with the original objective assigned to the diploma, which was to improve transition from school to work and prepare young people for continuing education. Nevertheless, today only 5 per cent of these young people enter into tertiary technological education. A one year course preparing students from vocational

Table 16. **Young people leaving the education system**[1]

Per cent of total

	1973	1980	1985	1990	1993
Levels I, II and III					
Higher education with diploma or post graduate studies	15.9	19.3	21.8	31.2	37.7
Level IV					
Baccalauréat level with or without diploma or first cycle of higher education without diploma	17.4	17.4	17.8	21.3	27.9
Level V					
CAP or BEP diploma or secondary school education without diploma	39.9	47.5	45.2	35.5	26.1
Level VI					
Primary or lower secondary school education, no diploma	26.8	15.8	15.2	12.0	8.3

1. Training levels and diplomas as used in the National Education Service.
Source: Ministère de l'Éducation nationale (1995).

education for these schools (or university) might help improve their career chances. Over the last twenty years, the percentage of young people having obtained a diploma of higher education has risen substantially (37.7 per cent in 1993 compared with 15.9 per cent in 1973). This is largely due to the higher percentage of students obtaining a general or technological *baccalauréat*.[49] The percentage of young people continuing their studies after this type of *baccalauréat* (96 per cent in 1993) has also risen because of the development of tertiary technological education and because higher education at university is almost free. However, the transition between secondary education and university is far from perfect. The number of people failing to obtain a first-cycle university diploma (usually obtained after two years of university) remains high.[50] The lack of information on higher education in secondary schools, the slow and complex administrative processes and the relatively small number of advisers act to demotivate students.

Unemployment rates of young people several months after having left the education system have remained high. Efforts to improve the school-to-work transition have taken four directions. Because unemployment rates are very high among the least qualified, the *Crédit formation individualisé*[51] was introduced in 1989. It aims at providing a minimum qualification and follows young people individually until they have reached at least the upper secondary education level or obtained a stable job (the second objective has become more and more important).[52] Also the links between schools and enterprises have been strengthened. At the national level, the diplomas of technological and vocational education have been better defined according to the needs of the economy; and, at the local level, schools now have a better connection with enterprises. In the framework of the programme FRADE,[53] for instance, schools and enterprises carry out local development projects. Training in enterprises has become more frequent during schooling and apprenticeships or *contrats d'insertion en alternance* (alternate classroom/work-place training courses targeted to more qualified young people) receive government assistance. The better results of the German ''dual'' system in terms of youth employment and the slightly lower unemployment rates among apprentices at the beginning of their career influenced this policy initiative. The youth training programmes and the specific measures to help young people to find employment have been decentralised to the regional level since the five-year employment programme of 1993. This decision has, however, led to

transition problems insofar as the role of the different actors is not yet clear (Romani, 1996) and because regional public authorities have not yet found institutional counterparts.

The number of trainee hours rose from 586 million in 1986 to 923 million in 1993 and outlays on continuing education rose much faster than spending on initial training. The rapid rise is explained by two factors: since 1971, companies have been required to devote a certain percentage of their wage bill to training (Table A3) and to give each worker with a seniority of at least one year temporary leave to follow training for one year (*congé individuel de formation*),[54] and the number of unemployed people following training courses[55] almost doubled between 1986 and 1993. This rapid rise in the volume of training has not reduced the large differences in access to training. The gap between the access rate of managerial and non-managerial staff to continuing education (31.8 per cent for managerial staff and only 4.5 per cent for non-qualified manual workers in 1993) has remained unchanged, and public officials and workers in big companies still have a higher access rate than workers of small and medium-sized enterprises.[56] Moreover, most training financed by enterprises is of short duration, does not lead to a diploma and aims at adapting employees to new working conditions rather than to promoting their careers. Indeed, even though this is a major objective, continuing education does not provide a second career chance for people. Reasons for these failures are partly institutional. The distribution of funds does not take into account the quality of teaching, continuing education is generally not ratified by a diploma so that there is no ''signal'' for employers, and there is a lack of co-operation between the social partners and the National Education Service. The creation of the new training for engineers called *filière Decomps* has proved that such co-operation can exist. However, the lack of success of this *filière* so far also shows that changes are slow to materialise.

Several factors suggest that – at least at the current level of unemployment – the mismatch between the skills of workers and those demanded by employers is not important. First, most non-qualified people are old in France, and thus the distribution of formal qualifications may not reflect the skill of the workforce. Second, the Beveridge curve (unemployment-vacancy ratio) does not suggest increasing mismatch since 1976. Third, the qualifications of the working-age population have increased faster than those of the employed, and more and more qualified people have taken jobs which required lower qualifications in the past.

This could reflect a ''crowding out'' of less skilled people in a depressed labour market, but could also be due to a rising skill content of jobs. Finally, a mismatch should be reflected in rising relative wages of the more qualified. This has not been the case and the rate of return on education, as measured by relative wages has somewhat decreased. However, lower relative returns to education need to be balanced against the lower risk of unemployment for qualified relative to less qualified people.

Product market competition

Product market competition encourages labour market flexibility and improves overall economic performance. Reduced competition due to inappropriate government polices can lead to high prices and generate rents, thereby reducing output and employment. Government initiatives in this area include the opening up of many sheltered sectors, largely following EU-wide single market legislation, and a large privatisation programme. The privatisation programme is covered in the chapter on corporate governance.

International trade and investment should, in the absence of international cartel activity, promote strong competitive pressure in the open sector of the economy. However, some sectors still enjoy a high degree of protection. Judging by the OECD's international price comparisons for 1990, the French price level was about in line with the European average, considerably below the German and Japanese price levels and significantly above the price level observed in the United States. Prices were relatively high for food and clothing and footwear. This largely reflects the EU's protective policies in these areas, even though French prices were also high with respect to many other EU countries. Price levels were comparatively high in other areas (Table 17), which was partly counterbalanced by relatively low health-care prices and rents. The latter are also influenced by government policy. The data suggest that competition was about as strong as in most continental European countries, but weaker than in English-speaking countries.

Liberalisation has proceeded since 1990 in many sectors, largely due to the EU's single market initiative. The difficulties of parts of the banking sector to adjust to financial liberalisation – partly due to strict labour standards – are discussed in the monetary policy section above. Partial deregulation of international and national air transport has led to a rapid fall in airline prices; and the

Table 17. **The price level in international comparison**[1]

1990, OECD = 100

	France	Germany	Italy	United Kingdom	United States	Canada	Japan	Australia
Food	111	106	103	88	82	98	136	76
Clothing and footwear	152	131	134	94	76	100	111	99
Gross rent and water charges	91	119	55	72	113	123	142	120
Household equipment and operation	113	106	117	93	86	102	116	95
Medical and health care	81	106	89	101	123	90	68	95
Transport and communication	120	119	114	129	83	103	109	104
Education, recreation and culture	128	114	133	92	90	92	105	99
Gross fixed capital formation	105	123	114	119	78	82	116	88
Gross domestic product	**107**	**115**	**105**	**95**	**90**	**99**	**116**	**95**

1. Comparative dollar price levels of final expenditure on GDP (at international prices).

Source: OECD (1993), *Purchasing Power Parities and Real Expenditures – 1990, GK Results, Volume 2.*

railway company will soon be split into separate operating and track companies, which should be a first step towards introducing a higher level of competition in this sector. Quantitative restrictions on short-distance road haulage were already phased out at the beginning of the 1980s and on long-distance road haulage between 1986 and 1990. Deregulation in international road haulage will be complete in July 1998 when the phase-in of EU-wide cabotage will be completed. Since 1985, relative transport prices have fallen by about 15 per cent, with air transport prices halving and road transport prices falling by 20 per cent. Since 1985, the transport sector has shown faster output, employment and productivity growth than the economy on average, largely reflecting liberalisation of the sector. Moreover, stronger intra-modal and inter-modal competition in the transport sector has also raised the pace of structural adjustment. The road freight sector has probably adjusted best, while the state-owned railway company had difficulties in accelerating the pace of adjustment. The pace of change has been slower in the public airlines than has been the case in other countries, largely due to the difficulties in aligning remuneration packages and work schedules to international practice. Restructuring of Air France is not yet complete and has not yet started at Air Inter, which has been taken over by Air France. While consumers have benefited from deregulation through lower prices, taxpayers continue to pay dearly for financial assistance to public transport enterprises.

The electricity market is strongly dominated by the vertically integrated state-owned company EDF, which is responsible for close to 95 per cent of electricity generation. The French authorities were strongly opposed to the more radical proposals for opening up the electricity market by the European Commission (third party access) and instead put forward a more restrictive model. Recently, an EU-wide compromise was reached allowing for a slow liberalisation of parts of this sector. French labour productivity levels in the electricity sector compare well with the other European countries, but are considerably below those in the United States or Japan. On the other hand, capital productivity is fairly low. Both suggest that efficiency gains could be reaped from stronger competition, even though these might be less than in other European countries.

Some segments of the telecommunications sector have been opened up slowly but France Télécom still has a monopoly on fixed-network telephony, with the exception of a few closed private networks. Market access for other operators has been increased in the fields of the provision of telecommunication material, data transmission, and a number of other ''value added'' services. The mobile telecommunication market has been opened to competition; however, the density of the cellular-phone subscribers in the total population is still among the lowest in the OECD. Legislation has recently been adopted to incorporate France Télécom in view of future partial privatisation, including the set-up of an independent authority to supervise competition in a more open environment. The French telecommunication charges are in line with the OECD average, with a relatively low fixed charge and fairly high user charges. While international call prices have fallen considerably in recent years, they remain high and have strongly encouraged the use of call-back systems. In addition, mobile phone charges are still high in international comparison.

Despite relatively tight zoning laws and limits on the construction of large retail outlets in recent years, the density of large stores is high in international comparison. Large retail chains can have considerable buying power and several attempts have been made to reduce discriminatory practices. Restrictions have recently been tightened which could reduce competitive pressures considerably. Shopping hours are not limited on working days, but permission to open on Sundays is rarely given. A lifting of restrictions on Sunday shopping should improve the use of resources, and a more liberal handling of permissions for large retail outlets could raise productivity – large outlets show considerably higher productivity levels than small ones.

The OECD Secretariat has attempted to gauge the effects of ambitious further liberalisation in the transport, telecommunications, energy and distribution sector with partial equilibrium models. These have been fed into an input-output analysis to capture secondary downstream effects resulting from substantially lower prices in the affected sectors. Preliminary estimates suggest static gains of around 2 per cent of GDP. Output could be further boosted by innovation effects and a higher rate of capital accumulation.

A stable and rational economic environment is a pre-condition for the successful development of the enterprise culture. This includes initiatives to limit the administrative burden to the necessary minimum and to repeal inappropriate regulations. While there have been several moves to reduce the cost of regulations in the past, France has certainly not yet become a lightly regulated country. Currently, there exist about 8 000 laws and 80 000 decrees, and about 10 000 instructions (*circulaires*) are issued every year by the State's administration. It is impossible to provide a general overview of the regulatory framework for all sectors, but the example of the formalities needed to start-up a business highlights the issue. In 1995, between 10 and 21 administrative hurdles had to be passed after registration of a business, (depending on the type of enterprise), and it took up to 105 days to complete all procedures. While the situation was similar in Italy and Greece, far fewer procedures were required in the United Kingdom and Ireland. Starting-up an enterprise also took much less time there and was considerably less expensive.

Taxation is also likely to affect the creation of businesses and their survival. While the corporate income tax is roughly in line with the OECD average, the personal income tax schedule facing the self-employed is very steep. The effective tax burden is, however, difficult to evaluate due to the extensive menu of tax deductions and allowances. On the other hand, French self-employed pay more than 40 per cent of their pre-tax income in social security contributions. This is easily the highest tax burden in the OECD. While these payments are waived in the start-up phase of a business they have to be paid later on in a lump-sum. This may contribute to business failures. Reductions in social security contribution rates and the recent direct tax reform will lower the tax burden, but it will still remain high in international comparison. Fees and taxes on transactions in the housing market are also very high, which is probably an important obstacle to labour market mobility.

As elsewhere, the financing of small and medium-sized enterprises represents a major challenge for the government. In order to make access to credit easier for SMEs, it was decided recently that the guarantees available to them would be substantially increased. Also, by making investment in rapidly expanding SMEs more liquid, the creation of the New Market in February 1996 was an encouraging move to improve the financing of innovative enterprises. By August 1996, 12 enterprises had been introduced on the new stock exchange.

Technology and innovation

In France, as elsewhere, technical progress is often seen as a threat to the employment of unskilled people. However, from a macroeconomic point of view, it appears to be largely a process of ''creative destruction'', generating as many jobs as it destroys. Taking into account the positive impact on productivity and real incomes, benefits should exceed restructuring costs.[57] Moreover, in the context of globalisation, technological strength provides a competitive advantage allowing the creation of highly-paid jobs. As a consequence, spending on research and development (R&D), especially in high-technology sectors, is often seen as an important indicator of the future competitiveness of a country.

After a sharp increase between 1975 and 1985, Gross Domestic Expenditure on R&D (GERD) has stagnated since the late 1980s, accounting for 2.4 per cent of GDP in 1994. Compared with other OECD Member countries, this percentage is lower than in the United States, Japan and Sweden, but has recently become higher than in Germany – largely reflecting unification (Table 18). R&D financed by enterprises has remained relatively low, and R&D carried out in the business enterprise sector (BERD) has always accounted for a lower percentage in France. Nevertheless, the gap with other OECD Member countries is closing. Moreover, BERD is mainly concentrated in high-technology industries.

SMEs can receive grant-based assistance aimed at encouraging innovation and spreading technology. The *Fonds régionaux de transfert de technologie* (promoting technology transfers), the *Fonds régionaux d'aide au conseil*, the *Aide au recrutement de cadres* (providing incentives to hire highly-qualified workers), the *conventions CIFRE* (providing grants for doctoral theses), the *Fonds de développement des PMI* (encouraging modernisation of capital equipment), the guarantee fund managed by SOFARIS (*Fonds de garantie pour le développement technologique*) and the financial aids provided by ANVAR are

Table 18. **Research and development outlays**

Per cent of GDP

1. Overall spending

	1975	1985	1990	1994
France	1.8	2.3	2.4	2.4
Germany[1]	2.2	2.7	2.8	2.3
United States	2.3	2.9	2.8	2.5
United Kingdom	2.2	2.3	2.2	2.2
Sweden[2]	1.8	2.9	2.9[3]	3.3
Japan	2.0	2.8	3.0	2.8

2. Financing of expenditure by source

	Business enterprise		Government		Other national sources		Foreign	
	1981	1994	1981	1994	1981	1994	1981	1994
France[2]	0.8	1.2	1.1	1.0	0.0	0.0	0.1	0.2
Germany[1]	1.4	1.4	1.0	0.9	. .	. .	0.0	0.0
United States	1.2	1.4	1.2	0.9	0.0	0.1	0.0	0.0
United Kingdom	1.0	1.1	1.1	0.7	0.1	0.1	0.2	0.3
Sweden[2]	1.3	2.1	1.0	1.0	0.0	0.1	0.0	0.1
Japan	1.4	1.9	0.6	0.6	0.2	0.3	0.0	0.0

3. Distribution of R&D by sector of performance

	Business enterprise sector		Government, higher education and private non-profit institutions	
	1981	1994	1981	1994
France	1.2	1.5	0.8	0.9
Germany[1]	1.7	1.5	0.7	0.8
United States	1.7	1.8	0.7	0.7
United Kingdom	1.5	1.4	0.9	0.8
Sweden[2]	1.5	2.3	0.8	1.0
Japan	1.4	1.9	0.9	1.0

1. In 1994, figures for Germany refer to the whole of Germany.
2. 1993 figures instead of 1994.
3. 1989 figure instead of 1990.

Source: OECD, *Main Science and Technology Indicators* and STIU databases, December 1996.

examples of such incentives. Assistance is also technical, insofar as SMEs receive advice to define their technological needs (for instance, by the ANVAR and CRT schemes). However, the complexity of the aid system and the great number of actors create problems of co-ordination and evaluation of the effectiveness of the various schemes.

Recent policy actions

Policies to reduce structural unemployment were a central feature of the multi-year labour market programme which was implemented during 1994. It placed emphasis on raising labour market flexibility and lowering labour costs for the least qualified. As described above, the programme contained incentives to move away from rigid working hours (an annualisation of working hours against a general reduction in overall time worked) – the specifics being negotiated by the social partners. It provided for the phase-in of reductions in social security contribution payments for low-skilled workers, tax breaks for the employment of household personnel and simplified the payment of social security contributions. In addition, it included the decentralisation of training programmes for young people and a further move towards on-the-job training.

In 1995, targeted measures were strengthened and the shift of social security contribution rates on low wages from employers to the budget reinforced. The CIE (*Contrat initiative emploi*) was implemented. For hiring a long-term unemployed person, the employer is exempted from social security payments up to the SMIC level. The CIE replaced an earlier programme targeting the long-term unemployed which was less generous. Another scheme (*Complément d'aide à l'emploi des jeunes*) provides for a wage subsidy for hiring young people who are having great difficulties in finding a job. In addition, the subsidies for apprenticeship schemes were raised.

The government decided to accelerate the general reductions in social security payments for low-skilled workers beyond the provisions of the multi-annual labour market programme. The new reductions are degressive between the minimum wage and 1.2 times the minimum wage. The reduction at the minimum wage level is equivalent to health insurance contributions and reduces labour cost by close to 10 per cent. At the same time, the government raised the minimum wage by more than the legal requirement. In order to finance the new employment and other spending initiatives and reduce the budget deficit, the 1995 mini-budget provided for a tax increase of close to FF 80 billion.

One of the initiatives in 1996 concerns the programme for hiring an employee by a self-employed worker, which is extended from the fourth to the fiftieth employee in specific, disadvantaged areas. A new law, the *Loi Robien* is designed to encourage a reduction in overall working hours by reducing social security contributions for seven years in any firm that cuts work time by between

10 and 15 per cent and increases its workforce by the same amount for at least two years. Defensive use of this scheme is also possible: in this case, social insurance costs are reduced for three years in exchange for a cut in working hours of at least 10 per cent as a means of avoiding redundancies under a social plan. Finally, the government has announced the introduction of an early retirement scheme for public officials in 1997. The scheme does not aim at slimming the public sector workforce, as early retirement is to be fully offset by hiring new officials.

The 1996 Budget contained only few measures, but was closely followed by the announcement of social security reforms. Short-term measures contained a tax increase to pay off the accumulated debt of the social security system. In addition, a series of measures aims at dampening spending growth over the medium term, most notably in the health care system. Success of these reforms should help in avoiding a further rise in the tax burden and could provide room for further reductions in social security contribution rates without increasing other taxes.

During summer 1996 and again in the 1997 Budget, several measures were taken to reduce the generosity of some targeted employment programmes and to achieve better targeting for others. Assistance for recruiting the long-term unemployed will henceforth be graduated according to the length of time the person recruited has been out of employment. One programme for young people (*l'Aide au premier emploi des jeunes*) was terminated, as was the *Complément d'aide à l'emploi des jeunes*. The government subsidy for the public sector work programme (CES) is to be cut by 10 per cent on average, while recruitment to assisted public service jobs will target those people most in need. The programme of assistance to the unemployed who create businesses is currently being reformed, and the flat-rate subsidy is likely to be abolished. These savings are, however, from a steeply rising ''no policy change'' base in 1997, so that spending (including tax exemptions) on labour market programmes will continue to rise rapidly.

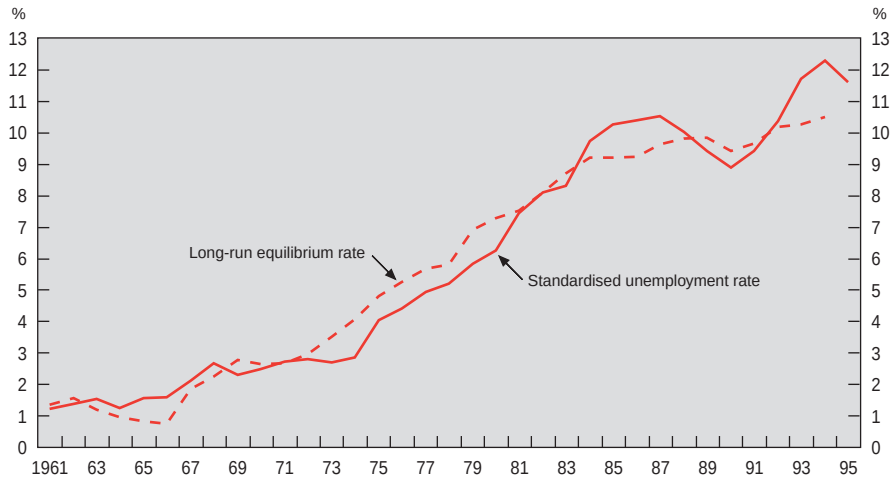
Assessment and scope for further action

This chapter has identified a number of factors which could have contributed to the scale of unemployment in France. There are a great many programmes

relating to the labour market, and the interaction between legal provisions, benefit payments and taxation is complex. The costs and benefits of all the existing regulations and programmes and the welfare system need to be further evaluated and, if necessary, reforms undertaken.

Despite the many labour market policy initiatives over the last several years, unemployment has recently reached a record level. An attempt has been made by the Secretariat to evaluate whether the further increase reflects structural or cyclical factors by relating the unemployment rate to replacement ratios, the tax wedge, the relative minimum wage, an index of the stringency of job protection legislation, real interest rates and the terms of trade. It is disconcerting that many of the explanatory variables are highly correlated as this implies that it is very difficult to definitely establish the relative quantitative importance of each potential factor contributing to structural unemployment. The estimates (detailed in Annex II) show that the minimum wage, the tax wedge and the unemployment insurance generosity provide a good explanation. In the dynamic relationship also other variables, such as the index of the stringency of employment protection legislation or the real interest rate, are significant one by one but not jointly. Such exercises need to be interpreted with caution. However, none of the potential contributors has changed much since the early to mid-1980s, which implies that on those counts the structural unemployment rate should have changed little since then. The long-run relationship (Figure 17) implies a structural unemployment rate of somewhat above 10 per cent for 1994 as compared to an estimate of 9 per cent in the mid-1980s, but of only 3 per cent in the early 1970s. These results are in line with Scarpetta's (1996) cross-country estimates, covering a much shorter period and time series estimates by Jackman and Leroy (1996) which follow a similar approach. Cotis *et al.* (1996*b*), estimating a system of equations, find a structural unemployment rate for 1995 of close to 10 per cent, with the tax wedge and the real interest rate being the most important explanatory variables. INTERLINK's wage equation embodies a natural rate estimate of 9 per cent for the early 1990s, again with little change since the mid-1980s, and four national models show natural rate estimates ranging from 7 to 9 per cent (also based on wage equations; INSEE 1996*a*). Measures based on wage equations are much cruder as they do not model the determinants of the natural rate in detail. The further reduction of indirect labour cost in future years should reduce the structural rate of unemployment below 10 per cent and cyclical slack in the labour market should be gradually absorbed.

Figure 17. **ESTIMATE OF THE STRUCTURAL UNEMPLOYMENT RATE**[1]



1. The regression results are presented in Annex II.
Source: OECD Secretariat.

Macroeconomic policies were geared towards keeping unemployment low in the 1970s, which contributed to a sharp rise in wages and high inflation. The increase in unemployment since the 1980s is attributable in particular to the fact that a still inflexible labour market had to absorb a number of major macroeconomic shocks (the rise in real interest rates, disinflation) which helped to keep unemployment above its structural level for several years. The indexation of the minimum wage on past inflation has impeded adjustment, even though the method of wage indexation changed in 1983. It is therefore likely that labour market rigidities have added to the cost of a stringent macroeconomic policy.

Estimates of the structural unemployment rate suggest that the labour market policy initiatives of the last few years cannot by themselves reduce structural unemployment significantly. The reforms implemented to date have been too modest and need to be expanded. As a response to mounting unemployment, labour market initiatives in recent years have focused on integrating the young, re-integrating the long-term unemployed and providing work for those with a low earnings potential. The number of people enrolled in targeted schemes has risen

sharply as has their budgetary cost. Many targeted schemes appear to be very generous, without much gain in overall employment. Several criticisms have been raised against such targeted schemes, most recently again in the *Rapport Péricard:*

- there are too many schemes. Ineffective schemes are seldom dropped and the large number of programmes also implies that information costs are high, especially for small enterprises;
- the set-up of many schemes leads to heavy compliance and control costs;
- many programmes change too often. For example, the long-term unemployment programme changed seven times in seven years in terms of coverage and generosity;
- public sector employment schemes had only limited success in getting people back into regular work. They should be scaled back considerably and only include beneficiaries with a very low earnings potential;
- some schemes are very generous and the same objectives might also be achieved at a lower budgetary cost. The *Rapport Péricard* estimated a monthly budgetary cost of FF 3 519 for a *contrat-initiative emploi* and of up to FF 4 218 for a *contrat-emploi solidarité.* This is considerably more than the public contribution to training schemes (FF 1 500 for the *contrat d'apprentissage* and FF 2 500 for the *contrat de qualification*).

As noted above, there have been efforts recently to streamline programmes, to lower their generosity and to target them better. Evaluation of labour market programmes on an on-going basis should lead to further steps in the same direction.

Some progress has been made on wage flexibility, in particular because of disindexation and increased competition on the product market. Greater flexibility is important as a way of improving workers' employment prospects, and further efforts in this area would be worthwhile. The current wage negotiation system influences wage flexibility. Labour laws result in a piling-up of advantages, ranging from the provisions of the labour code down to the individual contract. The wage negotiation process can take place at various levels: local or national, enterprise or industry. Agreements reached at industry level are often extended to all firms in the industry, usually at the request of the social partners. The OECD's 1994 *Jobs Study* generally recommends the decentralisation of wage negotiations, which would have a positive impact insofar as wages would

more accurately reflect differences in conditions at local and enterprise level and the jobless would find it easier to return to employment. The study therefore recommends the phasing out of administrative extensions. In the case of France, however, such extensions do not appear to hinder the decentralisation of the wage-setting process to any significant degree. While it is not impossible that extensions may in some cases be imposed on unwilling firms, maintaining them is also justified in the opinion of the French authorities because of the weakness of union representation and the concern to adjust the conditions in which compensation is negotiated. The costs of mass layoffs and the time they take to implement are substantial because of the accompanying social plans. That said, social plans do facilitate restructuring processes. Even if fixed-term contracts have increased rapidly in recent years, the relevant legislation remains restrictive and needs to be made more flexible. The legislation applying to working time allows for more flexible work hours, yet little progress has been made in that direction. Although it is possible under the 1993 five-year employment law to negotiate collective and labour agreements which provide for a greater degree of flexibility, little progress has actually been made. Part-time work, on the other hand, has increased appreciably, and there appear to be very considerable incentives to propose contracts of this sort.

Unemployment among the lowest skilled has risen considerably over the last decade and is very high. At the same time, labour cost increases for the least skilled were above average until the early 1990s. The two main reasons for this were the successive increases in social security contribution rates and the rapid rise in the minimum wage, which was especially steep between the late 1960s and early 1980s. In order to guarantee a minimum income from work, while at the same time ensuring that the cost of labour does not prevent the hiring of unskilled workers, the French authorities adopted, as of 1993, a policy of appreciably lowering employers' social security contributions for low-wage earners. The *Jobs Study* for its part recommends that the role of the minimum wage as a distributive instrument be reassessed with the object of increasing employment opportunities, and it also advocates that the minimum wage be differentiated by age and region. The OECD study also suggests that if the distributive consequences of this were judged unsatisfactory, they could be partially offset by introducing some form of employment-conditional benefit for the lowest-paid. It would, however, be very difficult to achieve the same redistributive objectives

with this type of measure as with a minimum wage system. The French authorities are of the opinion that the object of their action, which is to reduce the cost of unskilled labour without lowering the purchasing power of the wage-earners concerned, would not be properly understood if the guarantee of a minimum income from work, as represented by the SMIC, were to be weakened. The budgetary cost of both systems (that advocated by the OECD and that advocated by the French authorities) is considerable. So far, the reductions in social insurance costs in France have had to be financed by raising other taxes, which dilutes the positive employment effects of lower labour costs. Control over public spending, in line with the reform under way, could ultimately provide some leeway for continuing to reduce the cost of labour.

In France, as in any high labour cost country, effective education and training institutions are important for forming a work force with a high level of productivity. The training of young people has been stepped up considerably and labour costs for young people have been reduced. Also, the overall educational attainment of French youth has risen sharply. However, the effectiveness of higher education could be raised by measures to reduce the high incidence of underachievement. Further upgrading of technical and vocational training for those who are not admitted to academic education appears necessary, and better access to more advanced studies for young people in such training schemes should be provided. Continuing education is very well developed in quantitative terms. However, most of the programmes target the already well educated, and small firms subsidise training in bigger enterprises. In addition, many training programmes are relatively short and often do not lead to a diploma which is widely recognised. Finally, the current method of funding does not put any pressure on educational institutions to perform well.

The current system of taxes and benefits can result in a small income difference between work and inactivity. Despite the 1993 reform, the unemployment insurance system remains generous compared to the OECD average. Many welfare benefits are means tested and entitlement can end very quickly when recipients return to work. Also, marginal rates of tax are very high on low incomes, with the result that some workers may remain inactive and in a situation of poverty. An in-depth analysis of the current tax and benefit system as a whole should produce ways of lessening these unwanted effects, while at the same time remaining in line with overall welfare objectives. Furthermore, less use should be

made of passive employment policy programmes, in particular, early retirement schemes, and the temptation to create new ones must be resisted. While steps have been taken to strengthen co-operation between the Public Employment Service and the benefit agency, it is important to step up co-ordination with regard to benefit payments, job-search services and the management of training programmes.

In addition to making labour markets more responsive and raising human capital formation, there are several areas in private and public goods and services provision where regulatory reform should strengthen competition and enhance efficiency. While privatisation has been pursued in recent years, the pace has slowed, reflecting the low profitability of the remaining privatisation candidates. Restructuring of these enterprises should be speeded up as well as of those loss-making publicly-owned enterprises which are not yet on the privatisation list. Monopolies in the network sectors (including large segments which are not inherent monopolies) are still the rule rather than the exception. As regards the electricity and telecommunications sectors, the government should undertake an entire package of major reforms, namely: hiving off the natural monopoly networks; privatising in such a way that the owners of natural monopolies do not own related businesses and that geographically separable networks are not under common ownership; and adopting efficiency enhancing regulatory systems. In the areas where policies have changed, considerable gains from liberalisation have been reaped by consumers. However, the adjustment to a more competitive environment is often slow and comes at a considerable cost to the taxpayer. Simulations by the Secretariat suggest that further liberalisation in the transport, telecommunications, energy and distribution sectors would lead to considerable economy-wide benefits.

Greater competition in product markets and a lowering of costs could be achieved by reducing the administrative burden on enterprises and by repealing inappropriate regulations. While there were laudable moves in this direction in recent years, much more could be done in this respect. Taxation is high in France, which reduces incentives to take initiative and may contribute to the failure rate of small and medium-sized enterprises. As elsewhere, the financing of small and medium-sized enterprises is a policy issue. In order to provide risk capital for the larger companies, a new stock exchange was created recently which had considerable success in raising fresh capital in its start-up phase.

IV. Corporate governance of French enterprises

Introduction

Corporate governance – the rules and practices whereby economic systems cope with the information and incentive problems inherent in the separation of ownership from control in large enterprises – has become a key issue of the economic policy debate in OECD countries over the past few years. The integration of world markets, as well as the need to increase the flexibility of productive processes while protecting long-term investments, have been key factors accounting for this interest. The theoretical foundations of the debate on corporate governance are primarily based on the economics of finance and industrial organisation (see Box 2) and it has become commonplace, if perhaps somewhat simplistic, to sketch two corporate governance systems. In the United States and other English-speaking countries, shares are mainly held by non-banking financial institutions,[58] ownership in listed companies is widely dispersed and separated from control, and corporations are managed in the overriding interest of investors (outsider model). In Japan and Germany, banks and insurance companies play a key role; in most companies, control is exerted by majority investors or a coalition, and the claims of stakeholders such as employees, creditors and suppliers are well protected (insider model).

Placing France in an international context is the key aim of this chapter. The focus is on governance mechanisms in large corporations. In small and medium-sized enterprises, there is generally no separation between ownership and control. The management logic is different and so are the legal and organisational environments in which they operate. But as management-owned firms evolve into public corporations, the same corporate governance issues will bear on them as on larger enterprises. The debate on corporate governance in France has been prompted by factors common to the other major industrial economies: some well-publicised cases of substantial losses made by certain companies and the opening

Box 2. **Corporate governance**

Corporate governance is the subject of how and to what extent the interests of the various agents involved in a corporation are reconciled. First highlighted by Berle and Means in 1932, the separation between ownership and control in large-scale incorporated enterprises makes it necessary to introduce an efficient set of contracts, incentives and constraints to ensure that managers (the agents) behave in such a way as to maximise the value of the investment made by the shareholders (the principals). Perfect contracts – containing detailed provisions over all possible occurrences and thus protecting shareholders against managers' neglect, mistakes and malpractice – are impossible to write. Economic systems have therefore looked for solutions to the problems of corporate governance, the nature of which reflects five main elements: *a)* the distribution of equity capital among different classes of investors; *b)* the concentration of ownership and the degree of separation between ownership and control; *c)* the priority given to shareholders over holders of other income claims (employees, creditors, etc.); *d)* the extent to which corporations take as their own objective the fulfilment of some sort of ''social responsibility''; and *e)* the efficiency of the ''market for corporate control''. Not only shareholders make relation-specific investments, thereby assuming an element of residual risk. Employees, customers or suppliers also do, which might make a wider alignment of interests crucial. However, in this chapter the more narrow focus on the principal-agent relation is adopted.

of judicial enquiries into cases of corruption that have called into question the monitoring role of directors. Other, no doubt more specific reasons include the declining importance of the State as a shareholder and the need for capital-starved French companies to unlock underperforming cross-ownership stakes. The publication in 1995 of an *ad hoc* study by the French national employers' union and the confederation of French industrialists in 1995 (Viénot Report) revealed the scale of the problems in this area and suggested some remedies. A Senate report on the reform of existing company law further fuelled the debate in 1996.

This chapter describes the ownership and control structure of French corporations, followed by an analysis of the role of the State as a shareholder. In the second part, the effects of corporate governance on the financial structure of French companies, their investment and financial performance are examined. Finally, the recent debate concerning corporate governance and reform proposals is reviewed.

Corporate governance and control structure

Ownership and monitoring of corporations

The ownership structure

Systems of corporate governance can be distinguished according to the identity of large shareholders and the degree of ownership concentration. Table 19 shows the ownership structure of common stock in the six largest industrialised countries. France is, with Italy, the country where the ownership share of financial institutions is lowest. The weight of total non-financial enterprises, partly reflecting cross and circular ownership, is considerable. Cross-participation among companies is an important element of French corporate governance. It shields managers from the short-term pressures of the market by making a change in corporate control more difficult – a feature that may be conducive to long-term, relation-specific investments, but one that also weakens pressures to maximise performance (see below).[59] It is more difficult from an analysis of Table 19 to gauge the extent of ''people's capitalism'', as households may hold shares either directly or indirectly through investment funds and life insurance companies. As long as equity prices were rising, the number of shareholders also grew, but fell again after the 1987 crash to a low of 4.5 million in 1992 and rose to 5.3 million in 1996. High real interest rates since 1991 and

Table 19. **Ownership of common stock in selected OECD countries**

Per cent of total ownership

	France 1994	United States 1994	Japan 1992	Germany 1993	Italy 1994	United Kingdom 1993
Financial institutions	7.8	44.5	48.0	29.0	7.8	61.8
Banks	3.8	0.1	18.9	14.3	4.4	0.6
Insurance	1.9	6.0	19.6	7.1	3.4	17.3
Other	2.1	38.4	9.5	7.7	..	43.9
Non-financial institutions	92.2	55.5	52.0	71.0	92.2	38.2
Non-financial enterprises	57.9	..	24.9	38.8	24.5	3.1
Households	19.5	51.4	22.4	16.6	50.5	17.7
Government	3.7	..	0.7	3.4	8.0	1.3
Foreigners	11.1	4.2	4.0	12.2	9.2	16.3

Source: France: INSEE (1994), *Comptes nationaux;* USA: Board of Governors of the Federal Reserve System (1994), *Flow of Funds Accounts;* Japan: Japan Securities Research Institute (1992), *Securities Market in Japan;* Germany: Deutsche Bundesbank (1994), ''Entwicklung und Bedeutung der Geldanlage in Investmentzertifikaten'', *Monatsbericht,* vol. 46, No 10; Italy: Banca d'Italia (1996), *Assemblea generale ordinaria dei partecipanti, Appendice;* UK: Central Statistical Office (1993), *Share Register Survey Report.*

slow growth in corporate dividends have also deterred equity investment, the share of equities in the financial portfolio of households falling from 22.6 per cent in 1986 to 12.2 per cent in 1992. The share of capital held by employees in their enterprises has risen and is substantial in some enterprises (*e.g.* Castorama, Société générale). In many enterprises, employees invest in share savings plans, which procure fiscal advantages, but such shareholdings lead only seldom to a representation in the board of directors. As in other OECD countries, indirect shareholdings through institutional investors have risen in the recent past, although the size of their assets remains relatively small. The pension system is based on a public pay-as-you-go scheme, while most life-insurance contracts are tied to fixed-income investments.[60] Moreover, French mutual funds invest a far lower share of their assets in equity than do their counterparts elsewhere in the OECD area (OECD, 1995*a*), and finally, the weight of the public sector is sizeable. The inclusion of equities held by the *grandes entreprises nationales* among those held by non-financial enterprises leads to an underestimate of the overall role of the public sector in Table 19.

A further distinguishing feature of corporate governance systems is the degree of ownership concentration. In most Anglo-Saxon listed companies, there is no controlling shareholder, while in most companies in both continental Europe and Japan either one single investor or a coalition of shareholders exert corporate control. According to Secretariat estimates based on ownership data for listed companies included in the wider of the two indexes of the Paris stock exchange (SBF-120), the concentration of ownership is higher in France than in any other G7 country apart from Italy (Table 20). As the SBF-120 sample includes the largest firms, where ownership is more diluted, concentration for all listed companies is likely to be even higher, with half the firms being controlled by one single investor owning the absolute majority of capital (OECD, 1995*a*).

The monitoring structure

When ownership and control are separated, aligning investors' and managers' interests can take various forms. Boards can be effective either by the strict enforcement of fiduciary duties, as is the case in principle in the United States, or through direct monitoring, as in Germany, where the system of co-determination puts managers under the continuous scrutiny of both shareholders and other stakeholders (in particular creditors' and employees' representatives sitting on

Table 20. **Ownership concentration in non-financial enterprises**[1]

Percentage of outstanding shares owned by the largest five shareholders[2]

	France	United States	Japan	Germany	Italy	United Kingdom
Mean	48.2	25.4	33.1	41.5	86.9	20.9
Median	50.7	20.9	29.7	37.0	99.9	15.1
Standard deviation	19.3	16.0	13.8	14.5	19.7	16.0
Minimum	. .	1.3	10.9	15.0	n.a.	5.0
Maximum	. .	87.1	85.0	89.6	100.0	87.7

1. France: 120 listed corporations included in the SBF-120 index in 1995; United States: 457 non-financial corporations in 1980; United Kingdom: 85 manufacturing corporations in 1970; Japan: 143 mining and manufacturing corporations in 1984; Germany: 41 non-financial corporations in 1990; Italy: 7 343 non-financial corporations in 1993.
2. For France: shareholders represented on the board of directors.

Source: Barca F., *et al.* (1994) and OECD calculation on SBF data (1995).

the supervisory board). Neither of these mechanisms has emerged in France. The two-tier board structure (see Box 3)[61] has been adopted by a very limited number of French companies. Firm managers have indeed proved reluctant to adopt monitoring practices that could strengthen the trade unions' powers and access to sensitive information. And the role of non-executive directors is often muted, as boards tend to be dominated by the *Président directeur général* (PDG), who takes the functions of the Chairman and the Chief Executive Officer. These functions are usually separated in the Anglo-Saxon countries. Independence of the PDG from shareholders is reinforced by the legal notion that enterprises should pursue the *intérêt social de l'entreprise*. The law is interpreted in two ways: one is, that management has to act in the interest of shareholders, but it is also interpreted as prescribing that management has to act in the interest of the enterprise, for instance, to ensure its survival. The importance of the second interpretation was again underlined in the Viénot Report.[62]

This concentration of executive powers in the hands of the PDG is accentuated by the low degree of effective counter-powers. In theory, directors representing stable shareholders should have a much greater incentive to monitor management than independent, non-executive directors who do not hold shares. Moreover, when there is a disagreement with managers, big shareholders may find it easier to co-ordinate their views. In the absence, however, of a directors selection committee, the latter are frequently submitted by the PDG for approval by the general meeting. Because of cross-participations, whose importance rose considerably with the privatisation programmes, directors in the largest French

Box 3. **A synopsis of the French corporate governance system**

General governance structure of companies

The 1966 law on firms (*sociétés commerciales*) provides for three main forms of limited liability: the joint-stock company (*société anonyme*) – which must be chosen by any company with 50 or more shareholders; the limited liability company (*société à responsabilité limitée*); and the single-shareholder limited liability company (EURL). The law of 3 January 1994 has created a new form of joint-stock company (*société anonyme simplifiée*) in which shareholders, subject to only a few restrictions, can organise the company as they wish. The 1966 code has allowed joint-stock companies to choose whether to adopt a unitary board or a two-tier board structure. In the former case, executive authority vests in the *Président directeur général* (PDG), appointed by the board of directors (*Conseil d'administration*), composed of three to twelve members, of which no more than a third can be shareholders. Directors cannot sit on more than eight boards, and they must hold at least the number of qualifying shares (*actions de garantie*) prescribed in the company's by-laws. Directors are elected by the general meeting of shareholders for terms of up to six years and they can be removed at any time by the assembly. In the alternative structure, full executive authority is vested in the *directoire,* composed of two to five members, designated by the *Conseil de surveillance* but only removable by the general shareholders' meeting. Membership of the two bodies has to be separate and members of the supervisory board must hold qualifying shares and cannot sit on more than eight boards. The two-tier system has been adopted by a very limited number of companies. All companies over a certain size are obliged to consult the workforce and the unions through a *comité d'entreprise,* of which one or two members attend board meetings, although they do not enjoy voting rights. The *comité* can also appoint its own financial advisor with powers to examine the company's accounts.

Transferability of shares and limitations on voting rights

A corporation can insert into its by-laws, in particular circumstances, reasonable restrictions on the transfer of shares. Transferability may also be limited by specific contracts concluded among shareholders, in particular in *noyaux durs* of privatised companies, or by establishing private companies that hold equity owned by a group of shareholders. A corporation can also issue different classes of non-ordinary shares, such as: *i)* preferred stock, devoid of voting rights but enjoying preferential treatment as regards dividend distribution (since 1978); *ii)* investment certificates (*certificats d'investissement*); *iii)* preferred investment certificates (*certificats d'investissement privilégiés*); *iv)* participating stock (*titres de participation*). Non-voting shares may not represent more than a quarter of a company's capital and cannot be held by the directors and other executives. Various companies (*e.g.* Danone, Elf Aquitaine, Pernod-Ricard,

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Lafarge) have also limited voting rights to a set threshold, regardless of the size of shareholdings; the limitation must apply equally to all shareholders. On the other hand, double votes may be granted to fully paid-up shareholders of record for more than two years.

Rules and practices for mergers and demergers

A new rule for take-overs (*offres publiques d'achat*, OPAs) was introduced in August 1989, with the aim of providing equal treatment to all the shareholders of any one company. Its enforcement is left to the *Conseil des bourses de valeurs* (a self-regulating body) in accordance with specific rulings submitted to the Ministry of Economy and Finance. The main provisions of the new law are the following: *i)* holdings must be publicly declared at various thresholds (5, 10 and 20 per cent of voting rights), as well as whenever there is a change larger than 2 per cent in the amount of shares held by an investor; *ii)* a shareholder crossing the 33 per cent threshold is obliged to start a full take-over; *iii)* for the purpose of the OPA law, a concert party (a group of investors who have reached an agreement expressly for the purpose of acquiring stock or assigning the right to vote for the common goal of taking over a target company) is regulated in the same way as a single investor; *iv)* ''squeeze out'' operations (*offres publiques de retrait*) have been expressly allowed since 1993 for companies where majority investors hold no less than 95 per cent of the capital. The law requires an independent advisor to audit the fairness of the price offered to force out minority investors. Ministerial approval was required until early 1996 for the acquisition of more than 20 per cent of a French company by a non-EU investor. Moreover, the *Comité des établissements de crédit* (now known as the *Comité des établissements de crédit et des entreprises*), a special body chaired by the governor of the Banque de France and comprised of representatives of the government and the banks, must approve all acquisitions of credit institutions. Finally, in compliance with 1989 EU-wide regulations, the European Commission's approval is needed if the combined world-wide turnover of companies involved in a merger or structural joint venture is one billion Ecu or more, and the aggregate EU turnover of at least two of the companies involved is Ecu 250 million or more each.

The tax regime has until recently strongly discouraged demergers (*scissions*), equating them to liquidations and therefore, taxing both the companies for any latent capital gains (*plus-values latentes*) and the shareholders *prorata* for the same reason. Since 1 January 1996, demergers have been equated to mergers, provided that the former concerns whole branches of activity and that the shareholders of the company which have been demerged hold their shares for at least five years.

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(continued)

Bankruptcy procedures for corporate failures

Regarding the judicial reorganisation and liquidation of large businesses (*i.e.* those employing more than 500 persons or having a turnover in excess of FF 20 million), the 1985 Insolvency Act assigns to commercial courts (*tribunal de commerce*) the decision to commend judicial reorganisation (*redressement judiciaire*) and to appoint an administrator for a period lasting 6 to 18 months. The purpose of such an observation period is to assess the viability of the business in view of preparing a plan specifying how the creditors are to be paid and to choose one of the following solutions: *i)* the business can be continued by the debtor. In this case the law contains provisions facilitating the reduction of the share capital (to be set off against debts) and its subsequent increase thanks to the fresh money provided by the shareholders; *ii)* the business can be sold off, and the court is left considerable leeway in choosing among competing bids, the courts usually choosing those which ensure the highest level of employment and discharge of liabilities; *iii)* finally, the commercial court may order the business to be judicially liquidated. Following the 1994 law amending some provisions of the 1985 law, secured creditors now rank before the creditors who granted new money after an administrative judgement. The tax authorities and the social security will not be given preferential treatment in respect to all their claims, and in the event of a bankruptcy, the secured creditors will be permitted to enforce their security by selling off the assets of the company.

companies often sit on many boards and can devote a limited amount of time to each company. Also, the interlockings among different company boards pose problems in terms of conflicts of interest. A director may be reluctant to criticise a PDG if the latter sits on the board of the company directed by the former – a combination that is not prohibited by law.

Annual general meetings are not always an effective occasion for checking managers' actions. In principle, shareholders not willing to attend in person can: *a)* give proxies to a spouse or another shareholder; *b)* vote by mail; or *c)* instruct the chairperson to vote for the resolutions proposed by the board. In practice, many small shareholders prefer to delegate voting rights to the PDG. An examination of shareholders rights by La Porta *et al.* (1996) shows that certain aspects of investor protection are stronger in the United States and the United Kingdom.

As for institutional investors, international experience shows that independent ones – *i.e.* those who do not belong to larger groups that may interact with listed firms in markets other than the one for corporate control – become more

active in corporate monitoring (Bianco and Signorini, 1995). In France, the largest institutions typically form part of the so-called *banque-assurance* group, combining banking, insurance and fund management products, and have seldom taken the initiative in corporate governance matters such as the terms of take-over deals, executive remuneration or shareholders' rights. Mutual funds' voting rights are scarcely exercised, a concern that has prompted the *Commission des opérations de bourse* (COB), the French stock market regulatory authority, to propose that absentee fund managers should be forced to disclose this policy in their annual reports. A far more active role has recently been taken by the association of small shareholders and by some foreign institutional investors.[63] Following the 1994 law, shareholders' associations enjoy the same rights as any consumer group. In particular, shareholders of record for at least two years and representing at least 5 per cent of voting rights (1 per cent in large companies) can sue directors for breach of fiduciary duties.

An important feature of corporate governance in all countries, including France is the homogeneity of the corporate elite (Bauer and Bertin-Mourot, 1993). In the early 1990s, 46 per cent of top managers in the French 200 largest companies had a common educational background from only two schools (*École polytechnique* and *École nationale d'administration*). These schools train high-ranking officials (the *École polytechnique* also trains managers of big companies) and indeed many managers in French private companies worked for the State earlier. These schools provide an excellent educational background and by tying the reputation of each member of this elite to the managerial ability of fellow members, this selection mechanism may enforce peer pressure.

Remuneration packages of senior management linking pay and performance – provided that managers share in both the upside and the downside of the company's performance – can also provide an effective incentive for managers to increase their compensation while increasing shareholder value. The use of long-term performance-related compensation appears to be widespread and rising in France (OECD, 1995*b*, based on Abowd and Bognanno, 1995). However, regulations make it difficult to gauge the use of share options as opposed to restricted shares and the benchmark used for adopting *plans d'options sur actions.* At any rate, given that options have no downside risk, they may not be an ideal instrument for aligning shareholder and management interests. The law only requires

Table 21. **European merger and acquisition activity by target country**

US$ billion

	1988	1989	1990	1991	1992	1993	1994	1995
France	13.5	29.1	18.9	26.8	21.7	29.8	21.2	20.9
Germany	5.5	7.6	15.1	20.3	21.4	11.4	10.1	16.5
Italy	6.2	11.8	20.0	7.5	23.3	16.5	9.0	9.2
United Kingdom	69.6	90.0	77.4	56.6	45.5	42.3	36.4	124.2
Belgium	1.1	2.3	5.9	3.1	1.0	4.9	1.4	1.6
Netherlands	3.3	6.2	13.9	5.9	15.5	8.3	5.2	8.5
Spain	5.4	3.3	8.5	15.5	10.6	9.0	7.3	4.1
Sweden	4.9	12.3	6.9	11.5	6.9	12.5	7.7	8.8
Switzerland	1.0	2.2	5.8	0.7	2.2	3.4	2.7	8.2
Rest of Europe	2.8	5.8	13.3	12.1	12.0	12.2	10.0	24.3
Total	113.3	170.6	185.7	160.0	160.1	150.3	111.0	226.3

Source: J.P. Morgan (1996), *European Corporate Restructuring*, May 20.

that the total remuneration for the ten highest paid executives must be included in the company's annual report, but neither the details nor the name of the individuals have to be indicated. Individual managers are also reluctant to disclose their salary voluntarily.[64] Separate proposals for reform were put forward by a special Senate committee and by the employers' organisation in 1995.[65]

Finally, control changes can serve to sanction underperforming managers. In France, concentrated ownership, extensive State presence and some limitations on the transferability of shares (see Box 3) have kept hostile mergers and corporate transactions at relatively low levels compared to the United Kingdom (Franks and Mayer, 1990) and *a fortiori* to the United States.[66] However, the overall volume of mergers and corporate transactions is high. Between 1988 and 1995, France trailed only the United Kingdom in terms of merger and acquisition activity (Table 21). OECD figures on inward foreign direct investment, as well as European Commission data on trans-border transactions, fail to show any negative bias towards foreign investors, whose share of the 1994 value of take-over activity was 45 per cent.

From State governance to privatisation

State interference in business decisions was widespread after the second World War, at various levels of intensity. With respect to ownership, it

culminated in 1982, when most of the financial sector and many large non-financial enterprises were nationalised. Despite a major wave of sell-offs in 1986-88, both in terms of employment and value-added, the French public enterprise sector was still among the largest in the EU when the majority changed in 1993. The economic performance of state-owned enterprises has been uneven:

- a number of enterprises operating in competitive sectors have run large deficits, notably Air France, Bull and Crédit lyonnais; others have been able to recover, through extensive restructuring, labour-shedding and disposal of non-core business lines (*e.g.* Pechiney, Renault and Usinor-Sacilor); and a few have been consistently profitable (*e.g.* Rhône-Poulenc and SGS-Thompson);
- enterprises in the aerospace and defence industries, such as GIAT Industries, Aerospatiale and Snecma, have been affected by the reduction of defence spending, in France and elsewhere, and are running considerable deficits. The consolidation of this sector to create larger, pan-European firms better capable of competing internationally has become a key objective of public policy;
- price, costs and quality standards of network-based monopolistic utilities (telecommunications, energy, railways and postal services) are at levels comparable to those of the more efficient EU operators, but clearly lag the best performers in the OECD. Financial results differ considerably across sectors. In terms of 1994 profits, France Télécom ranks high among OECD phone companies, EDF (electricity) low, and while SNCF is regarded as one of the better performing rail companies OECD-wide, it is a chronically large loss-maker. Given the constraint of following multiple economic, financial and social objectives, some enterprises have accumulated sizeable debts;
- finally, public enterprises have an important presence among the largest French companies in terms of foreign sales (six of the top 11), foreign assets (six of the top 12), R&D spending (six of the top seven) and patents granted in the US (four of the top six).

Resuming the privatisation plan was one of the priorities of the incoming administration, who in mid-1993 presented a list of firms to be sold and issued a framework law. Responding to the criticism arising from the alleged lack of transparency of the 1986-88 sales of public assets (*Commission d'enquête sur les*

privatisations, 1989), the law has strengthened the responsibility of the Commission in monitoring the process of selling off State-owned enterprises. The list envisaged the sale of most State-owned enterprises operating in competitive sectors, though keeping public the largest utilities (France Télécom and Électricité de France), the defence sector, and the railway company (SNCF). In the three years up to June 1996, nine large banks, insurance companies and non-financial enterprises have been privatised – either partly or completely (Table 22). Although some offers, notably that of Pechiney in late 1995, have had to be scaled down because of insufficient demand by institutional investors, the overall response of financial markets has been positive, with the number of shareholders approaching the peaks reached in the 1980s. Financial returns, however, have been disappointing, with most issues currently trading at a loss with respect to the sale price.

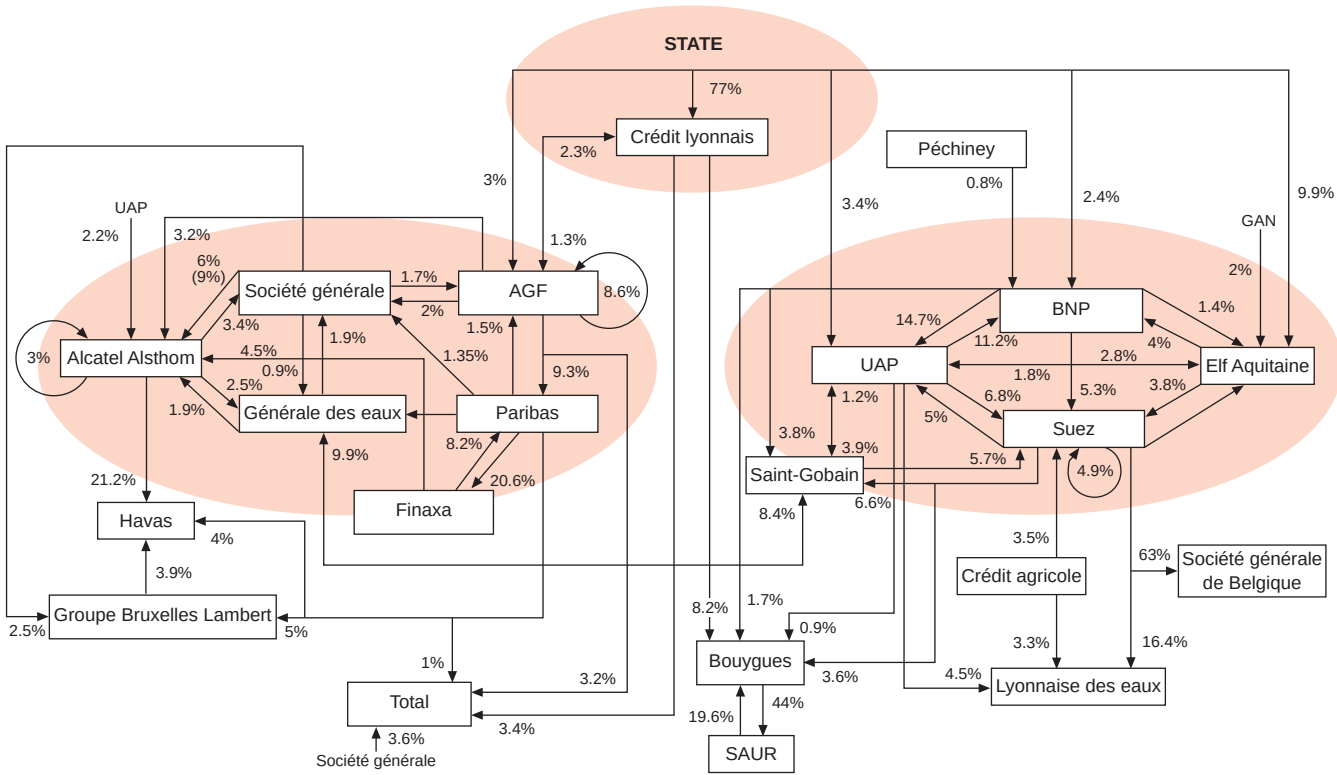
Table 22. **Privatisations in 1993-96**

	Main activity	Date	Gross product (FF billion)	Sale price (in FF)[1]	Price at 5/9/96	State holding (per cent)	Other government holdings
BNP	Banking	1993	20.6	240	183	2.4	..
Rhône-Poulenc	Chemicals	1993	16.8	135	132.8	2.4	..
Elf-Aquitaine	Mineral products	1994	34.8	385	379.4	0.0	..
UAP	Insurance	1994	18.8	152	100.4	2.7	..
Renault	Motor vehicles	1994	8.4	165	115.3	50.1	2.9
SEITA	Tobacco	1995	5.8	129	197.9	12.5	..
Usinor-Sacilor	Steel	1995	10.4	86	76.0	9.8	..
Bull	Computer	1995	0.5	n.a.	..	36.4	1.7
Péchiney	Aluminium Packaging	1995	4.3	187	214.2	9.0	..
AGF	Insurance	1996	7.5	128	134.6	0.0	..

1. Price of shares sold by public offer of sale.
Source: Assemblée nationale (1995), *Rapport sur le projet de loi de Finances pour 1996*, Annexe n° 44.

The trademark of privatisations *à la française* has been the choice to transfer control from the State to coalitions of investors willing to keep their shares for a long period and obliged, when selling, to give each other the first right of purchase to ensure stability. In the first privatisation ''wave'', this strategy was criticised on the grounds that these *noyaux durs* could too easily entrench the

Figure 18. **THE HEART OF THE CROSS-PARTICIPATION SYSTEM**
June 1996



Source: Provided by F. Morin (LEREP).

management, rather than adapt companies to a new and more competitive environment. Moreover, core investors were French in most cases. In effect, the 1986 privatisation law limited the participation in the share issue by foreign investors to 20 per cent. This limit was suppressed on two occasions: in 1993 for EU investors and in April 1996 for non-EU investors. Since 1993, sell-offs have been more open, investment by stable shareholders has been mostly driven by the common need to establish long-term strategic ventures and the participation of foreign investors has been sizeable. Yet privatisations have been important in modifying the map of corporate power (Morin, 1996). On the one hand, the two poles pivoting around Paribas and Indosuez, the financial groups themselves privatised in 1986-88, have strengthened their role at the expense of the public pole built around Crédit lyonnais (Figure 18).[67] On the other hand, a peculiar feature has been the establishment of cross and circular holdings among privatised companies, as well as the purchase of equity stakes by some companies still owned by the State.

The privatisation programme has thus reinforced some distinctive traits of French corporate governance, such as cross-ownership, interlocking boards, equity holdings by each core shareholder, and the quiescence of the market for corporate control. It should be pointed out that international experience shows that – with the obvious exception of transition economies – privatisations only have a limited impact on corporate governance practices. It is true that in some cases State sell-offs have been an opportunity to introduce new rules to protect minority investors (Italy and Spain), or to support the rise of private pension funds which may later become active in monitoring (Chile) but even in the United Kingdom it has been observed that control of privatised companies ''is not exerted in the form of threats of take-over or bankruptcy; nor has it for the most part come from direct investor intervention'' (Bishop *et al.*, 1995). The British experience, especially in regulated utilities, is that the governments' role in influencing privatised companies' behaviour and corporate control structure remains important for at least the first year following privatisation.

Corporate governance and economic performance

It is very difficult to single out the impact on the economy of corporate governance alone. The literature currently available contains only limited

information about the links between governance mechanisms and economic performance (Mayer, 1996). In France, moreover, there have been a great many changes since the mid-1980s, and France's corporate governance model is at present going through a major transition phase, making any evaluation in terms of economic efficiency that much more difficult. Nevertheless, the discussion will focus here on: *i)* the financial structure of companies; *ii)* their profitability; and *iii)* their investment.

Financial structure

Where the structure of firms' liabilities is concerned, a rapid change has taken place in France since the mid-1980s. Companies have as a whole sharply reduced their debt, while the share of owners' equity (equity capital and retention of profits) in the overall balance sheet has increased, in particular as a result of the sharp rise in share issues (Table 23). Consequently, the own funds ratio (equity/total assets) of industrial enterprises has more than doubled since 1984 and is nowadays very close to that of firms in the Anglo-Saxon countries (Figure 19). There is no relevant composite indicator for listed companies alone; however, the Secretariat has calculated an own funds ratio on the basis of 23 major, listed non-financial enterprises (16 of which are included in the CAC 40),[68] and that ratio has followed much the same course as that mentioned

Table 23. **Financial structure of industrial companies**

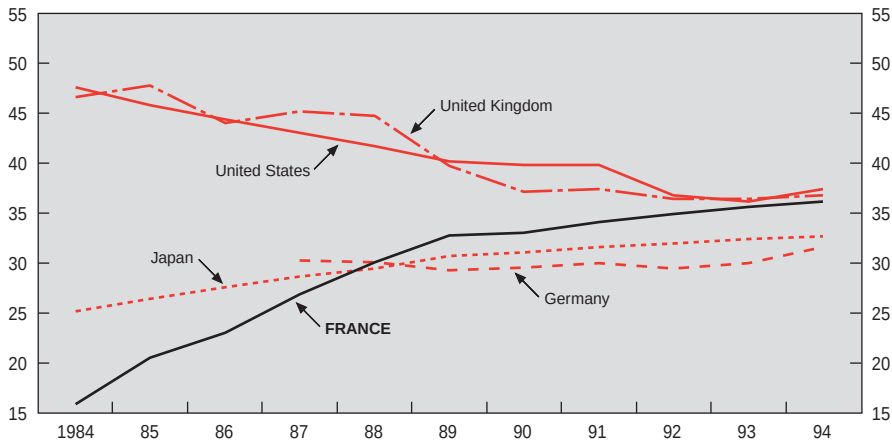
Per cent of balance-sheet total

	Own funds[1]			Debt[2]			Provisions		
	1985	1990	1994	1985	1990	1994	1985	1990	1994
France	20.5	33.0	36.2	73.6	61.8	57.5	4.9	4.6	5.6
Germany	30.3[3]	29.6	31.6	38.3[3]	38.6	34.3	31.5[3]	31.6	33.9
Italy	26.8	28.3	26.5	63.6	62.5	64.5	7.3	7.1	8.0
United Kingdom	47.8	37.1	36.8	47.8	50.9	46.1	4.4	12.1	17.0
EU (10)	31.6	32.6	33.3	60.8	51.7	49.5	5.8	16.6	17.1
United States	45.8	39.8	37.4	50.3	55.5	54.9	..	..	..
Japan	26.4	31.1	32.7	67.8	63.7	62.1	4.8	4.1	4.0

1. Share capital and retained profits.
2. Bank loans, bond issues and short-term loans between companies.
3. 1987.

Source: EU (1996).

Figure 19. **OWN FUNDS RATIO**
Manufacturing industry



Source: EU (1996).

previously, having risen from 29.8 per cent in 1985 to 41.7 per cent in 1994 (35.4 per cent in 1990). This development would not appear to be attributable to any *ex ante* change in corporate governance, but rather is institutional in origin. In the context of the internationalisation of financial activities and the country's integration in the European single market, the government has recognised the need to move from a financial system with administered structures to one with liberalised structures. The shift in the stance of monetary policy, which caused a steep rise in real interest rates in the mid-1980s, prompted firms to reduce their debt, while the liberalisation of capital movements and the development of Paris as a financial centre led them to turn towards the capital markets more. Also, even if it is not neutral,[69] taxation has become less unfriendly towards share issues since 1985, in particular with the lowering of the corporate tax rate in 1993.[70]

However, this change in the method of financing has probably had an impact on corporate governance. Raising capital via shareholders who are more concerned about the risks taken by firms has had the effect of increasing the need for

transparency and profitability. Both Anglo-Saxon pension funds, for example (which have increased their equity holdings in French companies appreciably in the last two years), and also French investors, became more pressing in their demands as from the 1990s. In the recently privatised companies, however, the high level of cross-participations has limited the influence of small shareholders and, thanks to the system of core investors, PDGs still have the capacity to exercise control. At present, however, the two sides are in conflict over the question of unlocking cross-ownership.

At the same time, the banks play a relatively low-key role in corporate governance. During the years 1945-86, when the banks were under State control, they were never really represented on the governing bodies of any companies and their role was often confined to a passive distribution of credit. Since 1986, some banks have been privatised and could have become more active as PDGs of French banks are often on the boards of a great many major companies. However, their equity holdings have remained very small for historical reasons and, above all, because of their financial difficulties (see above). The ties between banks and companies are thus mainly based on credit and, more specifically, long-term credit since short-term intermediated finance (which was already limited by the high level of inter-firm trade credits)[71] has declined in relative importance since the mid-1980s.

Profitability

An initial impression of the French corporate governance model can be gained by looking at major companies' intrinsic performance from the sole point of view of the shareholders. Despite the inherent difficulties of this sort of exercise, a study currently being conducted by the OECD's Department of Science, Technology and Industry endeavours to draw up an international comparison[72] in this area. With a rate of return on own equity, in the biggest listed companies, equal to 8.5 per cent on average between 1993 and 1995, France is ahead of Japan (4.8 per cent), but behind Germany (10.5 per cent), the United States (18 per cent) and the United Kingdom (18.5 per cent). During the period 1991-95, moreover, public companies and companies privatised since 1986 (*i.e.* those most characteristic of corporate governance *à la française*) had the lowest rates of return on own capital and the lowest price to book ratios whereas, of the companies with the best results, many were under concentrated

ownership (Table 24). In fact, French public companies traditionally play a special role in the productive sector (in infrastructure investment, R&D, foreign trade, regional policy, innovation in industrial relations, the distribution of value added) which restricts their intrinsic performance in terms of the return on own equity. Lastly, cross-participation has not enabled the recently privatised companies to adopt a truly ''private'' system of corporate governance. Another way of assessing the French model of corporate governance would be to consider its impact on the economy as a whole, but this is extremely difficult and no economic studies allow a verdict to be reached.

Investment

Corporate governance mechanisms determine managers' objectives and decision-making processes, notably with respect to the rates of return targeted when selecting investment projects (setting the lowest rate of return at which the enterprise can invest). All investment is thus subject to these reference targets which seem, in fact, to have progressed in France. R&D, more than 60 per cent of which is undertaken by firms with more than 1 000 employees, is being radically restructured. In 1995, for the first time, a number of companies chose to reduce their budgets or keep them at the same level. Several major enterprises have cut their research staff. Expenditure assigned to basic research is now more restricted, accounting at best for between 10 and 20 per cent of laboratory work (Orange, 1996). This may therefore reflect increased concern to monitor the return on short-term investment.

In France, venture capital activity is relatively important, coming in second place amongst the OECD countries behind the United States. Even so, fewer funds are allocated to start-up capital than elsewhere (Table 25). According to a study by AFIC (*Association française des investissements en capital-risque*), they accounted on average, in the early 1990s, for only 6 per cent of total venture capital, compared with 13.5 per cent in the United States. In France, therefore, it is development-capital[73] and transmission-capital[74] activities which attract the bulk of the funds invested in the sector. The creation of the Paris stock market's *nouveau marché* and the increased number of listings on the American NASDAQ should, however, improve the financing of innovative SMEs in the future since investors will from now on be able to sell their holdings and realise capital gains. Also, these innovations should further strengthen the market financing.

Table 24. **Performance of major French enterprises**

	Control[1] (dominant position in the executive body of the company)	Market capitalisation at 31/5/96 (FF million)	Return on own capital average 1991-95 (per cent)	Price to book ratio (PBR) at 31/5/96
LVMH	Family	115 328	19.1	3.35
L'Oréal	Family	105 007	17.8	4.10
Elf Aquitaine (privatised)	Cross-participations	104 082	5.7	1.29
Carrefour	Family	103 538	22.2	6.70
Total (privatised)	No dominant shareholder	82 524	8.6	1.68
Alcatel Alsthom (privatised)	Cross-participations	73 166	2.4	2.07
Générale des eaux	Cross-participations	66 515	9.5	2.17
Air Liquide	No dominant shareholder	62 236	13.7	2.67
Axa	Midi participations	57 900	7.2	1.66
Groupe Danone	No dominant shareholder	55 682	12.5	1.49
Société générale (privatised)	Cross-participations	52 457	9.7	0.94
Saint-Gobain (privatised)	Cross-participations	51 712	8.9	1.32
BNP (privatised)	Cross-participations	41 629	4.3	0.76
Paribas (privatised)	Cross-participations	39 954	0.1	0.94
Rhône-Poulenc (privatised)	No dominant shareholder	39 695	6.9	1.25
Renault (public)	State	37 453	11.0	0.77
Peugeot	Family	36 169	5.0	0.66
Pinault-Printemps-Redoute	Family	35 122	13.0	2.65
UAP (privatised)	Cross-participations	34 464	3.7	0.88
Suez (privatised)	Cross-participations	34 140	–2.0	0.77
Roussel-Uclaf	Hoechst	33 045	16.7	3.51
Schneider	No dominant shareholder	32 020	4.2	1.97
Lafarge	No dominant shareholder	30 535	10.8	1.35
Lyonnaise des eaux	Cross-participations	30 125	6.7	1.77
Michelin	Family	29 319	2.4	2.52
Canal Plus	Havas, Générale des eaux	27 895	25.7	3.64
Havas (privatised)	No dominant shareholder	27 501	11.0	2.30
Promodès	Family	26 094	18.9	3.83
Eridania Beghin-Say	Montedison SPA	21 867	11.2	1.18
Legrand	Family	21 513	16.9	4.52
Accor	No dominant shareholder	20 761	8.2	1.62
Usinor-Sacilor (privatised)	No dominant shareholder	19 445	–3.6	0.80
AGF (privatised)	Cross-participations	19 209	6.2	0.83
Pernod Ricard	Family	19 013	14.9	2.07
Péchiney (privatised)	No dominant shareholder	18 614	2.0	1.25
Thomson-CSF (public)	State	16 057	2.4	1.26
Bic	Family	15 759	14.2	3.50
Castorama	Family	15 455	20.3	4.33
Sodexho	Family	14 431	20.9	3.99
Docks de France	Family	12 751	19.6	4.30

1. Cross-participations = enterprise at the heart of the cross and circular participation system.
Source: OECD, Mars & Co, Capitalaction.

Table 25. **Venture capital in France**

Sums invested

	FF billion		As a per cent of total Average 1991-94
	1994	1995	
Start-up (or risk)	0.3	0.4	6
Development	3.2	1.8	44
Transmission	2.1	2.2	32
Other	1.6	1.1	18
Total			100
(in FF billion)	7.2	5.5	6.7

Source: AFI (1994), *Rapport sur l'activité du capital-investissement en France*.

Reforms and reform proposals

The French corporate governance system is in transition due to the financial market liberalisation of the mid-1980s, the globalisation of business activities and the retrenchment of the State. Numerous examples have been provided for this transition, even though the pace of transition and its final outcome are difficult to evaluate. Overall, the transition appears to have gone in the direction of the shareholder (outsider) model and recent broad-brush assessments of corporate governance systems (by the Belgian consultancy Déminor and the American enterprise Davis Global Advisor) even show that the French system is now closer to the Anglo-Saxon model.

Recently, the government has made proposals to introduce private pension funds for private-sector wage earners. Funds created at the enterprise or industry-wide level would collect savings from optional retirement savings plans, which would benefit from fiscal incentives and be managed by banks and insurance companies. If funds would rise to a certain importance – this is not certain, as pension coverage by the current pay-as-you-go system is high – and if funds were independent from listed companies and their shareholders, the new funds could contribute to changing the corporate governance landscape.

The transition was reinforced by various policy measures to strengthen the role of the stock exchange as a provider of capital, increase market transparency, and align French to international practice:

- in 1995, the national authorities lifted all restrictions on foreign investors, allowing all corporate mergers and acquisitions except where they would run counter to international rules or could be seen as threatening public order, health, or national security;
- the *Nouveau marché,* a specific market for small and high-growth companies similar to the NASDAQ small capitalisation market in the United States, was launched in February 1996;
- in 1996, a new law to introduce the EU investment services directive to France has reinforced the authority of the COB, which has also been made responsible for overseeing the newly-formed *Conseil des marchés financiers,* resulting from the merger of the *Conseil des bourses des valeurs* and the *Conseil des marchés à terme* which supervises the futures market.

As regards the functioning of the board, the employers' organisation's Viénot Committee has suggested limits on the number of directorships per person and the establishment of *ad hoc* committees within the board charged with remuneration, accounting and the selection of directors. The committee has shied away from specific recommendations on the remuneration of top executives. At any rate, implementation of the Viénot Committee's suggestions is entirely a matter for each company's judgement. This is still somewhat timid by Anglo-Saxon standards, as indicated by the fact that the application of similar recommendations made in the United Kingdom by the 1994 Cadbury Committee is semi-compulsory for listed companies (Table 26). On the other hand, a recent report by the Senate (Marini Report) has made a whole series of suggestions concerning legislative changes. These partly overlap those of the Viénot Committee. Most important among these are the suggestions to raise the powers of shareholders and to make it easier for shareholders to control management decisions on the basis of contractual arrangements. The report proposes to strengthen the rights of minority shareholders and, optionally, the powers of committees to validate the accounts and remuneration packages. It also suggests, where the state as shareholder is concerned, that preference be given to systems of governance involving a board of directors and a supervisory board, and that

Table 26. **A comparison of the Cadbury and Viénot Committee's conclusions**

	France[1]	United Kingdom[2]
Chairman of the board	Can also be chief executive	Should not also be the chief executive
Selection of non-executive directors	Should be selected by a special committee, whose composition is not specified	Should be selected through a formal process and both this process and their appointment should be a matter for the board as a whole
Length of appointment	No limit	Best practice as 12-month contracts or less. Shareholder approval should be sought for contracts longer than 3 years[3]
Limits on number of directorships	To be reduced from eight to five[4]	No
Audit and remuneration committees	Not required, although only the board should allocate stock options	Non-executive chairmen involved in the day-to-day running of the business, and executive directors, should be excluded. Remuneration committees should justify any deliberate policy of paying above the average
Stock options	Annual reports should include information on companies' policy for allocation of options, the number granted, their price, how many people would receive them, and how many were exercised	Annual reports should include information on companies' policy for allocation of options, the number granted, their price, how many people would receive them, how many were exercised and how many to each director. Performance targets must be clearly stated
Taxation of stock options	Only capital gains tax is imposed	Gains to be taxed as income tax[5]

1. Proposals of the Lévy-Lang Committee on stock options and of the Viénot Committee on boards of directors (both, July 1995).
2. Recommendations of the 1992 Cadbury Committee on corporate governance and of the 1995 Greenbury Committee on executive pay.
3. The Report of the House of Commons Employment Committee (June 1995) proposes to lower this limit to one year.
4. The ceiling is raised to 13 for directors in subsidiaries of which the parent company holds at least 20 per cent of capital.
5. In July 1995, the Inland Revenue eliminated income tax relief on executive share options.

Source: OECD Secretariat.

privatisations should not be accompanied by the creation of stable groups of shareholders. The report also outlines specific actions, such as the publication of a consolidated balance sheet. Further thought is being given to such matters as:

letters defining objectives or outlining strategic decisions addressed to chairmen; the setting up of regular, systematic information procedures; the establishment of special committees (audit, strategy, remuneration); the preparation of a consolidated balance sheet for the accounts of the main public groups and of a statement showing off-balance-sheet items; the restructuring of the board's role; and the regular discussion of precise reports on the groups' subsidiaries. The Prime Minister said in July 1995 that corporate governance was not necessarily a matter for legislative reform and that a code of good conduct could be an adequate solution as long as all companies applied it.

All these reforms and reform proposals appear to be encouraging steps in presenting French companies and investors with a wider range of choices, especially the adjustment of legislation in the wake of the EU directive. Nevertheless, other measures could improve corporate governance. The Bill on accounting standardisation now before Parliament is in response to the concerns voiced by many international investors regarding the need for greater accounting transparency. The aims of the Bill are the following: to further the transparency and stability of accounting rules, to make the framing of accounting law more consistent and to supervise and monitor the use of international standards for consolidated accounts. In particular, the Bill reforms such accounting bodies as the CNC (*Conseil national de la comptabilité*).

The increasing attention paid to corporate governance in recent years has raised the question as to whether to legislate or whether the business community should set up guidelines and rules of conduct. Corporate governance is an area where informal practices, institutional arrangements and behaviour are certainly at least as important as laws and their enforcement. For example, French and British companies alike are allowed to buy and sell their own shares, but while the latter usually buy back shares with the explicit aim of enhancing earnings per share, the former tend to use their powers defensively, to support the stock price or prevent a take-over. Thus, if the emergence of better governance practices relies on laws as much as on other less formal checks and balances that shareholders and other stakeholders are willing to apply to managers, the current debate will at the same time be paving the way towards coping with such issues.

Notes

1. The appreciation against the lira reached a peak in mid-1995 when the change from the 1992 level reached 50 per cent. Since then the lira has recovered considerably.
2. While based on strong assumptions – knowledge of future inflation developments, the size of the output gap, the equilibrium real interest rate and the utility function of decision makers – simple rules such as the Taylor rule can have a useful complementary role alongside all the other information typically used in assessing monetary policy.
3. The calculation is based on Goldman Sachs (1996):
   $r = r^* + ep + 0.5\ (p - tp) - 0.5\ (GDP^*/GDP)$
   r is the short rate implied by the Taylor Rule; r* is the neutral short rate; ep is expected inflation; p is actual inflation; tp is the central bank inflation objective; GDP* is potential output; and GDP is actual output. The neutral rate is set at 3.5 per cent in real terms, the inflation target at 2 per cent and expected inflation proxied by actual or projected year-ahead inflation.
4. An IMF study (Ostry and Levy, 1994) and recent INSEE estimates (Bonnet and Lecler, 1996) came to the same conclusion.
5. The interest sensitivity of the French demand components in OECD's INTERLINK model is described in Annex I of the last *Survey*.
6. Interest rate simulations with the OECD's INTERLINK model are presented in Annex I of the previous *Survey*.
7. The sharp reduction in the State's borrowing in late 1995 is due to transactions in conjunction with the set-up of the CADES (*caisse d'amortissement de la dette sociale*) the new institution, which will repay the accumulated debt of the social security system. There was no effect on overall credit growth.
8. For example, the *Livret A* is only offered by the savings banks and La Poste and the *Livret bleu* by the Crédit mutuel. However, the *Plans d'épargne logement, Codevi, Livret B* and *Livret jeune* introduced recently can be marketed by all banks. Other privileges also exist. The Crédit agricole has a co-monopoly with the Caisse des dépôts et consignations (CDC) on collecting short-term notary deposits bearing interest at the rate of 1 per cent, in exchange for contributing to an aid fund for the agricultural sector.
9. While the ratio for the savings banks was also high at 82 per cent, this largely reflects the differences in statute.
10. The 1995 budget and amendments are discussed in detail in the previous *Survey*.

11. In the amended budget, privatisation receipts were not included as current revenues so that the deficit was higher by FF 47 billion.
12. This excludes the most recent accounting changes, which are included in Table 7.
13. This operation, recorded as lower interest payments, amounted to FF 21.7 billion in 1995. Data are available back to 1991.
14. Hospital expenditure should not exceed 2.1 per cent in 1996 and will be part of a package voted by Parliament starting in 1997.
15. Spending objectives already existed, but not the mechanisms to enforce them. The 1994 *Survey* provides a detailed description of health care policies prior to the reforms.
16. These capital transactions do not influence the deficit.
17. These changes, which reduced the deficit by between 0.3 to 0.5 per cent of GDP between 1992 and 1995 are the following: government receipts when a bond is issued part-way through a standard coupon period (*coupon couru*) are now recorded in the Maastricht deficit definition, payments by public hospitals were overestimated and the booking of leasing and subsidies to the aeronautical industry was incorrect.
18. These reforms are described in detail in this and the former two *Surveys*.
19. In Germany, Italy and the United Kingdom, the increase between 1993 and 1996 was virtually the same. Also, in these countries spending was much lower than in the ten years to 1993.
20. They include the personnel of most hospitals.
21. It is difficult to compare wages between the private and public sectors. The minimum wage is higher in the public than in the private sector and lower level functions are probably paid about the same as in the private sector. It is not possible to compare higher management functions between the private and public sectors because total remuneration packages are not known for either sector.
22. OECD (1996*a*) provides an overview of employment trends for the low-skilled. While cross-country performance depends on differences in the decomposition of qualifications and source of data, the message remains the same.
23. Elmeskov and Pichelmann (1993) provide evidence of this in an OECD-wide setting.
24. Between March 1992 and 1995, 657 000 part-time jobs were created and 860 000 full-time jobs lost.
25. The latest *Employment Outlook* (OECD, 1996*b*) shows that job and labour turnover is high everywhere, even if lower in European countries than in North America. This translates in some countries into high net job gains. In others, including France, it does not. However, countries with higher turnover rates generally have a lower incidence of long-term unemployment.
26. Between 1970 and 1995, real labour costs in the private sector rose by a cumulated 72.3 per cent in France and 23.4 per cent in the United States. Virtually all the difference stems from developments in the 1970s. Between 1980 and 1995 the increases were 17.2 in France and 15.9 per cent in the United States.
27. Until 1970, the minimum wage was indexed to inflation. In the context of fast real wage growth, this implied a rapid rise in the ratio of the median salary to the minimum wage.

28. The *coup de pouce* decided in July 1996 (FF 8 per month) was marginal.

29. Rignols (1995) and Commissariat général du Plan (1994) review the literature concerning the French minimum wage and CSERC (1996) studies the position of low-wage earners.

30. Only representative unions, but not other worker representatives had the right to negotiate until recently. Since 1996, other elected worker representatives have been allowed to negotiate enterprise agreements. Employers who negotiate do not have to be affiliated with an employer's association. A collective agreement does not have to be signed by all unions which are party to the negotiations, but is already binding if it is signed by one union.

31. Eighty per cent of branch agreements, which mainly contain wage agreements, were extended in 1994.

32. Hotels and restaurants are an exception.

33. Enterprises prefer performance-related pay increases, while unions prefer general pay rises.

34. The evolution of the bargaining system is described in DARES (1996).

35. In 1985, the minima of 80 per cent of agreements covering more than 10 000 workers had one or more of the collective agreement's minima below the SMIC.

36. This is an index which takes into account payments over time (up to five years) for single people, married people with an employed spouse, and married people with an unemployed spouse. For a detailed explanation, see Martin (1996).

37. Young persons are excluded from the RMI.

38. Over longer periods, spending on early retirement schemes fell considerably due to the reduction in the pension age from 65 to 60 years in 1983. Payments to early retirees between 60 and 65 years old fell from a peak of FF 31.3 billion in 1983 to FF 4.7 billion in 1994. Over the same period payments to those aged 55 to 60 years rose from FF 4.9 billion to FF 16.5 billion.

39. Eighty per cent of the part-time workers in the private sector have an hourly wage less than 1.2 times the SMIC.

40. Before 1973, job protection legislation did not exist in France.

41. *Cour de Cassation, Chambre sociale,* 22 October 1991, ''Syndicat de copropriété des immeubles Bercail *et al.* contre Tartoue''.

42. The obligation for the employer to propose a retraining contract to a worker laid-off for economic reasons was introduced by an interprofessional agreement in 1987. This contract allows the laid-off employee to receive 83 per cent of his former wage during two months and 70 per cent during the following four months. During this period, a team from the National Agency for Employment helps the worker to find a new job. In this perspective, training is generally recommended.

43. The social plan was introduced by an interprofessional agreement in 1969. It became a legal obligation under the law of 2 August 1989, which was modified in 1993. The purpose of a social plan is to avoid the planned lay-offs (or limit the number of them) and to make the transition to another job easier for the workers whose lay-off cannot be avoided.

44. Evidence on this exists for Spain, but no empirical work for France has been carried out.

45. The figures on outlays in the OECD's standard tables are underestimated as they do not cover all programmes. General reductions in labour cost and some programmes are not included. This is the case, for instance, where the State does not compensate the cost of the programme. Beneficiaries can be counted several times, if they benefit from more than one programme.

46. The government introduced a general reduction for the textile industry in mid-1996 which goes beyond that for the other sectors. The European Commission contests this measure as distorting competition.

47. Benefit payments can be cut off by the local agencies of the Ministry of Labour. The termination of payments is rare.

48. Table 16 contains the training level and diploma classification used by the National Education Service.

49. Sixty per cent of the relevant age group obtained a *baccalauréat* in 1994.

50. In 1993, 44.4 per cent of students having entered into university did not pursue their studies in a second cycle. Taking into account that very few people leave university with only a DEUG, this percentage is close to the proportion of people failing to obtain this diploma.

51. At the end of 1993, 100 000 young persons (one sixth of unemployed 16 to 25 year-olds) were concerned by the CFI. They were followed by the personnel of the missions locales and PAIO.

52. One year after having finished their CFI, 42 per cent of the beneficiaries found and kept a job (most often in small companies), but 43 per cent did not.

53. FRADE: *Formation et recherche appliquée pour le développement économique et l'aménagement du territoire.*

54. During the one-year training, the worker receives 80 per cent of his last wage. This sum and all or a part of training fees are paid by an OPACIF in charge of collecting the legal contribution of enterprises.

55. Training for unemployed people includes the retraining contracts, the *Stages d'insertion et de formation à l'emploi* (SIFE).

56. 29.9 per cent for State agents and 30.6 per cent for workers of enterprises employing more than 500 people compared with 10.9 per cent for workers of enterprises employing fewer than ten people in 1993.

57. Cotis *et al.* (1996*a*) review the literature on technical progress and demand for low-skilled labour. They summarise that there is little concrete evidence that the declining status of low-skilled workers stems from technical progress bias.

58. This statement, which may appear at odds with Table 19 *infra,* reflects the fact that a sizeable part of shares owned by households and corporations, especially in the United States, are traded on brokers' recommendations.

59. As of 1 July 1990, a company cannot indirectly be its own shareholder by holding its own shares through its subsidiaries.

60. There are three banks and five insurance companies from France in the 1995 edition of Fortune magazine's Global 500; UAP is the sixth largest insurance company in the world and Crédit agricole the eighth largest bank.

61. The box is partly based on Charbit (1990), Endréo (1990) and Fukao (1994).

62. ''Independent of the composition or organisation of the board, the latter is and must remain a collegial body representing the *intérêt sociale de l'entreprise.* The notion is defined as the superior interest of the enterprise as an independent moral entity, pursuing its own objectives, different from those of its shareholders, the employees, creditors, suppliers and clients, but which corresponds to the common interest which is to ensure the prosperity and survival of the enterprise.''

63. Some recent examples: *i)* in late 1995, Crédit foncier de France (CFF) proposed to squeeze minority investors in Société des immeubles de France (SIF), its 55 per cent controlled subsidiary by exchanging SIF's shares with CFF's ones. Minority investors retorted that this would have amounted to a breach of the company's charter, obliging them to accept shares in one firm when they had invested in another. The *Conseil des bourses de valeurs* which oversees stock market operations, consented by imposing an all-cash offer on CFF, and CFF withdrew its proposal; *ii)* in April 1996, CFF, whose chairman is named by the government although the State owns no shares, proposed to almost wipe out the value of its equity to offset provisions of FF 13.6 billion, which dragged the bank into losses of FF 10.8 billion in 1995. Later in the year, the auditors' approval of the bank's 1995 accounts was qualified. Minority investors, including Templeton, the US investment fund which is the largest CFF shareholder, tried to block approval of the group's accounts at the June general meeting, putting pressure on the public authorities to become more active in restructuring CFF; *iii)* in May 1996, Banque nationale de Paris (BNP) offered to buy out minority investors in its investment subsidiary, Compagnie d'investissements de Paris (CIP), through a one-for-one share swap which amounted to a 30 per cent capital gain for CIP's shareholders. BNP's move pre-empted the presentation of a resolution tabled by SBC Warburg for CIP's general meeting calling on the board to raise the value of the shares up to the company's net asset value. A similar resolution by a US-based investment fund had been defeated in 1995.

64. While in the United States and the United Kingdom the press regularly publishes rankings of the best-paid corporate executives, French newspapers have often been sued for revealing the salary of top managers.

65. The special Senate commission proposed a radical overhaul of the legislation concerning stock options, which would require companies to include more detailed information on the conditions under which they are provided in the annual reports. The commission also proposed that boards should not issue stock options before market-sensitive information is made available to the public (Arthuis *et al.,* 1995). A separate committee set up by the employers' organisations came to a similar, although more vague, conclusion but suggested that they should be enforced through a code of best practice and not through legislative action.

66. The recent case of Valeo, the world's 17th largest automotive components group controlled by the Italian industrialist Carlo De Benedetti, provides a good example of the considerations at play on the market for corporate control in France. When Mr. De Benedetti announced his group's intention to sell Valeo, Renault and Peugeot warned that if the company were to be taken over by a foreign component supplier they would have not renewed their contracts with Valeo.

67. For example, Crédit lyonnais recently sold a participation in Bouygues, a construction and media group, to Paribas. While the sale by Suez of Indosuez, its banking arm, to Crédit

agricole in mid-1996 may indicate a weakening of this pole, the PDG said at the 1996 general meeting that the company does not plan to untie the reciprocal stakes of Suez with UAP and Saint-Gobain.

68. The 23 major, listed non-financial enterprises on the basis of which the average own funds ratio is calculated are all included in the SBF 120 index. They are: L'Oréal, ELF-Aquitaine, Carrefour, Total, LVMH, Générale des eaux, Air liquide, Danone, Saint-Gobain, Peugeot, Lafarge, Michelin, Promodès, Eridania Beghin-Say, Legrand, Pernod-Ricard (the latter are all in the CAC 40), Roussel-Uclaf, Péchiney, Bic, Sodexho, Valeo, Skis Rossignol and Colas.

69. In 1993, France and Japan had the least neutral taxation of the seven major OECD countries. In France, borrowing is still more advantageous from the tax standpoint than self-financing, which is itself more advantageous than issuing shares (Brunel and Schneider, 1993).

70. The corporate tax rate was raised in 1995, but is still well below the rate in force in the early 1980s.

71. This characteristic also explains why French firms are so cyclically interdependent.

72. The study under way in the OECD covers some 400 listed major enterprises in the United States, 250 in Japan, 35 in Germany, 45 in France and 100 in the United Kingdom.

73. Development capital is taken here to mean the injection of equity capital in an existing company in order to give it the means to finance its own growth or a specific project.

74. In the case of transmission capital, investors create a holding company which borrows in order to buy a SME. The dividends levied on the latter are then used to repay the debt.

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Annex I

Supplementary information for Chapter III

Table A1. **Labour force and employment developments**

Average annual growth rates

	1970-80	1980-90	1990-95	1970-95
Labour force	0.9	0.6	0.5	0.7
Employment	0.5	0.3	–0.2	0.3
of which:				
Self-employed	–2.1	–1.7	–2.8	–2.1
Employees	1.1	0.6	0.2	0.7
Government	1.7	1.4	1.6	1.6
Private sector	0.9	0.4	–0.3	0.5
Employment by sector				
Agriculture	–3.9	–3.6	–3.8	–3.7
Industry	–0.3	–1.6	–2.5	–1.3
Services	2.1	1.8	1.1	1.8
of which: Private sector	2.3	2.1	0.9	1.9

Source: OECD, *Quarterly Labour Force Statistics* and OECD Secretariat.

Table A2. **Procedures for lay-offs for economic reasons**

	1 worker laid-off over 30 days	From 2 to 9 workers laid-off over 30 days	More than 9 workers laid-off over 30 days	
			Enterprises employing fewer than 50 employees	Enterprises employing more than 50 employees
Consult enterprise committee or workers' representatives	No	Yes	Yes	Yes The enterprise committee must meet on two occasions. The delay between the two meetings must be: – 14 days for fewer than 100 employees, – 21 days for between 100 and 250 employees, – 28 days for more than 250 employees.
Notify the administrative authorities of the redundancy plan	No	No	Yes The administrative authorities must be notified after the first meeting of the enterprise committee and within a period of: – 21 days for fewer than 100 employees, – 28 days for between 100 and 250 employees, – 35 days for more than 250 employees. The administration must verify that: – the enterprise committee or workers' representatives have been duly convened, informed and consulted, – the legal provisions are obeyed including additional ones from collective or enterprise agreements (*i.e.* to limit the number of lay-offs and to facilitate the outside re-employment of the laid-off employees), – the measures are effectively implemented.	
Summon the worker to a hearing	Yes[1]	Yes[1] Individual hearings	No Unless there is no enterprise committee, or workers' representative	

Table A2. **Procedures for lay-offs for economic reasons** *(cont.)*

	1 worker laid-off over 30 days	From 2 to 9 workers laid-off over 30 days	More than 9 workers laid-off over 30 days	
			Enterprises employing fewer than 50 employees	Enterprises employing more than 50 employees
Notify the worker of his lay-off	Yes 7 days after the hearing at the earliest, 15 days for managerial staff[2]	Yes 7 days after the hearing at the earliest, 15 days for managerial staff[2]	Yes Once the notification has been given to the administrative authorities, the employees are notified following a delay[3] of: – 30 days for less than 100 employees, – 45 days for between 100 and 250 employees, – 60 days for more than 250 employees.	
Inform the administrative authorities of the lay-off	Yes + monthly statement of new contracts signed and contracts terminated	Yes + monthly statement of new contracts signed and contracts terminated	Monthly statement of new contracts signed and contracts terminated	
Propose a retraining contract to the worker	Yes	Yes	Yes After the last meeting with the workers' representatives	Social plan

1. At least 5 days between the summons and the hearing when there is no workers' representative.
2. These delays are reduced when there is no workers' representative.
3. This delay may be reduced down to the length of the delay given to the administrative authorities for verification, by the administrative authorities themselves if a collective agreement already exists or is concluded on social provisions to accompany lay-offs.

Source: OECD Secretariat.

Table A3. **Contribution to training in enterprises**

Size or type of company	Type of training	Financial contribution in per cent of wage bill	Use of funds
Enterprises employing more than 10 people	Training plan	0.9	Used directly, given to an OCP[1] or collected as a tax
	Training leave	0.2	Given to an OPACIF[1]
	Alternate classroom/work place training	0.4	Used directly or given to an OCP
	Total	**1.5**	
Enterprises employing less than 10 people	Continuing education	0.15	Given to an OCP
	Alternate classroom/work place training	0.10	Given to an OCP
	Total	**0.25**	
Temporary work agencies	Training plan	1.4	Used directly, given to an OCP or collected as a tax
	Training leave	0.3	Given to an OPACIF
	Alternate classroom/work place training	0.3	Used directly or given to an OCP
	Total	**2.0**	
Enterprises using fixed-term contracts	Training leave	1.0[2]	Given to an OPACIF
All enterprises	Apprenticeship	0.5	Given to a training centre for apprentices or to a collecting service

1. OCP and OPACIF are collecting agencies managed by social partners.
2. In per cent of the wage bill of CDDs.

Source: OECD Secretariat.

Annex II

Estimates of the structural rate of unemployment

The labour market chapter has identified many factors which might have contributed to rising unemployment. Some are easier to quantify than others, and the measurement of some variables in the following regressions is rather crude. The sample goes from 1961 to 1994, and includes the unemployment rate (UN), the generosity of the unemployment benefit scheme (UB), the ratio of the minimum to the average wage (WDISP), the ratio of workers covered by collective agreements (COV), the tax wedge (TWS), the terms of trade (TTRADE), the real-long term interest rate (RIRL) and the output gap (GAP). An attempt was also made to account for the evolution of employment protection regulation (EPL).* The wage and social security contribution data are those presented in INSEE's *Séries longues sur les salaires* and concern full-time earnings in the private and semi-public sector.

The exercise performed is very similar to the cross-country analysis over a shorter period by Scarpetta (1996). Scarpetta also provides a rigorous analytical framework, based on imperfectly competitive profit-maximising firms with a bargaining framework in the labour market and government intervention in terms of taxation, job protection legislation, etc. The estimation follows a two-step procedure, where first a static unemployment equation is estimated including all variables, followed by the consecutive exclusion of those with little explanatory power. The set of significant variables is used in a second step to estimate a dynamic unemployment equation which may help to shed light on persistence mechanisms. Before proceeding to estimation, it is instructive to look at the correlation matrix between the variables as the prospects of arriving at strong conclusions depend on whether the time series show significant differences in movements over time. Unfortunately, the matrix (Table A4) shows a very strong correlation among series, even among those where there is very little suspicion of any causal relationship.

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* In the first step, the major changes in employment protection legislation (EPL) over the 1960-95 period were noted and sub-periods identified: before 1973, 1973-75, 1976-86 and 1987-95. In the second step, the sub-periods were ranked on the basis of different employment protection regulations concerning a worker's dismissal (*e.g.* notification procedures, delay to start of notice and length of notice periods). The summary EPL measure is the simple average of the three rankings. For a similar methodology applied to cross-country differences in employment protection, see Grubb and Wells (1993).

Table A4. **Correlation among labour market variables**

		UN	EPL	COV	RIRL	WDISPN	UDENS	UB2	UB1	TWSMOY	TWSMIC	TTRADE	RSMICN	RSMICB
UN	Unemployment rate	1.00												
EPL	Employment protection legislation	0.85	1.00											
COV	Coverage of wage agreements	0.94	0.94	1.00										
RIRL	Real long-term interest rate	0.77	0.52	0.66	1.00									
WDISPN	Wage dispersion	0.87	0.91	0.95	0.58	1.00								
UDENS	Union density	–0.97	–0.83	–0.90	–0.80	–0.79	1.00							
UB2	Unemployment benefits, net	0.89	0.62	0.76	0.89	0.64	–0.93	1.00						
UB1	Unemployment benefits, gross	0.82	0.51	0.67	0.89	0.56	–0.86	0.99	1.00					
TWSMOY	Tax wedge, average salary	0.99	0.86	0.94	0.76	0.85	–0.98	0.88	0.80	1.00				
TWSMIC	Tax wedge, SMIC	0.98	0.88	0.96	0.76	0.88	–0.97	0.88	0.80	0.99	1.00			
TTRADE	Terms of trade	–0.73	–0.84	–0.83	–0.59	–0.87	0.63	–0.49	–0.41	–0.70	–0.74	1.00		
RSMICN	SMIC net/average net salary	0.88	0.93	0.95	0.62	0.98	–0.82	0.67	0.59	0.85	0.88	–0.88	1.00	
RSMICB	SMIC brut/average gross salary	0.87	0.93	0.94	0.61	0.98	–0.81	0.66	0.58	0.84	0.87	–0.89	1.00	1.00

Source: OECD Secretariat.

Granger causality tests were also performed. They show that the stringency of employment protection legislation has caused unemployment (rather than the reverse), that unemployment has caused a rise in the generosity of the unemployment insurance scheme and that the rise in the tax wedge has caused unemployment. Concerning job protection legislation and the tax wedge, one also could have expected reverse causation as (for instance, higher unemployment pushes up social expenditure). What is worrisome, on the other hand, is the finding that higher unemployment caused higher average replacement rates.

Purging the insignificant variables leaves the static unemployment rate equation as follows:

$$UN = 0.05\ UB + 0.19\ WDISP + 0.30\ TWS - 0.32\ GAP \qquad [1]$$
$$\quad (2.33) \qquad (7.48) \qquad (11.35) \qquad (-5.88)$$

with 33 observations; $AdjR^2 = 0.98$; t-statistics in parentheses. The equation includes a constant term.

The generosity of the unemployment insurance system, the relative minimum wage and tax wedge remain as explanatory variables. Over the long-run, the tax wedge contributed most to the rise in structural unemployment, followed by the relative minimum wage and the unemployment insurance generosity. In order to take into account the dynamics of unemployment and possible persistence effects, the following equation was estimated:

$$UN = 0.48\ UN\ (-1) + 0.12\ WDISP + 0.16\ TWS - 0.28\ GAP \qquad [2]$$
$$\quad (6.47) \qquad (6.44) \qquad (5.22) \qquad (-7.28)$$

with 33 observations; $AdjR^2 = 0.99$; t-statistics in parentheses. The equation includes a constant term.

The long-run structural unemployment rate derived from the results of equation [2] is plotted in Figure 17. The long-run structural unemployment rate is very close to that found in Scarpetta's cross-country study. Given the multicollinearity in the data, the fragility of the size coefficient estimates should not be underestimated – even for the variables which appear to be well-determined. In the short-run relationship, for instance, one can replace the unemployment insurance generosity measure by the real interest rate and the job protection measure – both are significant. One should be cautious when drawing conclusions from this exercise. Most factors have probably contributed to the rise in structural unemployment with the strong suspicion that the tax wedge and the relative minimum wage were of considerable importance.

Annex III

Calendar of main economic events

FISCAL POLICY

1995

August

The VAT rate rises by 2 percentage points from 18.6 to 20.6 per cent on 1 August.

September

The Council of Ministers adopts the 1996 draft Budget projecting a deficit of FF 289.7 billion. Expenditure will rise by 1.8 per cent against the July 1995 proposal (4 per cent against the initial Budget). Revenues will increase by 5 per cent owing to changes in the taxation of petroleum products, enterprises and income from savings.

November

The National Assembly adopts the 1996 draft Budget with a deficit reduced by FF 2.3 billion to FF 287.4 billion.

The Prime Minister presents to the National Assembly a wide ranging reform plan aimed at reducing the deficit of the general social security scheme from FF 65 billion in 1995 to less than FF 17 billion in 1996, and to a surplus of FF 11 billion in 1997. This plan includes important structural reforms and an increase in taxation.

1996

March

The Minister of Finance announces that FF 20 billion in credits in the 1996 Budget will be frozen.

April

The Prime Minister asks Dominique de La Martinière to elaborate a five year fiscal reform.

May

According to the final outturn, the 1995 State deficit is FF 323 billion.

The Prime Minister confirms the objective of unchanged expenditure in nominal terms for the 1997 Budget.

July

The Prime Minister confirms that the tax rate on reinvested earnings will be reduced to 19 per cent for small enterprises, effective 1 January 1997.

September

The Prime Minister presents the draft Budget for 1997. The State deficit is to be reduced to FF 283.7 in 1997. The five year direct tax reform includes a gradual lowering of the tax schedule and a broadening of the tax base. Household direct taxation will be reduced by FF 25 billion in 1997 and by FF 75 billion in 2001. Measures to reduce the social security deficit to FF 30 billion in 1997 include a tax switch with a reduction of the health contribution rate and a rise in the CSG. A one-off payment by France Télécom of FF 37.5 billion will reduce the overall deficit in 1997.

The Council of Ministers adopts the 1997 draft Budget. Expenditures will be stabilised at FF 1 553 billion and revenue will rise by 0.6 per cent to FF 1 269 billion. The deficit is to be reduced to FF 284 billion (2.9 per cent of GDP), lower by FF 4 billion from the 1996 Budget. Given the tax reform and taking into account that other taxes have risen at the same time, the net tax relief on the tax burden for households will be around FF 10 billion, with the total taxation ratio lowered to 44.7 per cent of GDP from 44.9 per cent this year. The public debt should be FF 3 799 billion at the end of 1997 or 58 per cent of GDP against 56 per cent this year.

October

The National Assembly adopts the draft law on the financing of the social security system for 1997 which projects a deficit of FF 30.4 billion.

MONETARY POLICY

1995

July

The Banque de France lowers its 5-10 day repurchase rate from 7.5 to 7.0 per cent in two steps.

August

The Banque de France lowers its 5-10 day repurchase rate from 7.0 to 6.15 per cent in two steps.

October

The Banque de France suspends the 5-10 day repurchase facility and raises the 24-hour lending facility to 7.0 per cent in two steps.

November

The Banque de France lowers its 24-hour repurchase rate from 7.0 to 6.6 per cent, reinstates the 5-10 day repurchase facility at 6.1 per cent and cuts the intervention rate from 5.0 to 4.8 per cent.

December

The Banque de France lowers its intervention rate from 4.8 to 4.45 per cent in two steps and reduces the 5-10 day repurchase rate from 6.1 to 5.85 per cent.

1996

January

The Banque de France lowers its intervention rate from 4.45 to 4.2 per cent and reduces the 5-10 day repurchase rate from 5.85 to 5.6 per cent.

February

The Banque de France lowers its intervention rate from 4.2 to 3.9 per cent in two steps.

March

The Banque de France lowers its intervention rate from 3.9 to 3.8 per cent and reduces the 5-10 day repurchase rate from 5.6 to 5.5 per cent.

April

The Banque de France lowers its intervention rate from 3.8 to 3.7 per cent and reduces the 5-10 day repurchase rate from 5.5 to 4.9 per cent.

June

The Banque de France lowers its intervention rate from 3.7 to 3.6 per cent.

July

The Banque de France lowers its intervention rate from 3.6 to 3.55 per cent.

August

The Banque de France reduces the 5-10 day repurchase rate from 4.9 to 4.75 per cent and lowers its intervention rate from 3.55 to 3.35 per cent.

September

Major French banks cut the prime lending rate from 6.75 per cent to 6.55 per cent.

The Banque de France lowers its intervention rate to 3.25 per cent.

October

The Banque de France announces that its intervention rate will be lowered to 3.2 pour cent as from 5 November 1996.

OTHER MEASURES

1995

July

The National Assembly adopts two bills creating the *contrat initiative-emploi* (CIE) and reducing employer's social security contributions for low income earners.

August

The Minister of Agriculture announces exceptional measures of FF 500 million for the bovine sector.

September

The Council of Ministers eliminates the *Prêts à l'accession à la propriété* (PAP) and replaces it by the *Prêts à taux zéro* (PTZ).

Privatisation of Bull reduces the government's stake to 36.4 per cent.

October

After a capital injection of FF 1 billion, the Finance Ministry announces the rapid privatisation of the Société marseillaise de crédit.

The Prime Minister announces new measures in favour of craftsmen: creation of funds for promoting crafts, credit access, simplification of fiscal and administrative procedures.

The government opens domestic flights to all French airlines starting 1 January 1996.

November

The Parliament adopts rescue plans for the Crédit lyonnais and the Comptoir des entrepreneurs.

In the context of the State-SNCF contract, the government announces that it will take over FF 37 billion of FF 175 billion of SNCF debt in 1996. In 1997, this effort will depend on enterprise productivity and could reach FF 131 billion over the 1995-2000 contract.

Strikes in the public sector start in reaction to the reform plan for the social security system.

December

After three weeks of labour conflict, the Prime Minister announces the suspension of the commission in charge of the preparation of pension reforms for the public sector and the freeze of the contract between the State and the SNCF. Social summit is held with social partners and the government on youth employment, reduction of working hours and measures to bolster activity.

Launch of the Péchiney privatisation. This sale brought in FF 3.8 billion to the State which kept 12 per cent of the capital.

1996

January

Guaranteed minimum income (RMI), old-age and disability pensions rise by 2.1 per cent on 1 January 1996.

Daily allowances for health insurance and labour accident rise by 2 per cent on 1 January 1996.

The Council of Ministers approves the creation of the (CRDS) tax which will affect virtually all revenues during 13 years effective 1 February. The tax rate is 0.5 per cent and is estimated to raise FF 20 billion in 1996.

The *Livret A* interest rate is reduced from 4.5 to 3.5 per cent.

February

The government announces a 2.1 per cent spending objective for health care. Spending increased by 4.7 per cent in 1995.

The government sells a 4 per cent stake in the oil group Total (FF 3.1 billion) and retains a 1 per cent stake.

The Council of Ministers adopts a bill on competition regulation (billing rules, price discrimination, the right not to sell, abuse of economic dependency).

March

The Industry Minister presents a series of measures in favour of the textile, clothing and shoe industries which reduces employer's charges for two years and injects FF 21 billion per year in order to preserve 35 000 jobs and hire 7 000 young people.

The State recapitalises Giat industries (FF 3.7 billion) following losses of FF 2.2 billion in 1994.

The Minister for Transport announces that the State will finance SNCF infrastructure, leaving the operational role to the enterprise.

April

In light of the future Thomson privatisation, the State purchases shares from Crédit lyonnais that are under the control of Thomson CSF affiliate and of Thomson itself (18.32 and 3.01 per cent respectively).

An agreement between the social partners is reached concerning the balancing of the complementary pension systems (ARRCO and AGIRC) until 2005.

The Council of Ministers adopts a bill reforming the *loi Royer* on supermarket implementation.

May

The Council of Ministers adopts a bill changing the status of France Télécom. In 1997, the enterprise will be incorporated and partly privatised. In 1998, the enterprise monopoly will end.

The State sells 6 per cent of Renault's shares. Its stake falls to less than 47 per cent.

Launch of the privatisation of Assurances générales de France with shares priced at FF 128. Receipts are estimated to be between FF 8.5 and 9.3 billion for the State.

July

The Defence Minister presents a three year restructuring plan for the army costing FF 3 billion.

The Prime Minister confirms the reduction of the tax rate to 19 per cent on reinvested earnings by small and medium size enterprises, effective 1 January 1997.

Launch of the privatisation of the Companie générale maritime (CGM).

The Finance Ministry announces that the Caisse des dépôts et consignations will launch a take over of Crédit foncier de France with shares priced at FF 70.

Publication of the revised law on activity and control of banking institutions.

August

Publication of two decrees eliminating *l'Aide au premier emploi des jeunes* (APEJ) and modifying the *Contrat initiative-emploi* (CEI) according to how long the person hired has been unemployed.

The government defined the terms of the privatisation of Thomson SA: private sale, the French government keeps veto powers on the sale of relevant defence assets and on the possibility for a simple investor to own more than 10 per cent of shares or veto rights.

September

The Council of Ministers adopts a draft bill aimed at reducing precarious employment in the public sector and which would permit early retirement at 58 years old.

The *Caisse nationale d'assurance maladie* sets a spending restraint plan of FF 4.2 billion – largely for health professionals.

October

The Prime Minister announces his preference for the offer from Lagardère group concerning the Thomson privatisation. This offer plans to split in two the group's activities: the one on defence will be supported by Matra while 85 per cent of the one on digital communications should be given to the South Korean group, Daewoo. Prior to the exercise the State would provide a recapitalisation of FF 11 billion for Thomson.

STATISTICAL ANNEX AND STRUCTURAL INDICATORS

Table A. **Selected background statistics**

	Average 1986-95	1986	1987	1988	1989	1990	1991	1992	1993	1994	1995
A. Annual percentage change											
Private consumption [1]	2.2	3.9	2.9	3.3	3.1	2.7	1.4	1.4	0.2	1.4	1.8
Gross fixed capital formation [1]	2.4	4.5	4.8	9.6	7.9	2.8	0.0	–2.8	–6.7	1.3	2.7
General government	3.5	3.2	3.3	13.8	6.5	0.7	5.4	3.9	–0.4	–0.4	–1.1
Residential construction	0.8	1.3	3.3	7.1	7.1	0.3	–4.1	–4.5	–7.8	2.0	3.0
Private non-residential	2.9	6.6	6.0	9.6	8.6	4.7	0.4	–4.0	–8.2	1.5	3.8
GDP [1]	2.2	2.5	2.3	4.5	4.3	2.5	0.8	1.2	–1.3	2.8	2.2
Deflators:											
GDP	2.8	5.2	3.0	2.8	3.0	3.1	3.3	2.1	2.5	1.5	1.7
Exports of goods and services	0.3	–3.0	–0.5	2.6	4.8	–1.3	0.7	–1.6	–1.6	2.1	1.0
Imports of goods and services	–0.8	–12.7	–0.6	2.5	6.6	–1.3	0.0	–2.6	–2.5	1.7	1.3
Total domestic demand	2.5	2.9	2.8	2.7	3.3	3.0	3.1	2.0	2.5	1.3	1.7
Industrial production	1.1	0.6	1.2	4.5	3.7	1.4	–1.1	–1.2	–3.8	3.9	1.6
Employment	0.3	0.5	0.4	1.0	1.5	0.8	0.0	–0.6	–1.2	0.1	0.9
Compensation of employees (current prices)	4.5	5.0	4.3	5.5	6.4	6.6	4.8	3.8	2.0	2.4	3.8
Productivity (GDP [1]/employment)	1.8	2.0	1.8	3.4	2.7	1.7	0.8	1.8	–0.1	2.7	1.3
Unit labour costs (compensation/GDP [1])	2.2	2.4	2.0	1.0	2.0	4.0	4.0	2.6	3.4	–0.4	1.6
B. Percentage ratios											
Gross fixed capital formation as a per cent of GDP [1]	21.4	20.4	20.9	21.9	22.7	22.8	22.6	21.7	20.5	20.2	20.3
Stockbuilding as a per cent of GDP [1]	0.4	0.7	0.8	0.9	1.2	1.3	0.5	0.0	–1.6	0.1	0.4
Foreign balance as a per cent of GDP [1]	–1.3	–1.0	–2.1	–2.3	–1.9	–2.1	–1.9	–1.0	–0.1	–0.3	–0.1
Compensation of employees as a per cent of GDP	52.2	53.3	52.8	51.8	51.3	51.8	52.1	52.4	52.8	51.8	51.7
Direct taxes as a per cent of household income	6.7	6.7	6.7	6.4	6.3	6.2	6.9	6.9	7.0	7.2	7.1
Household saving as a per cent of disposable income	12.8	12.9	10.8	11.0	11.7	12.5	13.2	13.6	14.1	13.6	14.3
Unemployment as a per cent of civilian labour force	10.5	10.4	10.5	10.0	9.3	8.9	9.4	10.4	11.7	12.3	11.7
C. Other indicator											
Current balance (billion US$)	0.7	1.8	–5.0	–4.8	–4.7	–9.8	–6.1	3.9	8.7	6.9	16.5

1. At constant 1980 prices.
Source: OECD Secretariat.

Table B. **Gross domestic product and expenditure**

FF billion

	1986	1987	1988	1989	1990	1991	1992	1993	1994	1995
	Current prices									
Private consumption	3 049.5	3 235.6	3 429.5	3 655.8	3 861.3	4 037.5	4 189.5	4 290.7	4 442.3	4 597.1
Public consumption	972.8	1 018.6	1 073.3	1 122.0	1 187.7	1 257.1	1 339.0	1 421.3	1 457.4	1 503.8
Gross fixed capital formation	977.5	1 054.8	1 188.3	1 314.6	1 391.4	1 436.9	1 405.4	1 311.4	1 332.1	1 376.7
Change in stocks	17.2	20.7	40.3	59.3	70.9	21.1	–29.0	–97.9	–3.2	23.6
Domestic expenditure	5 017.0	5 329.6	5 731.4	6 151.6	6 511.3	6 752.6	6 905.0	6 925.5	7 228.6	7 501.1
Exports of goods and services	1 074.1	1 101.4	1 221.3	1 411.1	1 468.0	1 538.1	1 588.1	1 556.4	1 684.1	1 801.4
less: Imports of goods and services	1 021.8	1 094.3	1 217.6	1 403.1	1 469.8	1 514.5	1 493.5	1 404.8	1 523.1	1 621.4
Gross domestic product at market prices	5 069.3	5 336.6	5 735.1	6 159.7	6 509.5	6 776.2	6 999.5	7 077.1	7 389.7	7 681.0
	1980 prices									
Private consumption	1 886.0	1 939.9	2 003.0	2 064.3	2 120.0	2 148.7	2 177.7	2 181.5	2 211.5	2 251.9
Public consumption	594.1	610.9	631.9	634.9	648.3	666.4	688.9	712.3	720.1	726.4
Gross fixed capital formation	633.2	663.8	727.4	784.7	807.0	807.4	784.9	732.5	741.9	760.7
of which:										
Corporate, quasi-corporate and private unincorporated enterprises	334.5	354.1	387.8	422.8	441.2	441.5	434.5	399.5	406.4	421.5
Households	177.7	183.6	196.5	210.5	211.2	202.6	193.5	178.5	182.1	187.5
General government	101.9	105.3	119.9	127.7	128.6	135.5	140.8	140.2	139.7	138.2
Non-profit organisations, credit institutions and insurance companies	19.1	20.8	23.2	23.7	26.1	27.9	16.1	14.3	13.8	13.6
Change in stocks	23.3	26.3	30.5	40.0	45.7	19.2	–1.2	–55.7	4.9	13.3
Domestic expenditure	3 136.6	3 240.9	3 392.8	3 523.8	3 621.0	3 641.7	3 650.3	3 570.7	3 678.4	3 752.4
Exports of goods and services	686.4	707.4	764.6	842.6	887.7	924.1	969.3	965.4	1 023.0	1 083.9
less: Imports of goods and services	718.3	773.7	840.1	908.0	963.6	993.0	1 005.3	969.8	1 034.4	1 088.4
Gross domestic product at market prices	3 104.6	3 174.5	3 317.3	3 458.4	3 545.1	3 572.8	3 614.3	3 566.2	3 667.0	3 747.9

Source: OECD, *National Accounts.*

Table C. **The money supply and its counterparts**

FF billion, end of period

	1987	1988	1989	1990	1991	1992	1993	1994	1995
Money supply									
M1	1 446.0	1 505.9	1 622.1	1 685.2	1 605.9	1 603.3	1 625.6	1 670.7	1 817.0
of which:									
Sight deposits	1 227.2	1 273.0	1 378.6	1 433.0	1 354.7	1 351.6	1 376.1	1 418.5	1 561.1
M2	2 696.2	2 796.2	2 918.2	2 943.7	2 845.1	2 807.0	2 854.2	3 003.2	3 263.0
of which:									
Livrets A and livrets bleus	788.5	806.2	802.1	789.2	768.9	740.7	737.4	774.1	830.2
M3	3 808.1	4 117.0	4 523.4	4 929.7	5 029.3	5 287.0	5 134.4	5 225.5	5 478.5
of which:									
Time deposits and paper denominated in francs	1 084.3	1 269.7	1 512.7	1 923.7	2 130.1	2 417.1	2 203.3	2 136.5	2 113.5
M4	3 847.7	4 157.5	4 586.2	4 979.4	5 078.4	5 342.6	5 183.8	5 299.0	5 586.3
Counterparts									
External	126.7	80.2	53.9	–65.7	70.4	220.1	623.0	460.6	586.6
Claims on Treasury	893.3	1 002.3	969.9	989.6	1 010.9	1 070.8	1 287.3	1 623.2	1 802.0
Domestic lending	4 860.1	5 473.6	6 219.8	6 843.7	7 170.3	7 463.7	7 325.2	7 111.9	7 285.8
Long-term financing (–)	1 841.7	2 143.6	2 427.7	2 425.5	2 585.4	2 767.5	3 356.3	3 220.9	3 268.7
Contractual savings and PEP[1] (–)	351.5	409.7	449.7	539.8	640.6	758.3	938.8	1 069.2	1 237.6
Miscellaneous, net	167.7	173.1	233.1	224.5	123.2	220.3	401.9	553.1	553.7

1. *Plans d'épargne populaire.*

Source: Banque de France.

Table D. **Balance of payments on a transactions basis**

US$ million

	1986	1987	1988	1989	1990	1991	1992	1993	1994	1995
Exports (fob)	120 279	142 618	161 285	171 748	208 071	208 265	227 082	198 486	223 908	269 754
Imports (fob)	121 763	150 442	168 909	181 969	221 122	217 695	224 710	191 462	217 354	258 932
Trade balance	–1 484	–7 824	–7 624	–10 221	–13 051	–9 430	2 372	7 024	6 554	10 822
Services, net	3 203	2 789	3 766	7 276	4 386	3 719	2 817	2 486	3 178	8 442
of which:										
Major works projects	936	1 167	719	707	1 172	1 370	1 761	1 481	1 505	2 118
Tourism	3 211	3 378	4 070	6 214	7 927	9 043	11 278	10 727	10 904	11 199
Investment income	–487	–408	60	478	–2 958	–5 069	–7 737	–8 081	–9 954	–6 557
Other goods and services, net	4 696	5 395	5 785	5 832	6 985	6 923	7 580	5 345	5 232	3 588
Private transfers, net	–1 735	–2 298	–2 430	–1 907	–2 770	–2 555	–3 213	–688	–828	–297
Official transfers, net	–2 845	–3 052	–4 332	–5 657	–5 385	–4 776	–5 687	–5 423	–7 244	–6 006
Current balance	1 835	–4 990	–4 835	–4 677	–9 835	–6 119	3 869	8 744	6 892	16 549
Long-term capital	–7 793	2 190	–632	10 738	15 152	1 714	22 702	–4 216	–46 517	–9 239
Private	–1 117	7 519	4 202	15 295	17 491	6 705	26 930	–997	–47 893	–7 837
Official	–6 676	–5 329	–4 834	–4 557	–2 339	–4 991	–4 228	–3 219	1 376	–1 402
Basic balance	–5 959	–2 801	–5 466	6 061	5 317	–4 406	26 570	4 528	–39 625	7 307
Short-term capital	4 665	3 610	2 206	–15 940	–17 704	–1 791	–1 913	40 439	7 108	25 330
Balance of non-monetary transactions	–1 294	809	–3 260	–9 879	–12 387	–6 197	24 657	44 967	–32 517	32 637
Bank capital	2 986	–9 299	2 343	5 805	27 427	755	–45 389	–49 831	49 215	–35 126
Balance on official settlements	1 692	–8 490	–917	–4 074	15 040	–5 442	–20 732	–4 864	16 698	–2 489
Net position with FECOM	24	3 913	–3 984	0	0	0	0	4 130	–4 133	0
Miscellaneous assets and liabilities	15	1 981	–405	3 353	–4 199	394	19 482	–4 717	–10 132	3 220
Change in official reserves	1 731	–2 596	–5 306	–721	10 841	–5 048	–1 250	–5 451	2 433	731
Memorandum item:										
Exchange rate (francs per US$)	6.927	6.009	5.957	6.380	5.446	5.641	5.294	5.662	5.552	4.991

Source: OECD Secretariat and INSEE.

Table E. **Foreign trade by commodity**[1]

	Structure (in % of total)		Percentage change from previous year						
	1988	1994	1988	1989	1990	1991	1992	1993	1994
Exports, fob	100.0	100.0	13.0	6.7	21.4	1.6	8.7	–6.8	7.9
0. Food and live animals	11.9	11.2	17.3	5.8	19.0	–0.8	12.3	–1.8	–1.8
1. Beverages and tobacco	3.4	3.2	9.4	6.8	22.2	–1.1	5.7	–7.6	5.3
2. Crude materials, inedible, except fuels	4.1	2.4	18.1	–0.8	1.5	–13.1	–0.2	–16.0	13.7
3. Mineral fuels, lubricants and related materials	2.1	2.5	2.8	14.2	30.4	9.6	0.0	8.4	–2.6
4. Animal and vegetable oils and fats	0.2	0.2	29.3	17.1	3.7	–1.7	9.1	–9.8	26.0
5. Chemical products	14.6	14.4	15.2	1.3	18.4	1.8	9.0	–1.9	9.2
6. Other manufactured goods classified chiefly by material	18.2	16.5	14.2	8.9	15.2	–2.4	6.3	–9.5	10.4
7. Machinery and transport equipment	35.2	39.5	12.0	8.3	27.2	5.9	9.9	–9.1	10.8
8. Miscellaneous manufactured articles	10.2	10.1	11.8	5.6	27.1	–0.6	9.8	–6.4	4.9
9. Other	0.1	0.1	. .	. .	. .	. .	. .	. .	. .
Imports, cif	100.0	100.0	12.2	7.6	22.3	–1.0	3.5	–12.1	8.6
0. Food and live animals	9.3	9.4	8.2	1.4	16.8	5.3	5.4	–7.8	7.7
1. Beverages and tobacco	1.0	1.2	16.6	4.9	22.9	4.5	7.8	–1.7	6.8
2. Crude materials, inedible, except fuels	4.5	3.5	15.6	8.0	5.0	–9.9	0.1	–19.4	21.2
3. Mineral fuels, lubricants and related materials	8.3	7.7	–14.1	15.7	32.3	0.1	–7.9	–9.2	–6.2
4. Animal and vegetable oils and fats	0.3	0.4	16.5	8.2	14.6	–4.2	0.1	0.2	17.1
5. Chemical products	11.1	11.9	15.6	5.6	20.5	–2.5	8.2	–8.7	13.6
6. Other manufactured goods classified chiefly by material	18.3	16.3	17.6	8.4	18.8	–7.4	2.7	–16.7	12.2
7. Machinery and transport equipment	33.3	35.3	18.0	8.2	24.9	0.6	4.1	–13.1	11.2
8. Miscellaneous manufactured articles	13.8	14.1	11.2	5.9	25.1	2.3	6.7	–10.2	1.7
9. Other	0.1	0.0	. .	. .	. .	. .	. .	. .	. .

1. SITC classification.

Source: OECD, *Foreign Trade Statistics*, Series C.

Table F. **Foreign trade by origin**

	Structure (in % of total)		Percentage change from previous year				
	1991	1995	1991	1992	1993	1994	1995
Exports, fob	100.0	100.0	1.9	8.7	–10.2	12.6	21.5
OECD	81.7	79.6	2.1	7.6	–11.5	13.9	20.0
of which:							
EU	65.4	63.6	1.7	8.2	–13.8	14.4	21.7
of which:							
Germany	18.6	17.7	8.8	2.5	–11.2	11.2	25.0
Belgium-Luxembourg	9.1	8.6	–1.4	10.4	–14.7	13.5	18.0
Italy	11.0	9.7	–1.3	7.5	–22.5	12.5	24.9
Netherlands	5.0	4.6	–10.1	6.9	–11.2	8.5	21.0
United Kingdom	8.9	9.3	–2.4	12.8	–8.3	18.3	13.3
United States	6.3	5.9	6.1	11.6	–2.4	11.5	2.2
Japan	2.0	2.0	7.3	–3.5	–3.0	13.3	21.4
Non-OECD	18.3	20.3	0.8	13.6	–5.1	7.5	27.9
COMECON	1.7	0.8	22.4	39.6	–40.4	–51.2	50.9
OPEC	3.9	3.4	1.2	16.6	–10.4	–7.3	19.5
Other	12.7	16.1	–1.8	9.1	2.8	17.7	28.8
Unspecified	0.0	0.1	. .	. .	. .	. .	. .
Imports, cif	100.0	100.0	–0.9	3.6	–14.9	13.6	19.3
OECD	81.5	82.5	–1.4	3.8	–15.4	14.6	20.2
of which:							
EU	61.6	64.0	–3.2	5.6	–16.3	15.6	21.6
of which:							
Germany	18.0	18.5	–6.1	7.5	–19.6	14.7	23.6
Belgium-Luxembourg	8.4	9.0	–5.1	5.7	–11.4	17.0	15.5
Italy	10.9	10.1	–6.1	0.6	–20.1	15.4	18.3
Netherlands	5.2	5.4	0.8	1.9	–13.6	10.3	28.3
United Kingdom	7.6	8.0	3.8	5.0	–11.3	13.2	19.0
United States	9.2	7.8	11.7	–5.3	–12.1	11.1	9.0
Japan	4.1	3.5	1.8	2.8	–14.9	2.8	13.4
Non-OECD	16.8	16.2	3.0	1.5	–9.8	8.9	15.7
COMECON	2.2	0.8	–5.3	13.4	–57.6	–40.3	49.6
OPEC	4.6	3.0	3.6	–11.0	–9.7	–0.8	–1.9
Other	10.0	12.4	4.7	4.6	1.4	17.2	19.1
Unspecified	1.7	1.3	. .	. .	. .	. .	. .

Source: OECD, *Foreign Trade Statistics*, Series A.

Table G. **Structure of output and performance indicators**

1. Structure of output (constant prices)

	Share of GDP							Share of total employment						
	1980	1985	1990	1992	1993	1994	1995	1980	1985	1990	1992	1993	1994	1995
Agriculture, hunting, forestry and fishing	4.6	5.0	4.6	4.8	4.5	4.4	4.4	8.6	7.2	5.6	5.2	5.0	4.8	4.6
Mining and quarrying	2.4	2.1	1.6	1.5	1.7	1.5	1.5	0.6	0.5	0.3	0.3	0.3	0.3	0.3
Manufacturing	25.1	22.9	22.3	21.1	20.5	21.0	21.3	24.5	22.3	20.4	19.6	18.9	18.4	18.1
of which:														
Food products	3.5	3.3	3.0	2.9	3.1	3.1	3.0	2.7	2.8	2.6	2.5	2.5	2.5	2.4
Textiles	1.8	1.6	1.3	1.2	1.1	1.1	1.1	2.6	2.1	1.7	1.5	1.4	1.3	1.3
Paper	0.6	0.6	0.5	0.5	0.5	0.5	0.5	0.5	0.5	0.5	0.5	0.5	0.5	0.5
Chemicals	2.1	2.3	2.5	2.4	2.5	2.6	2.6	1.5	1.4	1.4	1.3	1.3	1.3	1.3
Metals	1.3	1.1	1.1	1.0	1.0	1.0	1.0	1.1	0.9	0.7	0.6	0.6	0.5	0.5
Metal products, machinery and equipment	8.4	7.7	7.7	7.3	6.9	7.1	7.4	8.3	7.6	6.9	6.7	6.4	6.2	6.2
Electricity, gas and water	2.0	2.7	2.6	2.8	2.8	2.8	2.8	0.7	0.8	0.7	0.7	0.7	0.7	0.7
Construction	7.6	6.5	6.8	6.5	6.2	5.9	5.7	8.5	7.3	7.4	7.2	6.9	6.7	6.6
Traded services [1]	40.8	42.8	45.3	46.0	46.4	46.7	46.6	35.2	37.2	40.5	40.9	40.9	41.3	41.7
Non-traded services	17.5	18.0	16.8	17.3	17.8	17.8	17.8	21.9	24.8	25.0	26.2	27.3	27.8	28.0
Total traded goods and services	82.5	82.0	83.2	82.7	82.2	82.2	82.2	78.1	75.2	75.0	73.8	72.7	72.2	72.0

1. Wholesale and retail distribution, restaurants and hotels; transportation, warehousing and communications; finance, insurance, real estate and business services.

Source: INSEE (1996), *Rapport sur les comptes de la Nation 1995*.

Table G. **Structure of output and performance indicators**

2. Economic performance (constant prices)

	Productivity growth							Share of total investment						
	Average 1980-84	1985	1990	1992	1993	1994	1995	1980	1985	1990	1992	1993	1994	1995
Agriculture, hunting, forestry and fishing	7.2	7.2	7.0	15.9	–3.8	4.6	5.6	3.6	3.3	2.8	2.4	2.3	2.6	2.7
Mining and quarrying	1.8	–1.7	4.9	1.6	17.0	–5.5	5.0	1.7	1.3	1.0	0.8	0.9	0.9	0.3
Manufacturing	2.0	1.6	1.3	1.7	0.9	8.3	3.1	13.8	14.4	15.6	13.6	11.6	12.0	12.4
of which:														
Food products	–0.2	2.7	1.4	–1.4	6.2	3.7	2.0	2.0	2.4	2.3	2.4	2.1	2.0	2.0
Textiles	3.7	1.5	6.8	5.6	–0.2	8.8	1.7	0.6	0.7	0.6	0.5	0.4	0.4	0.4
Paper	2.9	–2.2	–0.2	4.6	–2.2	9.7	–2.1	0.4	0.4	0.7	0.6	0.3	0.3	0.4
Chemicals	5.6	0.2	4.5	2.0	6.0	7.9	3.3	1.4	1.4	1.6	1.6	1.4	1.4	1.4
Metals	1.1	2.1	3.7	3.3	0.7	7.4	3.9	1.4	1.4	1.0	0.9	0.7	0.8	0.7
Metal products, machinery and equipment	2.0	1.0	0.3	2.2	–1.8	9.6	4.6	4.4	4.6	5.0	4.4	3.7	3.9	4.2
Electricity, gas and water	5.5	5.8	3.0	3.9	0.3	0.1	2.6	6.0	5.6	3.2	3.7	4.0	3.6	3.8
Construction	2.4	0.0	1.8	1.0	–0.5	0.2	–0.8	3.3	2.6	2.3	2.1	2.1	2.0	1.9
Traded services [1]	1.6	1.5	0.8	2.0	0.8	2.2	0.0	59.3	57.9	60.1	60.5	61.1	61.2	61.8
Non-traded services	0.3	–2.0	0.9	0.3	–0.9	0.8	0.1	12.3	14.8	15.0	16.9	18.0	17.7	17.1
Total traded goods and services	2.5	2.0	1.5	2.7	0.9	3.6	1.2	87.7	85.2	85.0	83.1	82.0	82.3	82.9

1. Wholesale and retail distribution, restaurants and hotels; transportation, warehousing and communications; finance, insurance, real estate and business services.

Source: INSEE (1996), *Rapport sur les comptes de la Nation 1995*.

Table G. **Structure of output and performance indicators**

3. Other indicators (current prices)

	1982	1983	1984	1985	1986	1987	1988	1989	1990	1991	1992	1993	1994
R&D as a per cent of GDP in manufacturing sector	4.9	4.9	5.3	5.6	5.5	5.8	5.8	6.0	6.3	6.6	6.6	6.9	6.8
Total R&D expenditure as a per cent of total GDP	2.1	2.1	2.2	2.3	2.2	2.3	2.3	2.3	2.4	2.4	2.4	2.5	2.4
Government funded R&D as a per cent of total	54.0	53.8	53.7	52.9	52.5	51.7	49.9	48.1	48.3	48.8	43.5	43.5	41.6
Breakdown of employed workforce[1] by size of establishment													
1 to 9 employees	21.6	22.3	22.9	23.2	23.8	24.1	24.2	24.1	24.2	24.3	24.8	25.9	..
10 to 49 employees	26.5	26.9	27.0	27.3	27.8	28.2	28.3	28.5	28.7	28.9	29.0	29.0	..
50 to 199 employees	22.0	21.8	21.7	21.9	22.0	22.3	22.7	22.7	22.9	22.8	22.6	22.5	..
200 to 499 employees	12.8	12.5	12.3	12.1	11.9	11.6	11.7	11.8	11.6	11.6	11.5	11.3	..
500 employees and over	17.1	16.5	16.1	15.5	14.5	13.8	13.1	12.9	12.9	12.4	12.1	11.3	..
Total	100.0	100.0	100.0	100.0	100.0	100.0	100.0	100.0	100.0	100.0	100.0	100.0	..
Workforce (thousand)	13 193	13 000	12 778	12 701	12 704	12 840	13 139	13 569	13 821	13 737	13 469	13 379	. .

1. All employees affiliated with UNEDIC (unemployment insurance scheme for private sector employees).

Source: OECD, *Main Science and Technology Indicators* and INSEE, *Annuaire statistique de la France*.

Table H. **Labour market indicators**

	1980	1985	1990	1993	1994	1995
A. Trend						
Unemployment rate	6.3	10.2	8.9	11.6	12.3	11.6
Male	4.3	8.4	6.7	9.9	10.7	9.8
Female	9.5	12.7	11.7	13.8	14.7	13.9
Youth (15 to 24 years old)	15.1	25.6	19.1	24.6	27.5	25.9
Share of long-term unemployment [1]	32.6	46.8	38.0	34.2	38.3	45.6
Registered vacancies (thousands)	89.1	46.0	79.5	43.0	49.5	56.7
Length of working week [2]	40.5	38.6	38.7	38.6	38.7	38.7
B. Structural and institutional features						
Labour force (per cent change)	0.6	0.5	0.3	0.3	0.7	0.3
Participation rate [3]	68.4	66.4	66.5	66.6	66.9	66.9
Male	81.7	76.6	75.4	74.4	74.4	74.2
Female	54.4	54.8	57.6	59.1	59.6	59.7
Employment as a per cent of population aged 15 to 64	64.1	59.6	60.6	58.8	58.7	59.0
Employers, self-employed and family workers (as a per cent of total employment)	15.8	14.6	12.9	12.0	11.7	11.3
Wage earners and salaried employees (as a per cent of total employment)	84.2	85.4	87.1	88.0	88.3	88.7
Civilian employment by sector (per cent of total)						
Agriculture	8.4	7.2	5.7	5.1	4.9	4.7
Industry	35.6	31.9	29.6	27.3	26.6	26.3
Services	56.0	60.9	64.7	67.6	68.5	68.9
of which: General government	20.8	23.4	23.2	24.9	25.2	25.3
Total	100.0	100.0	100.0	100.0	100.0	100.0
Fixed-term contracts [4]	. .	1.8	3.1	3.2	3.2	. .
Temporary work [4]	. .	0.6	1.2	0.9	1.1	. .
Part-time [5]	. .	10.8	11.8	13.9	14.8	. .
Non-wage labour costs [6]	26.1	27.9	27.9	28.1	28.1	28.1
Unemployment insurance benefits [7]	46.9	42.0	47.5	45.7	. .	. .
Minimum wage as a per cent of average wage	45.7	52.5	50.1	50.2	50.4	50.1

1. People looking for a job for one year or more as a percentage of total unemployment.
2. Hours worked by industrial wage-earners.
3. Labour force as a percentage of population aged 15 to 64.
4. As a percentage of dependent employment.
5. Part-time employment as a percentage of total employment (part time and full time).
6. Employer social-security contributions as a percentage of total wages.
7. Unemployment benefits per beneficiary as a percentage of average gross wage.

Source: OECD, *Labour Force Statistics*, *Employment Outlook*, *Main Economic Indicators* and OECD Secretariat; and INSEE, *Annuaire statistique de la France*.

Table I. **Financial markets**

	1985	1990	1991	1992	1993	1994	1995
Sector size							
Sectoral employment/total employment	2.8	2.8	2.8	2.8	2.7	2.7	2.7
Non-financial agents' financial flows/GDP[1]	11.5	20.6	15.3	14.3	9.1	9.0	8.1
Stock-market capitalisation/GDP[2]	14.4	26.7	29.4	27.6	38.0	32.6	31.9
Density of banking network[3]	38.8	37.7	37.4	37.0	36.9	36.6	36.6
Structure of financial flows							
Share of intermediated financing in total financing[4]	57.0	58.0	48.0	28.0	..	..	18.7
Financial institutions' share of stocks of financial assets	46.3	41.9	39.1	38.9	36.8	37.1	37.2
Securities issues in financing flows of non-financial agents[5]	40.0	40.8	50.7	68.6	108.0	117.8	81.3
Structure of private non-financial sector's portfolio[6]:							
Deposits[7]	31.4	21.8	18.5	18.4	16.4	18.8	18.8
Money market's bonds and bills	4.2	3.5	3.4	4.1	4.0	4.3	4.7
Equities	32.0	42.9	47.9	47.0	52.9	47.8	46.9
Institutional investment[8]	5.2	8.0	7.9	8.4	7.6	7.2	6.4
Non-financial corporate financial structure:	100.0	100.0	100.0	100.0	100.0	100.0	100.0
Equity	45.9	56.0	60.4	60.8	66.5	62.5	62.2
Short-term debt							
Securities	1.5	2.5	2.6	2.9	3.0	4.0	3.9
Other	30.6	23.9	21.0	20.2	14.9	17.2	17.4
Medium and long-term debt							
Bonds	4.2	3.4	3.1	3.4	3.4	3.4	3.7
Other	17.8	14.2	12.9	12.7	12.1	12.9	12.8
Efficiency of markets							
Interest margin (interest income – expenses as a per cent of average balance sheet total)	..	1.8	1.7	1.6	1.3	1.3	..
Bank productivity (operating expenses as a per cent of gross income)	..	66.1	63.0	62.5	66.6	73.5	..
Net provision as a per cent of net income	..	53.9	53.9	68.4	83.4	95.9	..
Profit after tax as a per cent of net income	..	35.2	35.1	19.5	2.7	–10.6	..

1. Net financing flows by credit institutions, UCITs and insurance companies to non-financial institutions.
2. Shares listed, source SBF.
3. Number of bank branches and head offices (excluding savings banks) per 100 000 population.
4. Definition of *Conseil national du crédit*: share of financial institutions in total external financing of non-financial residents.
5. Issues of bonds, commercial papers and shares as a per cent of the net flows as defined under 2 above.
6. The private non-financial sector includes corporations as well as households and non-profit institutions. The total differs from 100 because some items are excluded.
7. National and international means of payment plus other liquid assets.
8. UCITs.

Source: INSEE, *Comptes de la Nation;* Banque de France, *Bulletin trimestriel;* Conseil national du crédit, *Rapport annuel* and OECD, *Bank Profitability*.

Table J. **Public sector**

	1980	1985	1990	1992	1993	1994	1995
Budgetary indicators: general government accounts (per cent of GDP)							
Primary receipts [1]	45.4	48.5	47.7	47.7	48.4	47.9	48.4
Primary total expenditure [1]	44.6	49.3	46.9	48.8	51.2	50.4	49.9
Primary balance [1]	0.8	–0.8	0.8	–1.1	–2.8	–2.5	–1.6
Net interest payments	0.8	2.1	2.4	2.7	2.9	3.1	3.2
Net lending	0.0	–2.9	–1.6	–3.8	–5.6	–5.6	–4.8
Structure of expenditure and taxation (per cent of GDP)							
General government current expenditure	42.3	48.8	45.8	48.5	51.0	50.5	50.3
Transfers	20.8	24.2	23.3	24.9	26.4	26.0	25.7
Subsidies	1.9	2.3	1.6	1.6	1.6	1.6	1.7
General expenditure							
Education	. .	5.0	4.6	5.0	5.2	. .	. .
Transport	. .	0.6	0.5	0.5	0.5	. .	. .
Health	. .	3.2	3.1	3.3	3.4	. .	. .
Tax receipts	41.7	44.5	43.7	43.7	43.9	44.1	44.5
Personal income tax	5.4	5.7	5.2	6.0	6.1	6.2	6.1
Corporate taxes	2.1	2.0	2.3	1.5	1.5	1.6	1.7
Social security contributions	17.8	19.3	19.3	19.4	19.6	19.1	19.3
Consumption taxes	12.7	13.2	12.4	11.8	11.7	12.0	12.2
of which: Value added tax	8.7	8.7	8.1	7.5	7.4	7.4	7.6
Other indicators							
Income tax elasticity	1.5	0.2	1.0	0.9	1.2	1.9	0.7
Income tax as a per cent of total tax	18.1	17.3	17.2	17.2	17.4	17.7	17.5
Gross general government debt (as a per cent of GDP)	30.9	38.6	40.2	45.7	52.7	55.9	60.0
Net general government debt (as a per cent of GDP)	–3.3	10.8	16.3	18.6	26.9	29.3	35.3
Tax rates (per cent)							
Top rate for personal income tax	60.0	67.0	56.8	56.8	56.8	56.8	56.8
Standard VAT rate	17.6	18.6	18.6	18.6	18.6	18.6	20.6

1. Excluding interest charges.

Source: OECD, *National Accounts, Revenue Statistics of OECD Member Countries* and OECD Secretariat.

BASIC STATISTICS: INTERNATIONAL COMPARISONS

	Units	Reference period[1]	Australia	Austria	Belgium	Canada	Denmark	Finland	France	Germany	Greece
Population											
Total	Thousands	1994	17 840	8 031	10 124	29 251	5 206	5 088	57 960	81 407	10 430
Inhabitants per sq. km	Number	1994	2	96	332	3	121	15	106	228	79
Net average annual increase over previous 10 years	%	1994	1.4	0.6	0.3	1.6	0.2	0.4	0.5	2.9	0.5
Employment											
Total civilian employment (TCE)[2]	Thousands	1994	7 680 (93)	3 737	3 724 (92)	13 292	2 508	2 015	21 781 (93)	35 894	3 790
of which: Agriculture	% of TCE	1994	5.3 (93)	7.2	2.6 (92)	4.1	5.1	8.3	5.1 (93)	3.3	20.8
Industry	% of TCE	1994	23.7 (93)	33.2	27.7 (92)	22.6	26.8	26.8	27.7 (93)	37.6	23.6
Services	% of TCE	1994	71 (93)	59.6	69.7 (92)	73.3	68.1	64.9	67.2 (93)	59.1	55.5
Gross domestic product (GDP)											
At current prices and current exchange rates	Bill. US$	1994	331.6	198.1	227.9	544	146.7	97.2	1 328.5	1 832.3	73.1 (93)
Per capita	US$	1994	18 588	24 670	22 515	18 598	28 181	19 106	22 944	27 826	7 051 (93)
At current prices using current PPP's[3]	Bill. US$	1994	327.9	162.3	204.2	596.7	107	82.5	1 111.8	1 601.7	118
Per capita	US$	1994	18 382	20 210	20 166	20 401	20 546	16 208	19 201	24 325	1 450
Average annual volume growth over previous 5 years	%	1994	2.2	2.5	1.6	1.1	1.9	–1.6	1.1	2.6	1.4 (93)
Gross fixed capital formation (GFCF)	% of GDP	1994	21.4	24.8	17.4	18.7	14.8	14.3	18.1	18.5	17.4 (93)
of which: Machinery and equipment	% of GDP	1993	9.8	8.7	7.8	6.2	7.2	5.90	8.10	7.5	7.8
Residential construction	% of GDP	1993	5.2	6.3	4.6	6.1	2.9	3.7	4.9	6.5	3.6
Average annual volume growth over previous 5 years	%	1994	0.8	3.7	0.4	–0.1	–2.8	–12.9	–1	0.8	2.7 (93)
Gross saving ratio[4]	% of GDP	1994	16.8	25.3	22	16	17	16.6	19	21	15.5 (93)
General government											
Current expenditure on goods and services	% of GDP	1994	17.5	18.8	15	20.2	25.3	22.4	19.6	17.7	19.1 (93)
Current disbursements[5]	% of GDP	1993	36.9	48.4	55.3	49	61.1	58.9	51.5	45.6	51.2
Current receipts	% of GDP	1993	33.5	48.6	50.1	43	58.3	52.5	46.8	45.7	40.2
Net official development assistance	% of GNP	1993	0.34	0.31	0.41	0.46	1.03	0.76	0.66	0.44	..
Indicators of living standards											
Private consumption per capita using current PPP's[3]	US$	1993	10 803	10 546	12 090	11 863	10 042	8 814	11 395	10 733	6 367
Passenger cars, per 1 000 inhabitants	Number	1990	430	382	387	469	311	386	413	480[8]	169
Telephones, per 1 000 inhabitants	Number	1991	464	432	410	586	577	544	511	420[8]	413
Television sets, per 1 000 inhabitants	Number	1991	480	478	451	639	536	501	407	556[8]	197
Doctors, per 1 000 inhabitants	Number	1993	2.2 (91)	2.3	3.7	2.2	2.8 (92)	2.6 (92)	2.8	3.2 (92)	3.8 (92)
Infant mortality per 1 000 live births	Number		6.1	6.5	8	6.8	5.4	4.4	6.5	5.8	8.5
Wages and prices (average annual increase over previous 5 years)											
Wages (earnings or rates according to availability)	%	1994	3	5.5	3.7	3.3	3.5	4.8	3.5	5.2	14.6
Consumer prices	%	1994	3	3.4	2.8	2.8	2.1	3.3	2.5	3.3	16.2
Foreign trade											
Exports of goods, fob*	Mill. US$	1994	47 363	44 881	137 259[7]	165 358	41 850	29 514	235 337	422 243	8 958
As % of GDP	%	1994	14.3	22.7	60.2	30.4	28.5	30.4	17.7	23	11.5 (93)
Average annual increase over previous 5 years	%	1994	5	6.7	6.5	7.1	8.3	4.9	5.6	4.4	3.4
Imports of goods, cif*	Mill. US$	1994	49 731	55 071	126 006[7]	148 297	35 932	23 091	220 508	376 566	21 111
As % of GDP	%	1994	15	27.8	55.3	27.3	24.5	23.8	16.6	20.6	30.1 (93)
Average annual increase over previous 5 years	%	1994	4	7.2	5	5.4	6.1	–1.3	3.5	6.9	5.4
Total official reserves[6]	Mill. SDRs	1994	7 730	11 523	9 505[7]	8 416	6 203	7 304	17 986	52 994	9 924
As ratio of average monthly imports of goods	Ratio	1994	1.9	2.5	0.9	0.7	2.1	3.8	1	1.7	5.6

* At current prices and exchange rates.
1. Unless otherwise stated.
2. According to the definitions used in OECD *Labour Force Statistics*.
3. PPPs = Purchasing Power Parities.
4. Gross saving = Gross national disposable income minus private and government consumption.
5. Current disbursements = Current expenditure on goods and services plus current transfers and payments of property income.
6. Gold included in reserves is valued at 35 SDRs per ounce. End of year.
7. Data refer to the Belgo-Luxembourg Economic Union.
8. Data refer to western Germany.
9. Refers to the public sector including public enterprises.
10. Including non-residential construction.

Sources: Population and Employment: OECD, *Labour Force Statistics*. GDP, GFCF, and General Government: OECD, *National Accounts*, Vol. I and *OECD Economic Outlook*, Historical Statistics. Indicators of living standards: Miscellaneous national publications. Wages and Prices: OECD, *Main Economic Indicators*. Foreign trade: OECD, *Monthly Foreign Trade Statistics*, series A. Total official reserves: IMF, *International Financial Statistics*.

BASIC STATISTICS: INTERNATIONAL COMPARISONS *(cont'd)*

	Units	Reference period[1]	Iceland	Ireland	Italy	Japan	Luxembourg	Mexico	Netherlands	New Zealand
Population										
Total	Thousands	1994	267	3 571	57 190	124 960	398	93 010	15 382	3 526
Inhabitants per sq. km	Number	1994	3	51	190	331	153	47	377	13
Net average annual increase over previous 10 years	%	1994	1.1	0.1	0	0.4	0.8	2	0.6	0.8
Employment										
Total civilian employment (TCE)[2]	Thousands	1994	138	1 168 (93)	20 152 (93)	64 530	162 (91)	32 439	6 631	1 560
of which: Agriculture	% of TCE	1994	9.4	12.7 (93)	7.5 (93)	5.8	3.7 (91)	25.8	4	10.4
Industry	% of TCE	1994	26.1	27.7 (93)	33 (93)	34	31.5 (91)	22.2	23	25
Services	% of TCE	1994	65.2	59.7 (93)	59.6 (93)	60.2	64.8 (91)	52.1	73	64.6
Gross domestic product (GDP)										
At current prices and current exchange rates	Bill. US$	1994	6.2	52	1 017.8	4 590	10.6 (92)	371.2	334.3	51.2
Per capita	US$	1994	23 199	14 550	17 796	36 732	27 073 (92)	3 991	21 733	14 513
At current prices using current PPP's[3]	Bill. US$	1994	5.1	54.3	1 068.4	2 593.7	11.7	673.3	285.9	57.3
Per capita	US$	1994	19 271	15 212	18 681	20 756	29 454	7 239	18 589	16 248
Average annual volume growth over previous 5 years	%	1994	0.6	4.7	1	2.1	4.1 (92)	3	2.3	2.5
Gross fixed capital formation (GFCF)	% of GDP	1994	15.2	15.1	16.4	28.6	20.4 (93)	20.7	19.3	20
of which: Machinery and equipment	% of GDP	1993	3.9	6.3	7.4	11.5	..	9.4	8.6	9.3
Residential construction	% of GDP	1993	4.4	4.1	5.3	5.4	..	4.9	5.1	4.9
Average annual volume growth over previous 5 years	%	1994	–4	1	–2.3	1.4	6.5 (92)	7.7	0.4	5.8
Gross saving ratio[4]	% of GDP	1994	16.9	19.5	18.8	31.2	60.2 (92)	15.1	24.4	20.7
General government										
Current expenditure on goods and services	% of GDP	1994	20.6	16	17.1	9.8	17.1 (92)	11.8[9]	14.2	14.7
Current disbursements[5]	% of GDP	1993	34.9	..	53.2	26.9	..	..	55.4	..
Current receipts	% of GDP	1993	35.9	..	47.1	32.9	..	..	54.5	..
Net official development assistance	% of GNP	1993	..	0.15	0.42	0.27	0.34 (92)	..	0.88	0.22
Indicators of living standards										
Private consumption per capita using current PPP's[3]	US$	1993	11 546	7 750	11 029	11 791	15 545	4 853	10 726	9 266
Passenger cars, per 1 000 inhabitants	Number	1990	464	228	478	282	470	85	356	440
Telephones, per 1 000 inhabitants	Number	1991	527	300	400	454	511	70	477	436
Television sets, per 1 000 inhabitants	Number	1991	319	276	421	613	267	148	485	443
Doctors, per 1 000 inhabitants	Number	1993	3	1.7 (92)	1.7 (91)	1.7 (92)	2.1 (92)	1	2.5 (90)	2
Infant mortality per 1 000 live births	Number		4.8	5.9	7.3	4.5 (92)	8.5 (92)	18	6.3	7.3
Wages and prices (average annual increase over previous 5 years)										
Wages (earnings or rates according to availability)	%	1994	..	4.6	5.9	2.4	..	5.3	3.2	2.1
Consumer prices	%	1994	6.3	2.7	5.2	2	3.1	16.1	2.8	2.5
Foreign trade										
Exports of goods, fob*	Mill. US$	1994	1 628	34 125	189 802	396 149	..	60 882	155 084	12 169
As % of GDP	%	1994	26.3	65.7	18.6	8.6	..	16.4	46.4	23.8
Average annual increase over previous 5 years	%	1994	2.7	10.5	6.2	7.6	..	21.7	7.6	6.5
Imports of goods, cif*	Mill. US$	1994	1 464	25 812	167 690	274 916	..	79 346	139 800	11 859
As % of GDP	%	1994	23.6	49.7	16.5	6	..	21.4	41.8	23.2
Average annual increase over previous 5 years	%	1994	0.7	8.1	1.9	5.5	..	25.5	6.1	6.1
Total official reserves[6]	Mill. SDRs	1994	201	4 189	22 102	86 214	..	4 301	23 655	2 540
As ratio of average monthly imports of goods	Ratio	1994	1.6	1.9	1.6	3.8	..	0.7	2	2.6

* At current prices and exchange rates.
1. Unless otherwise stated.
2. According to the definitions used in OECD *Labour Force Statistics*.
3. PPPs = Purchasing Power Parities.
4. Gross saving = Gross national disposable income minus private and government consumption.
5. Current disbursements = Current expenditure on goods and services plus current transfers and payments of property income.
6. Gold included in reserves is valued at 35 SDRs per ounce. End of year.
7. Data refer to the Belgo-Luxembourg Economic Union.
8. Data refer to western Germany.
9. Refers to the public sector including public enterprises.
10. Including non-residential construction.

Sources: Population and Employment: OECD, *Labour Force Statistics*. GDP, GFCF, and General Government: OECD, *National Accounts*, Vol. I and *OECD Economic Outlook*, Historical Statistics. Indicators of living standards: Miscellaneous national publications. Wages and Prices: OECD, *Main Economic Indicators*. Foreign trade: OECD, *Monthly Foreign Trade Statistics*, series A. Total official reserves: IMF, *International Financial Statistics*.

BASIC STATISTICS: INTERNATIONAL COMPARISONS *(cont'd)*

	Units	Reference period[1]	Norway	Portugal	Spain	Sweden	Switzerland	Turkey	United Kingdom	United States
Population										
Total	Thousands	1994	4 337	9 900	39 150	8 781	6 994	60 573	58 375	260 651
Inhabitants per sq. km	Number	1994	13	107	78	20	169	78	238	28
Net average annual increase over previous 10 years	%	1994	0.5	–0.1	0.2	0.5	0.7	2.1	0.3	1
Employment										
Total civilian employment (TCE)[2]	Thousands	1994	1970 (93)	4 372	11 760	3 926	3 772	19 664	25 044 (93)	123 060
of which: Agriculture	% of TCE	1994	5.6 (93)	11.5	9.8	3.4	4	44.8	2.2 (93)	2.9
Industry	% of TCE	1994	23.1 (93)	32.8	30.1	25	28.8	22.2	26.2 (93)	24
Services	% of TCE	1994	71.3 (93)	55.7	60.2	71.6	67.2	33	71.6 (93)	73.1
Gross domestic product (GDP)										
At current prices and current exchange rates	Bill. US$	1994	103.4 (93)	87	482.4	196.6	257.3	130.7	1 019.5	6 649.8
Per capita	US$	1994	23 984 (93)	8 792	12 321	22 389	36 790	2 157	17 468	25 512
At current prices using current PPP's[3]	Bill. US$	1994	95.3	122	531.7	153	167.4	319.3	1 030.2	6 649.8
Per capita	US$	1994	21 968	12 335	13 581	17 422	23 942	5 271	17 650	25 512
Average annual volume growth over previous 5 years	%	1994	2.1 (93)	1.4	1.5	–0.3	0.5	3.6	0.8	2.1
Gross fixed capital formation (GFCF)	% of GDP	1994	22 (93)	25.7	19.8	13.7	22.8	24.5	15	17.2
of which: Machinery and equipment	% of GDP	1993	..	..	5.7	5.7	7.5	10.3	7.3	7.7
Residential construction	% of GDP	1993	..	..	4.1	4	14.9[10]	9.1	3.1	4
Average annual volume growth over previous 5 years	%	1994	–3.93	2.7	–1.2	–7.6	–0.4	5.1	–2.1	4.6
Gross saving ratio[4]	% of GDP	1994	21.9 (93)	24.2	18.8	13.7	29.3	22.5	13.5	16.2
General government										
Current expenditure on goods and services	% of GDP	1994	22.1 (93)	17.2	16.9	27.3	14.1	11.7	21.6	16.4
Current disbursements[5]	% of GDP	1993	..	..	43.7	67.3	36.7	..	42.7	35.8
Current disbursements[5]	% of GDP	1993	..	..	40.1	59	36	..	36.8	31.7
Current receipts	% of GDP	1993	1.23	0.36	0.32	1.33	0.49	..	0.34	0.19
Net official development assistance	% of GNP	1993	9 826	7 780	8 412	9 240	13 730	3 617	10 942	16 444
Indicators of living standards										
Private consumption per capita using current PPP's[3]	US$	1993	378	260	307	418	441	29	361	568
Passenger cars, per 1 000 inhabitants	Number	1990	515	273	340	687	603	143	445	553
Telephones, per 1 000 inhabitants	Number	1991	423	187	400	468	406	175	434	814
Television sets, per 1 000 inhabitants	Number	1991	3.2 (92)	2.9	4.1	3	3	0.9	1.5 (92)	2.3 (92)
Doctors, per 1 000 inhabitants	Number	1993	5	8.7	7.6	4.8	5.6	52.6	6.6	8.5 (92)
Infant mortality per 1 000 live births	Number		4	..	7.2	5.4	..	..	6.7	2.8
Wages and prices (average annual increase over previous 5 years)										
Wages (earnings or rates according to availability)	%	1994	2.7	9	5.6	5.7	3.9	73	4.6	3.6
Consumer prices	%	1994	34 645	17 072	73 129	61 122	70 467	18 456	205 170	512 627
Foreign trade										
Exports of goods, fob*	Mill. US$	1994	30.9 (93)	19.6	15.2	31.1	27.4	14.1	20.1	7.7
As % of GDP	%	1994	5	6.1	10.5	3.4	6.4	9.5	6.1	7.1
Average annual increase over previous 5 years	%	1994	27 345	25 967	92 182	51 730	68 126	22 976	227 026	663 256
Imports of goods, cif*	Mill. US$	1994	23.3 (93)	29.9	19.1	26.3	26.5	17.6	22.3	10
As % of GDP	%	1994	2.9	6.6	5.2	1	3.2	37.9	2.8	7
Average annual increase over previous 5 years	%	1994	13 033	10 627	28 475	15 929	23 790	4 911	28 094	43 350
Total official reserves[6]	Mill. SDRs	1994	5.7	4.9	3.7	3.7	4.2	2.6	1.5	0.8

* At current prices and exchange rates.
1. Unless otherwise stated.
2. According to the definitions used in OECD *Labour Force Statistics*.
3. PPPs = Purchasing Power Parities.
4. Gross saving = Gross national disposable income minus private and government consumption.
5. Current disbursements = Current expenditure on goods and services plus current transfers and payments of property income.
6. Gold included in reserves is valued at 35 SDRs per ounce. End of year.
7. Data refer to the Belgo-Luxembourg Economic Union.
8. Data refer to western Germany.
9. Refers to the public sector including public enterprises.
10. Including non-residential construction.

Sources: Population and Employment: OECD, *Labour Force Statistics*. GDP, GFCF, and General Government: OECD, *National Accounts*, Vol. I and *OECD Economic Outlook*, Historical Statistics. Indicators of living standards: Miscellaneous national publications. Wages and Prices: OECD, *Main Economic Indicators*. Foreign trade: OECD, *Monthly Foreign Trade Statistics*, series A. Total official reserves: IMF, *International Financial Statistics*.

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